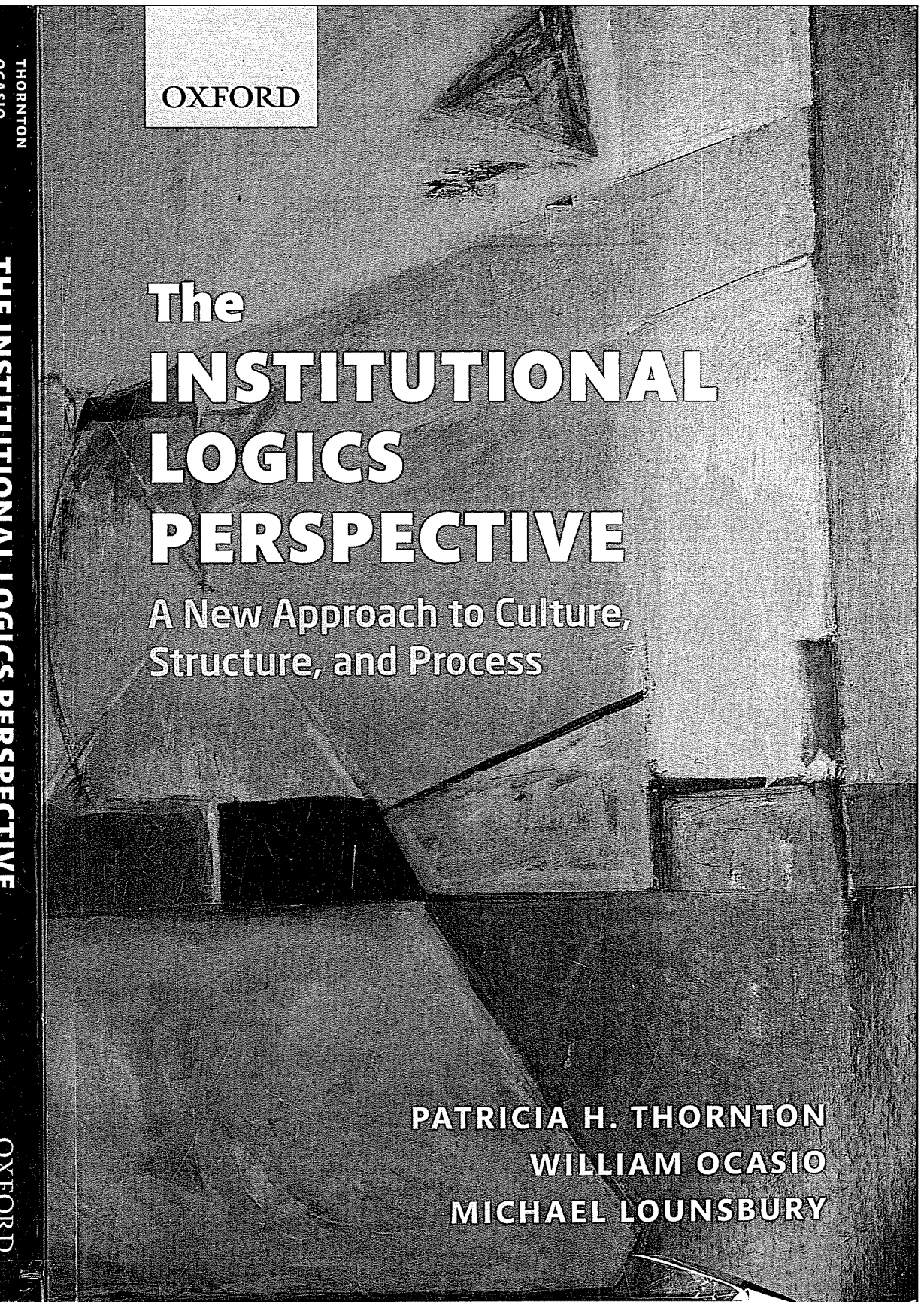




OXFORD

The INSTITUTIONAL LOGICS PERSPECTIVE

**A New Approach to Culture,
Structure, and Process**

**PATRICIA H. THORNTON
WILLIAM OCASIO
MICHAEL LOUNSBURY**

THORNTON
OCASIO

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Patricia H. Thornton
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Michael Lounsbury

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Preface

Neoinstitutional theory, beginning with the seminal work of Meyer and Rowan, Zucker, and DiMaggio and Powell, led to the widespread proliferation of empirical research and theoretical development in the field of organization studies. Despite its many achievements, the seeds of discontent with neoinstitutional theory have been germinating for quite some time and have found fertile ground for increasing research in institutional logics. This began with Friedland and Alford's critique and rudimentary statement that introduced the concept of institutional logics in 1991. Two of the authors of this book, Pat Thornton and Willie Ocasio, along with Heather Haveman, Huggy Rao, and Barbara Townley, were early developers of the institutional logics concept. Nevertheless, this work had not yet incarnated into a theoretical perspective.

In 2002 Pat, Willie, and Mike spearheaded a symposium at the Academy of Management with the help of Walter Powell entitled, "Beyond the Taken for Granted: Institutions, Cognition, and Agency." Pat continued to apply the concept of institutional logics to organizational decisions and was an early developer in integrating the inter-institutional system with tool kits and cognitive schema, accumulating a systematic body of theoretical and empirical research that was combined in a meta-analysis in her 2004 book. Meanwhile, Mike continued to make important extensions, particularly in the context of competing institutional logics and community as an institutional logic. Concurrently, Willie researched the relationships between attention, sensemaking, vocabularies, and changing institutional logics. Within the last decade, it became increasingly clear that a body of work on institutional logics had taken shape that could guide the scope of institutional analysis.

The year 2006 was a watershed moment as, with renewed resources and leadership at the University of Alberta, a cadre of faculty well versed in institutional analysis issued a call for conference papers on the state of growth of neoinstitutional theory—boldly challenging if neoinstitutional theory was dead. Pat responded with a presentation on "Taking Stock of Theory and Empirical Research on Institutional Logics." The conference presentations motivated the highly influential volume on organizational institutionalism edited by Royston Greenwood, Christine Oliver, Kerstin

Sahlin-Andersson, and Roy Suddaby that hit the market in 2008 with momentum. In this volume, two of us contributed a review article on institutional logics as metatheory—signaling research on institutional logics as a core concept that was in significant ways distinct from neoinstitutional theory. It was a new orienting strategy in institutional analysis—a perspective in its own right.

Concomitantly, in 2008 a conference at the University of Arizona was organized to celebrate the 25th anniversary of the publication of DiMaggio and Powell 1983. At this conference, graduate students asked, “What is the next stage of development of neoinstitutional theory?” At a 2009 Alberta conference, the three of us met offline with the idea of developing this co-authored book to offer our answer to this question—institutional logics as a distinct perspective that builds on, yet departs from, neoinstitutional theory. Our objective is not an expanded literature review. We seek instead to formalize the perspective, analyze and explain its roots, develop new theory, and show how it solves critical problems for neoinstitutional theory, and institutional analysis more broadly.

Our aim is not to revive neoinstitutional theory, but to transform it. Recognizing both its strengths, the original insights on how macro structures and culture shape organizations, and its weaknesses—limited capacity to explain agency and the micro foundations of institutions, institutional heterogeneity, and change—the institutional logics perspective provides a new approach that incorporates macro structure, culture, and agency, through cross-level processes (society, institutional field, organization, interactions, and individuals) that explain how institutions both enable and constrain action.

While the perspective we present in this book is, of course, shaped by our own views, it both builds on and seeks to further stimulate the growing work on institutional logics by many scholars that we review in this book. Our aim ultimately is to build a community of scholars. To help do so, we organized a Professional Development Workshop at the 2009 Academy of Management meetings in Chicago entitled, “Cultivator: Theory, Methods, and Research in Institutional Logics.” We elicited the help of Rudy Durand, Mary Ann Glynn, Candy Jones, and Barbara Townley. In 2011, Mike spearheaded a follow-up with a European Group on Organization Studies (EGOS) track on Institutional Logics in Gothenburg, Sweden (July 2011) that attracted one hundred submissions, and where each of us first presented chapters from this book. We thank Renate Meyer for helping us organize this track.

As the scholarly community continues to build this new perspective, we are excited by the opportunities for contributions from multiple disciplines and

by the progress in moving institutional theory forward in multiple directions that conceptualize culture, structure, and process; restoring the sensibilities of the role of actors and structures while revealing multi- and cross-level processes and mechanisms.

Patricia H. Thornton, Durham, North Carolina

William Ocasio, Evanston, Illinois

Michael Lounsbury, Edmonton, Canada

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Introduction to the Institutional Logics Perspective

Introduction

This book is about how the institutional logics perspective transforms institutional theory. We three authors have come together to meld our insights in analyzing the origins, interpretation, and growth of this rapidly developing literature. In the process, we elaborate and extend its theoretical and methodological reach and suggest new ideas for future research. While we include substantial literature reviews to illustrate our arguments, a comprehensive survey of the literature is not our purpose. Instead, our aims are twofold pronged: to produce a primer that imparts a programmatic statement on the institutional logics perspective that distinguishes it from neoinstitutional theory and to synthesize and propose novel theory to further flesh out the metatheory initially suggested by Friedland and Alford (1991). Ultimately, advancing theory construction and testing involves a process of discovery that is best accomplished by sharing ideas among a community of junior and senior scholars. Thus, our purpose is to elaborate and pollinate the core ideas of the institutional logics perspective with hopes of further galvanizing a community of scholars to develop new theory and empirical research.

In this chapter we first introduce the institutional logics perspective as an analytical framework for institutional analysis. Second, we describe the overall aims of the book and the analytical style in which the material is presented. Third, we briefly discuss the suitability of institutional logics for interdisciplinary integration of institutional research across the social sciences. Last, we discuss the purpose of four central metatheoretical principles of the institutional logics perspective and introduce an integrated model of the cross-level effects that will be discussed in detail in the following chapters.

The concept of institutional logics is intuitively attractive, but arguably difficult to define and even harder to apply in an analytically useful manner.

Thornton and Ocasio (2008) define an institutional logic as the socially constructed, historical patterns of cultural symbols and material practices, including assumptions, values, and beliefs, by which individuals and organizations provide meaning to their daily activity, organize time and space, and reproduce their lives and experiences. While institutional analysis has a long history in the social sciences, institutional logics researchers are now experimenting with new theory and methods that address long-standing problems of interest in the social sciences. We craft a synthetic and extended analysis of institutional logics research and develop significant elaborations and novel theory. We present this material in an advanced yet user-friendly analytical framework for scholars engaged in the many provocative questions about how we are all affected by the world of institutions—questions of relevance across the social sciences.

Institutional Logics as an Analytical Framework

The institutional logics perspective is a metatheoretical framework for analyzing the interrelationships among institutions, individuals, and organizations in social systems. It aids researchers interested in questions of how individual and organizational actors are influenced by their situation in multiple social locations in an interinstitutional system, for example the institutional orders of the family, religion, state, market, professions, and corporation. Conceptualized as a theoretical model, each institutional order of the interinstitutional system distinguishes unique organizing principles, practices, and symbols that influence individual and organizational behavior. Institutional logics represent frames of reference that condition actors' choices for sense-making, the vocabulary they use to motivate action, and their sense of self and identity. The principles, practices, and symbols of each institutional order differentially shape how reasoning takes place and how rationality is perceived and experienced.

The origin of the theoretical and empirical research that we know today as the institutional logics perspective was first presented by Friedland and Alford in 1991 as a chapter in an edited volume that ironically attempted to solidify and redirect a research program in quite a different direction—on structural and cognitive isomorphism of organizational fields (Powell and DiMaggio 1991). The ideas in Friedland and Alford's chapter were later drawn upon by scholars examining how institutional logics moderated the selection theory of organizations (Haveman and Rao 1997) and how institutional logics moderated the attention of organizations in making strategic decisions (Thornton and Ocasio 1999). While not part of Friedland and Alford's (1991) chapter, it is noteworthy that important precursors to the institutional logics perspective

had been developing with the work on logics and practice (Bourdieu 1977), corporate institutional logics (Jackall 1988), interpretive schemes (Greenwood and Hinings 1988), conceptions of control (Fligstein 1985, 1987, 1990), and dominant logics as filters on attention (Pralhad and Bettis 1986).

Now, more than ten years hence, the institutional logics perspective has coalesced into a vibrant community of scholars, and is recognized as a core perspective in sociology and organization theory (Greenwood et al. 2008). Research in this fast-forming arena has been conducted in a variety of commercial and public domains such as savings and loan organizations (Haveman and Rao 1997), universities (Townley 1997), book publishing companies (Thornton and Ocasio 1999; Thornton 2001, 2002), health care organizations (Scott et al. 2000), French cuisine (Rao, Monin, and Durand 2003), equity markets (Zajac and Westphal 2004), symphony orchestras (Glynn and Lounsbury 2005), mutual funds (Lounsbury 2007), banking (Marquis and Lounsbury 2007), architects (C. Jones and Livne-Tarandach 2008), medical education (Dunn and Jones 2010), microfinance (Battilana and Dorado 2010), and shareholder value (R. E. Meyer and Höllerer 2010), among others.

Friedland and Alford (1991) initially gained the attention of a handful of scholars with their critique of the deficits of organization and neoinstitutional theory for not situating “actors” in a societal context. As we will discuss in subsequent chapters, their critique continues to be the wellspring of fertile ideas in need of further development. They argued that society and social relations are not just about the diffusion of material structures, but also about culture and the symbolic. They posited not a theory of environmental effects on organizations, but instead a metatheory of institutions that includes individuals and organizations—with more than enough import to reach across the social sciences.

Friedland and Alford's (1991) critique covered much more: It asked why network theory doesn't explain why people are connected, what they are likely to say, and why power and status do not have universal effects. It railed against rational-choice theory, arguing that the meaning of rationality varies by institutional order—within the sphere of the market, sensemaking occurs through the lens of self-interest; but under the influence of the professions it does not or does so in a tempered way, for example through concerns over personal reputation, professional association, and quality of craft. Their view of society as constituted by multiple institutional orders helps us to understand the broader array of organizing by both people and organizations. Their critique also marked political sociology and by implication political science in the sense that they argued that the meanings of power and resources vary by institutional order. Self-interest is not generally applicable across institutional settings. Instead, the institutional logics perspective is fundamentally about how to specify the countervailing and moderating effects on self-interest and

*people
organizing*

rationality and, for that matter, to realize that while markets are institutions too, the professions cannot be completely dominated by markets (Scott et al. 2000). Similarly, individuals and organizations, if only subliminally, are aware of the differences in the cultural norms, symbols, and practices of different institutional orders and incorporate this diversity into their thoughts, beliefs, and decision making. That is, agency, and the knowledge that makes agency possible, will vary by institutional order; we develop this idea in chapters 4 and 5. In essence, the institutional logics perspective developed from neo-institutional theory, yet is distinct from neoinstitutional theory; the chapter by Friedland and Alford (1991) lit the way to this new approach to institutional analysis. We will in the subsequent chapters carve out various segments of their far-ranging critique for discussion and theory development in the context of the literature on the institutional logics perspective.

micro
macro
Friedland and Alford's (1991) original formulation motivated significant research by focusing on the macro aspects of bringing the influences of society back into institutional analysis. However, the institutional logics perspective has the capacity to motivate and guide research questions at both the micro and macro levels of analysis. In this book, we focus in an integrative fashion on both levels—on how institutions both constrain and enable individuals and organizations. While actors may reproduce behaviors consistent with existing institutional logics, they also have the capacity to innovate and thus transform institutional logics. What is important from an institutional logics perspective is that more micro processes of change are built from translations, analogies, combinations, and adaptations of more macro institutional logics. At the end of this chapter, we foreshadow an integrated model of cross-level effects that we flesh out in the subsequent chapters of the book.

Aims of the Book

In this book, we clarify and elaborate the institutional logics perspectives and lay the foundations for the progressive development of the perspective. In the process, we take stock of exemplary research and illustrate the relationships among these studies. Where possible, we integrate research to foster research community (B. Cohen 1991). We consolidate prior research and write new material in an attempt to address sources of confusion and to resolve or differentiate theoretical and methodological issues raised by scholars in recent professional workshops on the institutional logics perspective. Overall, our goals are to analyze, synthesize, differentiate, and further develop theoretical and methodological tools relevant to junior and senior scholars in the sub-disciplines of organization and management theory, business strategy and policy, economic and cultural sociology, and cognitive psychology.

Analytical Style of the Book

We probe the edges of institutional logics by presenting new views yet to be tested by empirical research. As three scholars, each with our own distinct perspectives and particular expertise in institutional analysis, we have had intense working discussions striving for consensus. However, we do not view differences as necessarily deleterious; they are important to the growth of our research community.

To guard against ideological debates and to increase the social science rigor in our discussion, where possible given the state of development of the institutional logics perspective, we apply the theoretical research program approach in our analyses (J. Berger and Zelditch 1993). Using an organic metaphor, the theoretical research program approach structures our analysis of the field to address a number of questions: Who planted the ideas? Who stimulated the growth of the theory? Why did the theory and empirical research branch in the directions they did? Why did some branches wither and die out while others flourished? Who is doing the pruning to force new growth—and why? The theoretical research-program approach gives us some guidance in how to assess such criteria as empirical corroboration, analytical power, scope conditions, precision, and value in motivating applications (J. Berger and Zelditch 1993).

While orienting strategies such as the institutional logics perspective have been associated with the growth of theories, we do not mean to suggest any ideological commitment that theorists have sometimes shown to paradigms (Kuhn 1962). We aim to distinguish an institutional logic from an ideology. The term ideology aligns itself with the doctrine of materialism, whereas the institutional logics perspective emphasizes the interpenetration of the symbolic and material aspects of institutions. The term ideology implies a relatively rigid and value-laden doctrine of thought, whereas the institutional logics perspective is a metatheoretical perspective for studying how individual and organizational actors are influenced by and create and modify elements of institutional logics—which conceivably changes values. Indeed, an institutional logics analysis may point out some of the social mechanisms by which ideologies become attached to particular social contexts. Thus, the key distinction between the two terms is that the study of institutional logics pertains to abstract analysis and ideology operates in relation to a socially defined audience whose members seek to obtain certain practical advantages through social action (Ashcraft 1986: 7).

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Perspective

Institutional Analysis as Interdisciplinary

Institutional theories include a variety of approaches by scholars spread across the social sciences, in the disciplines of political science, economics, and

sociology. This research does not represent a unified body of thought (Scott 2008a), but a group of alternative theories (J. Berger and Zelditch 1993). Hall and Taylor (1996) comment that it is striking how distinct these schools of thought are in burnishing their own paradigms and how little theoretical integration has occurred. While these disparate literatures are not wrong-headed, each provides only a partial description of the forces accounting for institutions' impact on human and organizational behavior. Moreover, each approach commands a partial set of methods of analysis. This leaves the broader field of institutional analysis with fragmented orienting strategies and spotty knowledge of the whole. Our goal in presenting the institutional logics perspective is to reach out to potentially allied research communities, integrating insights and theories to illuminate the whole more fully.

Pointing the Way to a New Approach

A discussion of the foundational principles of the institutional logics perspective is necessary to address whether or not there is such potential for integration of institutionalists across the social sciences. This leads us to outline four of the fundamental metatheoretical principles of the institutional logics perspective: the duality of agency and structure, institutions as material and symbolic, institutions as historically contingent, and institutions at multiple levels of analysis. These principles guide and frame our discussions throughout the chapters to follow.

Social Structure and Action

A core premise of the institutional logics perspective is that the interests, identities, values, and assumptions of individuals and organizations are embedded within prevailing institutional logics (Thornton and Ocasio 2008). This idea distinguishes an institutional logics perspective from macro structural approaches, which emphasize the primacy of structure over action (DiMaggio and Powell 1983), as well as Parsonian (1956) perspectives on institutions, which separate the institutional from the economic or technical sectors of society (e.g., J. W. Meyer and Scott 1983).

The history of the social sciences reveals a long antinomy between scholars on the one hand who have emphasized social structural constraints on action (Wrong 1961) and those who have focused on how individuals and organizations make a difference in creating, maintaining, and transforming institutions through their actions (Child 1972). By actions we refer to the concept of agency. Scott (2008b: 77) defines agency as an actor's ability to have some

effect on the social world—altering the rules, relational ties, or distribution of resources. We highlight several orienting strategies that have guided theoretical development on this thorny problem of agency and structure to highlight the foundation upon which we will build. An orienting strategy is a metatheoretical structure consisting of a system of interrelated assumptions and conceptions of the actor, action, and order (J. Berger and Zelditch 1993).

The key distinguishing characteristic between the institutional logics perspective and the orienting strategies we discuss below is that it incorporates theoretical mechanisms that explain the partial autonomy of actors from social structure. As we will explain in the core of the book, it is the avenues for partial autonomy that help explain how institutions constrain and enable individual and organizational actors, thus creating a theory of institutional stability and change.

An orienting strategy that bears on the theoretical dilemma of structure and action is DiMaggio and Powell's (1983) theory of structural isomorphism. Of the three forms of isomorphism—mimetic, normative, and coercive—only the last implies some theory of agency other than conformity and habitual behavior—for example through powerful regulatory actors. The other two forms of isomorphism align with the structuralist view that social relations are patterned and constraining to free initiative of individuals and organizations. As Scott (2008b: 76) notes, the main emphasis of institutional theory more generally has been to privilege continuity and constraint in social structure. This view, in contrast with economic and political game theoretic models of rationality (Scott 2008b: 67), has made neoinstitutional theory a target of criticism for its inability to explain agentic behavior (Barley and Tolbert 1997; Hirsch and Lounsbury 1997). We will elaborate in subsequent chapters, discussing how strategic behavior fundamentally relates to the capacity of individuals and organizations to conceptualize and act upon alternative views of rationality. We will argue that a partial solution is inherent in the near-decomposability of elements of the interinstitutional system: Each institutional order has its own sense of rationality.

Giddens (1984) developed another orienting strategy through his concept of structuration in which he coined the phrase "the duality of social structure and action," arguing that individual actors are simultaneously constrained and enabled by existing social structures. According to Giddens (1984), social structures are composed of rules, resources, and practices that are both product and platform in the enactment and reproduction of social life. His recursive interdependent model purportedly allows for the simultaneous theorizing of the sources of both social structure and social change.

While actors are knowledgeable, reflexive, and voluntary in enhancing and maintaining their power, Giddens' (1984) structuration concept does not indicate what influences the cognitive framing of actors' self interests,

*Strategic
Behavior*

power, and proclivities. Just what is it about social structure? What rules are selected by actors and what resources are the foci of their attention, particularly given conditions in which more than one set of rules and resources may be applicable (March and Olsen 1989). What meanings do individuals attach to their own and to others' behavior? Overall, what are the limits to Giddens' plastic view of a structure substantiated in action?

To address these questions, one would need to understand Giddens' (1984) concept of structuration within a larger social and cultural system. However, Giddens' (1984) theory has no conception of social system (Winder 2001). Moreover, the assumption that resources are used to enhance or maintain power (Giddens 1984: 21), contrasts with the assumptions of the institutional logics perspective in which how and why an individual uses power to express their interests takes on different meanings depending on their location within the interinstitutional system (Friedland and Alford 1991). While we agree with Giddens in that a theory of practice is needed, and we applaud his idea of the duality of agency and structure, we think his perspective is incomplete, not growing past the abstract level through systematic empirical research (Barley and Tolbert 1997).¹ In the subsequent chapters, we develop our arguments within three levels of social systems: organizational and institutional fields and societies.

In reaction to the lack of a theory of agency in the neoinstitutional perspective, a third orienting strategy was launched by scholars linking ideas and interests through the concept of the "institutional entrepreneur" (DiMaggio 1988; Fligstein 1997, 2001; Garud, Jain, and Kumaraswamy 2002; Munir and Phillips 2005; Levy and Scully 2007). Institutional entrepreneurs engage in a competition for the ability to own and frame an idea in hopes that they can express their self-interest in shaping how the idea is institutionalized (Hardy and Maguire 2008). For example, research has shown that institutional entrepreneurs manipulate cultural symbols and practices by story telling (Lounsbury and Glynn 2001; Zilber 2007; Martens, Jennings, and Jennings 2007), rhetorical strategies (Suddaby and Greenwood 2005; Greenwood and Suddaby 2006); and macrocultural discourse (T. B. Lawrence and Phillips 2004).

However, in their review, Hardy and Maguire (2008) warn against resorting to the hero entrepreneur to construct a theory of action and institutional change. While this literature has burgeoned, it has been criticized for

¹ Barley and Tolbert (1997), building on Giddens (1984) and critiquing of neoinstitutional theory's limited theory of agency, suggest ways to make structuration theory more dynamic and researchable. They develop a sequential model of institutionalization based on behavioral scripts. The cross-level model of institutions we will present is quite distinct from Barley and Tolbert's (1997) model: It considers the cognitive, behavioral, cultural and other approaches to agency beyond the relatively mindless cognition of scripts.

an overuse of descriptive case studies of institutional entrepreneurs who have the unbridled ability to freely manipulate institutions. Absent in this research is a theory of how institutional entrepreneurs discover their ideas and are embedded in or autonomous from the social systems that motivate their ideas (Leca and Naccache 2006). In chapter 5, we begin to develop a theory of institutional entrepreneurship through comparative case analysis.

A fourth orienting strategy germane to the problem of structure and action is Swidler's (1986) concept of how individuals use culture as a "toolkit." Through case study analysis of the culture of poverty, she deconstructs the long-standing Parsonian (1951) theory of voluntary action. According to Parsons (1951), social systems comprise value orientations that are internalized by individuals through socialization. This in turn orients them to make certain choices. "Culture thus affects human action through values that direct actors to some ends rather than others" (Swidler 1986: 274). Swidler (1986), however, argues that cultural values are not necessarily an indication of what people want or a predictor of their actions. The case studies she reviews show "people may share common aspirations, while remaining profoundly different in the way their culture organizes their overall pattern of behavior" (Swidler 1986: 275).

Swidler's (1986) insights spawned a potential variant to the problem of explaining action by suggesting that culture exists in fragments, not the monolithic system proposed by Parsons (1951). The questions are how do toolkits fit with the metatheory of institutional logics and what advantage is there to linking the two perspectives (cf., DiMaggio 1997)? As we will discuss in chapter 3, the interinstitutional system provides a nearly decomposable model of culture in which fragments or categorical elements are available and differentially accessible to individuals and organizations to apply in novel social situations in order to fit practical needs in specific local settings (Thorn-ton 2004; Lounsbury and Crumley 2007; see chapters 4 and 5). In this sense, linking the toolkit and the interinstitutional system has the potential to move beyond descriptions of institutional entrepreneurs to foreshadow a theory of institutional entrepreneurship. In subsequent chapters, we illustrate both the micro and macro mechanisms of this process and apply a typology of institutional logics to show how three institutional entrepreneurs discovered their ideas and mobilized support for them.

However, the toolkit approach has a more limited view of the role of norms and values in shaping action than that of the institutional logics perspective; the role of values for supposed toolkit users is assumed to be for justification rather than moral motivation (see Boltanski and Thévenot 1991). But, even if the concept of values is a thin theory of motivation, the concept of toolkit in its original formulation is without a clear mechanism for motivation.

DiMaggio (1997), in linking the toolkit concept to cognitive and social psychology, offers a solution to this problem by arguing that cultural toolkits are dependent on situational cues available in the environment, placing the mechanism for action outside the person.

DiMaggio's (1997) reasoning stems from the discovery that much of the cultural information that individuals internalize is inherently contradictory and cognitively stored without reference to a truth value, and thus cannot provide a coherent theory of motivation. As we will discuss in subsequent chapters, these two aspects—the nearly decomposable nature of the interinstitutional system and its capacity for framing cultural contradictions cued by the environment—makes the toolkit concept compatible with the institutional logics perspective and provides a potential solution to the motivation/justification paradox (Vaisey 2008).

While the institutional logics perspective does not discount the structuralist view or the concept of the institutional entrepreneur, it is not limited to them. The key to understanding the structure–action question is not a binary contrast between rational and nonrational actors. Instead, the goal is to examine how action depends on how individuals and organizations are situated within and influenced by the spheres of different institutional orders, each of which presents a unique view of rationality.

The topic of structure and action and embedded agency continues to interest scholars of organizations and institutions (e.g., Sewell 1992; Holm 1995; Emirbayer and Mische 1998; Seo and Creed 2002; Battilana 2006; Greenwood and Suddaby 2006). In the following chapters, we will discuss in greater depth that there is the means to theorize and measure structure and action simultaneously through the interdependence yet partial autonomy of the institutional orders of the interinstitutional system.

Institutions as Material and Symbolic

*Ref.
Material
Symbolic*

A key principle of the institutional logics perspective is that each of the institutional orders in society has both material and symbolic elements. By material aspects of institutions, we refer to structures and practices; by symbolic aspects, we refer to ideation and meaning, recognizing that the symbolic and the material are intertwined and constitutive of one another. Zilber (2008) defines symbols as embodied in structures and practices, while structures and practices express and affect the meaning of symbols. This is not to say that the material and the symbolic cannot be analytically separated; indeed studies show that the seemingly same institutional practices and structures may be infused with different actors and as a result have different

meanings and institutional effects (Zilber 2002; DiMaggio and Mullen 2000). Moreover, symbols are not forever stable; their meaning can never be determined once and for all by a given linguistic system. Instead, they always have the capacity to break with context and take on different connotations (Zilber 2008: 161).

Friedland and Alford (1991) illustrate why any institutional analysis needs to consider symbols and practices. Both the family and religion, while typically not considered part of the economic sphere, are directly involved in the production, distribution, and consumption of goods and services (Becker 1976). Similarly, markets, while often not considered part of the cultural sphere, are directly shaped by culture and social structure, including networks of social relationships as well as structures of power, status, and domination (Granovetter 1985).

The institutional logics perspective accounts for the dynamics of both the material and the symbolic. This is perhaps the key distinction between the institutional logics perspective and early neoinstitutional theory (J. W. Meyer and Rowan 1977). We are not, however, advocating a research language of mutual constitution that melds cultural symbols and material structures together and rules out distinguishing the two on metatheoretical grounds (Archer 1996; Vaisey 2008). Instead, we are developing the theoretical and methodological tools that enable researchers to partition symbolic from structural effects (DiMaggio 1994) so that researchers can better understand the causal ordering and operative mechanisms. This type of research is already underway, showing for example that cultural taste can shape network structure (Lizardo 2006). Such fundamental knowledge has many implications when applied to business strategy and public policy, particularly in countries like France, which unequivocally understands the strategic value of symbols and cultural resources (Jourdan, Thornton, and Durand 2011).

There is another important aspect to considering both the symbolic and the material. Without the symbolic aspects of institutions, there is hardly opportunity to theorize institutional heterogeneity and change because social practices become institutionalized only in the sense that they achieve collective meaning (Dobbin 1994: 228). This is because it is first through symbols that the meaning of material practices translates and travels—theorization is a diffusion mechanism (Douglas 1986; Strang and Meyer 1993; G. F. Davis, Diekmann, and Tinsley 1994; G. F. Davis and Greve 1997; Zilber 2006, 2008). However, how does one link together all the pieces and levels of theory? By integrating the symbolic with the material, the institutional logics perspective integrates research on culture and cognition to provide an orienting strategy for a theory of how culture shapes action.

Institutions as Historically Contingent

The institutional logics perspective assumes that institutions are historically contingent, which is generally consistent with institutional theory. Friedland and Alford (1991) recognized that many studies of organization and economic phenomena reveal findings that are valid in one time period but not in others. Using anecdotal data, they argued that institutions are historically contingent—claiming that the definitions of the common terms profit and debt change with a shift in accounting procedures and tax laws as these concepts are subject to larger societal change pressures. We note their example on regulatory institutions refers not only to the passing of new laws, but also to the inherent flexibility of existing laws as exemplified by changing interpretations over historical time. As Scott (2008b: 54) notes, many laws are ambiguous and even controversial and are therefore opportunities for collective sensemaking. For example, the dynamic unfolding of legal interpretations is well documented in institutional theory (Edelman 1992; Edelman, Abraham, and Erlanger 1992; Suchman and Edelman 1997). As Edelman, Uggen, and Erlanger (1999: 406–7) find with grievance-procedure laws, the content and meaning of law is determined within the social field it is designed to regulate.

Large-sample studies have examined the historical contingency of individual, organizational, and economic effects. Studies of the higher education publishing industry on institutional logics and organizational decisions have partitioned the consolidated findings by particular and universal effects across time (Thornton 2004). Founder and ownership effects were found to be universal across historical time, whereas relational and structural effects were particular to a historical period in which the prevailing institutional logic predicted these effects. Many findings predicted by resource dependence and economic theories were found to be historically contingent. Note that the studies included in this meta-analysis made use of both qualitative and quantitative data and methods and rigorous sampling procedures, control variables, and statistical modeling (Thornton 2004; see chapter 8).

Empirical observation indicates that the importance of the interinstitutional system's institutional orders is not a given in their age of origin and their influence varies over historical time. Modern societies are typically more influenced by the logics of the state, the professions, the corporation, and the market. The salience of the influence of market logics in particular has risen over the last 30 years as shown in multiple studies in various contexts, (Scott et al. 2000; Lounsbury 2002; Zajac and Westphal 2004; R. E. Meyer and Hammerschmid 2004). Evidence suggests that the rise of the influence of any one institutional order relative to another is not always an evolutionary or linear progression driven by scientization (J. W. Meyer et al. 1997) or market rationalization (DiMaggio and Powell 1983).

market
logics

Though we have little research specifically on this topic, preliminary evidence suggests that the influence of one institutional order does not necessarily or completely replace another. While not the focus of the publishing industry studies, today the editorial logic still exists in many privately held firms, though it is far from dominant in the industry as a whole and its pattern of erosion was evolutionary as validated by hazard-rate models (Thornton and Ocasio 1999, see footnote 9).

Scholars using case-study methods have observed cyclical patterns and punctuated equilibria of historical change in institutional logics existing in particular instantiations of accounting and architecture, respectively (Thornton, Jones, and Kury 2005). Along these lines, institutional logics studies have examined counter logics that create dialectic tension between competing institutional orders (Barley and Kunda 1992) and stem the tide of wholesale institutional change, in effect producing a new equilibrium or period of systemic stability. For example, Marquis and Lounsbury's (2007) study of the banking sector with its reemergence of an older institutional order, the community logic, created a counterweight force on the rise of market-based banking. We see indicators of cyclical patterns of historical contingency in other studies in which participants operate under the tensions of multiple institutional spheres, such as in genetic science with its conflicting logics of academic science (professions) and commerce (market and corporation; Murray 2010) and in medical education with its dual science and care professional logics (Dunn and Jones 2010). The historical contingencies of institutional logic emergence, re-emergence, and change are relatively novel and unexplored topics discussed in chapters 5 and 7.

The metatheoretical assumption of institutions as historically contingent is necessary to our overall goal of building a theory of institutional change and stability. Our goal is not to develop universal theories of behavior and structure, but to develop the elemental parts of theory—the mechanisms (G. F. Davis and Marquis 2005) that mediate between cause and effect and unfold over time (Gross 2009). Any true picture of social mechanisms must be observed not only across historical time, but also across multiple levels of analysis to capture the cross-level effects.

Institutions at Multiple Levels of Analysis

The institutional logics perspective assumes that institutions operate at multiple levels of analysis and that actors are nested in higher order levels—individual, organizational, field, and societal. This assumption conforms to the empirical observations that institutions are in conflict, but also simultaneously provides constraint against and opportunities for change by actors

(Friedland and Alford 1991). If we believe these assumptions, building theory requires researchers to clarify how mechanisms are analytically distinct while allowing for the combining and disaggregating of actors and situations within a given set of characteristics. Does the actor change, or does the structure change (Hernes 1998)? What are the cross-level interaction effects? To answer these questions, one has to identify the mechanisms that mediate between cause and effect. They are the elements of a theory that operate at different levels of analysis and, if specified, make the theory more precise and general (Stinchcombe 1991).

Hernes (1998) defines social mechanisms as the researcher's construction of a virtual reality to examine, make sense of, and construct a theory of reality. The goodness of fit between the virtual and the real is determined by comparing the implications of the social mechanisms with the facts. To make such comparisons, researchers, as a part of theory building, construct devices called mechanisms to infer what outcomes will result. Mechanisms have two sets of abstract elements, the specification of actors, and the specification of the structure in which the actors are assumed to operate. For example, the mechanism for agency can represent actor differences or actors can be interchangeable within structures in which the mechanism for agency represents differences in the slots in the social structure (Hernes 1998; Collins 2004).

The metatheory underlying the institutional logics perspective has grown around the concept of the interinstitutional system as it assumes that institutions operate at multiple levels of analysis with potential for cross-level interaction effects. In chapter 3, we represent the interinstitutional system as an ideal type because it is then useful to the researcher to translate social science observations into mechanisms—in Hernes' (1998) terms, into a virtual reality—so that aggregation and disaggregation of the operable mechanisms can be theorized as analytically distinct.

This is important because a researcher's selection of level of analysis privileges a priori the selection of problems and tools for investigating a problem and therefore what they are likely to observe. Researchers that combine multiple levels of analysis in their research are more likely to observe a more accurate picture because, by observing across levels, they can see the workings of mechanisms and—according to the institutional logics perspective—the contradictory nature of institutional logics. Part of Friedland and Alford's (1991: 256) motivation in introducing the idea of the interinstitutional system and nested levels of analysis was to defend against prior functionalist or consensual interpretations in sociology, economics, and organization theory. In chapters 3 and 5, we discuss the model of the interinstitutional system in greater detail.

Contents of the Book

The spine of the book is provided by our development of two models: the interinstitutional system and the cross-level effects. The elaborations and novel theory we develop around these two models motivate the content of the book and distinguish the institutional logics perspective from neoinstitutional theory. In Figure 1.1, we present a synthesis of these two concepts to outline the contributions of the book. It fleshes out the institutional logics metatheory and illustrates how the cross-level mechanisms operate from the macro to micro and micro to macro levels of analysis. The descriptions below for chapters 3 through 7 annotate Figure 1.1.

Precursors

Chapter 2 analyzes how the institutional logic perspective develops from, yet is distinctive from neoinstitutional theory. Its main distinguishing feature is the capacity to theorize the duality of the material–practice-based aspects of institutions (DiMaggio and Powell 1983) and their cultural–symbolic-based aspects (J. W. Meyer and Rowan 1977). The neoinstitutional perspective is a set of concepts and theories of environmental effects on organizational and cultural homogeneity. The institutional logics perspective is a metatheory of institutions that includes organizations and explains not simply homogeneity, but also heterogeneity. We employ J. Berger and Zelditch's (1993) approach to analyzing theoretical research programs to identify the precursors, showing how the institutional logics perspective developed in reaction to theoretical limitations in neoinstitutional theory. This analytic method allows us to analyze and benchmark the growth of theoretical orienting strategies

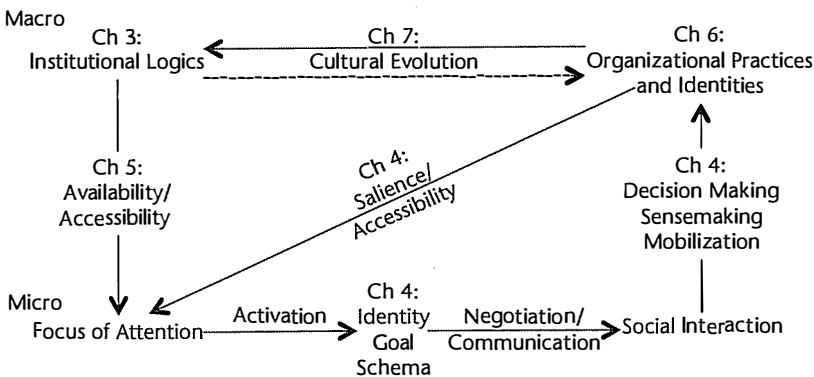


Figure 1.1. A Cross-Level Model of Institutional Logics Combining Micro–Macro and Macro–Micro

relative to one another. We use it in subsequent chapters to analyze theory growth and foreshadow future areas of research.

Macro—Societal Level

Chapter 3 elaborates a model of society as an interinstitutional system by developing a new institutional logic—the community logic. This elaboration extends Thornton's (2004) proliferation of Friedland and Alford's (1991) initial formulation of the interinstitutional system. The interinstitutional system is one of the central innovations of the institutional logics perspective. Developed as a model of ideal types, we discuss the interinstitutional system's usefulness as a theoretical and methodological tool for developing institutional logics research. In particular, we discuss how it can be used to identify solutions to theoretical problems in institutional analysis such as the partial autonomy of social structure and action, the definition of an institutional field, and the relationship between the concepts of power and agency.

Micro and Meso—Individual and Organization Levels

Chapter 4 develops a new theory on the microfoundations of the institutional logics perspective to explain how macro-level institutional logics are available and accessible to individuals and organizations. Which aspects of institutional logics are activated is contingent on the applicability of accessible knowledge structures to salient aspects of the situation and the environment. While Friedland and Alford (1991) argued that individuals and organizations use and manipulate available institutional logics, their arguments were focused at the societal level; they did not develop the micro- and meso-level theory. Grounded in the rigorous research literature in cognitive and social psychology, the theory of dynamic constructivism is utilized to cultivate a larger model of cross-level effects of the micro and macro mechanisms that undergird the institutional logics perspective.

Micro and Macro—Individual and Societal Levels

Chapter 5 grounds the theoretical discussion of the interinstitutional system presented in chapter 3 using empirical case analysis and builds on the micro theory of availability and accessibility of institutional logics developed in chapter 4. It discusses the historical contingency of the institutional orders and discusses stability and change in the interinstitutional system. We use three case narratives of entrepreneurs to illustrate how to use the interinstitutional system as an ideal type to conduct an analysis of the individual- and societal-level effects of the origins of innovative ideas and institutional change.

This demonstration shows how the availability and accessibility of institutional logics is contingent on individuals' vertical specialization in different institutional orders and their capacity for horizontal generalization of categorical elements across institutional orders. The case narrative analyses generate a new theory of how individuals recombine institutional logics through switching referent categories from different institutional orders and blending and segregating categorical elements of those different institutional orders.

Meso and Macro—Organization and Institutional Field Levels

Chapter 6 builds on the model of microfoundations elaborated in chapter 4 to develop a model of how different kinds of social interaction, for example decision making, sensemaking, and collective mobilization, mediate between institutional logics and the dynamics of identities and practices within and across organizations. The chapter bridges the literature on institutional logics, practice, and organizational identity; it links the organization and institutional field levels of analysis. It develops two novel process models to conceptualize organizational identity and practices as the key conceptual linkages between institutional logics and intraorganizational processes. The models are recursive in that institutional logics shape organizational identities and practices and vice versa.

Meso and Macro—Institutional Field and Societal Levels

Chapter 7 examines the emergence and evolution of institutional logics at the institutional field level of analysis. It integrates the practice literature with the research on theories, narratives, and vocabularies of practice. It develops a typology of change in field-level institutional logics that distinguishes transformational changes from replacement, blending, and segregation, from developmental changes such as assimilation, elaboration, expansion, and contractions of logics. The chapter illustrates how institutional field-level logics are both embedded in societal-level logics and subject to institutional field-level change processes that generate distinct instantiations of societal-level institutional logics.

Synthesis

Chapter 8 distills the implications of our analysis of neoinstitutional theory and our development of new theory in the institutional logics perspective. These theoretical extensions include a new variant of the interinstitutional system in chapter 3, a new theory of the availability and accessibility of institutional logics in chapter 4, a new variant of the contingency of

availability and accessibility of institutional logics based in the vertical specialization and capacity for horizontal generalization by institutional entrepreneurs in chapter 5, process models to conceptualize organizational identity and practices as the key conceptual linkages between institutional logics and intraorganizational processes in chapter 6, and a new typology of mechanisms explaining changes in institutional logics at the field level of analysis in chapter 7. Last, in chapter 8, we extract the ideas from the discussion sections of each of the chapters, relating these ideas to future research opportunities across the social science disciplines and business and policy arenas.

Conclusion

We have outlined the purpose of the metatheoretical principles of the institutional logics perspective to foreshadow the chapter to follow on the precursors, extensions, and development of new theory. We emphasize our goal is not a literature review, but to extend theory and empirical research in the institutional logics perspective. The primary distinction from neoinstitutional theory is that the institutional logics perspective considers the duality of the material and symbolic aspects of institutions. As a result, the institutional logics perspective represents a general model of cultural heterogeneity unbiased toward the Western world. In contrast, J. W. Meyer and colleagues (1997) were focused on the homogeneity of Western Culture and DiMaggio and Powell (1983) on the homogeneity of organizational fields.

Identifying the foundational principles of the metatheory of the institutional logics perspective, we discussed why these principles have been motivated by prior research and are important to the continued development of institutional analysis. First, the problem of explaining the relationship between structure and agency is perhaps the most important metatheoretical claim of the institutional logics perspective. It is central to understanding how actors change institutions in the context of being conditioned by them. The solution lies in understanding society as an interinstitutional system; doing so enables the researcher to theorize and measure the partial autonomy of agency and structure. Second, incorporating both the symbolic and material aspects of institutions is necessary to observe and measure the dynamics of institutions and hence should lead to richer theories of institutional change. Third, the concept of the historical contingency of institutions is critical to examining the critical questions of institutional logic emergence, re-emergence, and change. Last, multilevel analysis allows the researcher to observe and measure the cross-level effects, the causal mechanisms, which should lead to more precise theory. We presented in Figure 1.1 an overview of a recursive model of the cross-level effects of institutional logic mechanisms. The mechanisms

and levels of analysis represented in Figure 1.1 are identified with the chapters where the reader can find a fuller discussion of the individual parts of the model.

We provide a comprehensive primer on the institutional logics perspective with the overall goal of motivating junior and senior scholars to advance its theoretical and empirical development. To impart the essential elements of both past and present theorizing, we employed the analytic methods developed by J. Berger and Zelditch (1993) in their study of theoretical research programs. The field of institutional analysis spreads broadly across the social sciences; we believe the institutional logics perspective as metatheory holds promise for fruitful interdisciplinary integration. We believe that institutional analysis is more important to the social sciences than ever before and we can no longer rely on partial descriptions and theories of how institutions shape, motivate, and justify individuals' and organizations' actions. We have attempted to develop a metatheory and set of models that goes beyond prior work to integrate and further develop the core concepts of institutional analysis. The ideas in this book are a result of a rich collaboration. We hope that you find the material useful in developing your research ideas and careers and in contributing to institutional logics research.

2

Precursors to the Institutional Logics Perspective

Introduction

In this chapter we analyze how the institutional logics perspective originated within the context of neoinstitutional theory and the institutional analysis of organizations (J. W. Meyer and Rowan 1977; DiMaggio and Powell 1983; Powell and DiMaggio 1991; Scott 1995, 2001, 2008a; Fligstein 1987, 1990, 2001). We employ the methods developed by J. Berger and Zelditch (1993) in their study of the development of theoretical research programs. The main defining characteristic of a theoretical research program is that it undergoes progressive change and has an *orienting strategy*, that is, it provides the standards that guide theory construction and empirical research, including the selection of theoretical problems and solutions. Our reading of neoinstitutional theory suggests that it is a set of orienting strategies. First, we explain the method of theoretical analysis; second, we apply the method to understand the precursors to the institutional logics perspective.

According to J. Berger and Zelditch (1993: 3) a theoretical research program consists of interrelated theories or orienting strategies with supporting theoretical and applied research that can be classified according to five categories—elaboration, proliferation, variation, competition, and integration. We employ these categories analytically, not empirically: They also are not used mutually exclusively, but are applied stylistically to highlight and distinguish elements of theory and empirical research that have led to the development of the institutional logics perspective.

Elaboration is a form of theoretical growth in which there is an expansion of theory domain, for example a new dependent variable or scope condition. The theory can be applied to new or broader substantive phenomena or the theoretical structure and methods can be formalized by adding new propositions and new ways of modeling data that expand the empirical consequences

of the theory. *Proliferation* is elaboration with the distinction that a major theoretical leap is achieved with the introduction of additional concepts and theoretical principles. Two theories are *variants* of each other when they employ the same family of concepts and address similar problems but are distinct in that they use one or more different mechanisms to explain how the relevant processes operate. Variants of theories may be competitively pitted against one another with one theory eventually replacing the other or with an integration of the two. Two theories are *competitors* if they explain the same problem with different concepts and theoretical principles. *Integration* occurs when variants and *proliferants* are combined to condition how the process of each variant operates or to describe the interrelation of different processes conceptualized by the theories.

We present tables of key orienting strategies from neoinstitutional theory to benchmark its theoretical development in relation to the assumptions and development of the institutional logics perspective. We begin this analysis with J. W. Meyer and Rowan's (1977) and DiMaggio and Powell's (1983) seminal theories of isomorphism as cultural and structural explanations of institutionalization, respectively. We continue our analysis with further developments: the call for agency (DiMaggio 1988), a cognitive turn in Powell and DiMaggio's (1991) edited volume, and Scott's (1995, 2001, 2008b) integration of institutional theories into the three pillars, regulative, normative, and cultural-cognitive. The combined analysis reveals the theoretical roots of the institutional logics perspective.

Theories of Isomorphism

J. W. Meyer and Rowan (1977) pioneered a new variant of institutional theory by focusing on three central concepts, institutional rules, legitimacy, and isomorphism. Drawing on the Weberian idea that legitimacy is a source of formal organization structure that may not be related to how technical work activity is coordinated and controlled, their overarching proposition was that an organization's cultural conformity to the institutional rules in the environment provided an explanation for why organizations come to look similar in form, and why these forms may become decoupled from practice.

Inspired by school data that showed the rationalization of formal organizational structures (e.g., organization charts, goals, and policies) did not correspond with the core activities of schooling, they asked, if formal organizational structures do not address functional needs, why do organizations look similar—why are they isomorphic? Their insight was that the structural similarities of organizations reflected their efforts to conform to

cultural *myths* and *symbols* in the institutional environment that promote the public legitimacy necessary for organizational survival.

According to J. W. Meyer and Rowan (1977), the source of public legitimacy stems from processes of modernization, which occurs because of the penetration of activities, policies, and programs of the professions and the state. Three processes generate rationalized myths that affect organization structure: 1) the elaboration of complex relational networks, such as increases in density and interconnectedness among offices of the professions and the state; 2) the degree of collective organization of the environment, such as state centralization that produces legal mandates, licensing, certification, and school curricula; and 3) leadership efforts of local organizations, such as their seeking to shape their own institutional environment through institutionalizing their goals in the rules of state and professional authorities. These mechanisms and their generative practices are summarized in Table 2.1. These mechanisms generate rationalized institutional rules, which provide building blocks for organizations and the vocabularies of formal organization structure.

J. W. Meyer and Rowan's (1977) theory argues that the survival and success of formal organizational structures stem from their reflective rationalization of society's cultural system of taken-for-granted rules. However, this process of rationalization causes organizations to develop goals and actions that may not be part of the organization's core technical mission. This predisposes organizations to the tensions of needing to simultaneously satisfy the external requirements of their institutional environment while accomplishing their internal technical mission. Drawing on March and Olsen's (1976) and Weick's (1976) observations that organizations are loosely coupled because they often violate rules and make decisions that are not implemented, J. W. Meyer and Rowan proposed that organizations achieve success by decoupling their external parts from the internal activities

Table 2.1. Theory of Isomorphism and Loose Coupling: Conditions for the Production of Rationalized Myths of Organization Structure

Sources of legitimacy	Professions	States
Mechanisms		
Elaboration of relational networks	Expertise	Contracts
Collective organization of environment and public opinion	Licenses, credentialing systems, laws, judicial authority	Nation building, state formation, centralization of states, legal mandates
Leadership efforts of local organizations	Creation of standards, creation of certification rules	Enforcement of standards, adoption of certification rules

J. W. Meyer and Rowan (1977)

of their technical core to deal with such conflicts. Scholars have found support for this proposition (Oliver 1997).

J. W. Meyer and Rowan's (1977) new variant of institutional theory stood in stark contrast with earlier versions, which focused on the need to bring about consensus between the informal and formal forces of organizational structure and culture (Selznick 1957). In addition to decoupling, organizations can manage conflicting institutional and technical environments by rituals of confidence and good faith and the taboo of inspection. This means that if the organizational goal or action is certified by a professional body, then it is by nature virtuous and politically correct; thus, it need not be further questioned or evaluated. J. W. Meyer and Rowan's (1977) initial theoretical formulation provided the inspiration for a vibrant and ongoing community of scholars (Tolbert and Zucker 1983; Strang 1987).

As J. W. Meyer's research community continued to grow, culture was increasingly conceptualized at the world-system level, where the unit of analysis is highly aggregated, as this produced the strongest findings on isomorphism (J. W. Meyer et al. 1997; Suárez, Ramirez, and Koo 2009; K. Weber Davis, and Lounsbury 2009; Hallett 2010; see Boxenbaum and Jonsson 2008 for a review). While not explicit in J. W. Meyer and Rowan's (1977) article, in classroom discussions untainted by reviewers' constraints, J. W. Meyer portrayed his world-culture views as one dominant logic of rationality, which incorporates the market, corporate, state, and professional logics into one overarching logic. The logics of the other institutional orders—for example the family, religion, and community—were less important because they are not modern and rational. Thus, J. W. Meyer's theory is linearly progressive; it does not account for counter movements where religion, the family, or the community is a salient or dominant institutional logic as recent research has demonstrated (Greenwood et al. 2010; Lounsbury 2005; Marquis and Battilana 2007; Marquis and Lounsbury 2007).

Variant: Micro Level

Working at the micro level of analysis, Zucker (1977) tested and verified an important assumption of J. W. Meyer and Rowan's (1977) macro theorizing, that taken-for-granted rules or institutions are perceived by individuals as "facts." In an experimental-design study, she found that "Internalization, self-reward, or other intervening processes need not be present to ensure cultural persistence because social knowledge once institutionalized exists as a *fact*, as part of objective reality, and can be transmitted directly on that basis.... The grandparents do not have to be present to ensure adequate transmission of cultural meaning. Each generation simply believes it is describing object reality" (*italics added*; Zucker 1977: 726). This finding has

several important implications for subsequent development of institutional theory and the institutional logics perspective.

Cognitive perceptions of institutions are analytically independent of the sanctioning capacity of the external environment. This means, first, that measures of the degree of institutionalization derived only at the macro level of analysis may confound the effects of institutionalization with resource dependence, such as conformity with the institutional environment to garner government contracts or state grants or an ISO certification requirement to become a supplier (Dobbin et al. 1988; Edelman 1992; Guillén 2001; Sutton et al. 1994). That is, one cannot distinguish whether adoption of practices reflects institutionalization (e.g., exteriority and objectiveness) as distinct from clever strategic responses to the constraints of the external institutional environment (Zucker 1991: 104; Oliver 1991). Second, socialization, which requires internalization, is not necessary for the institutionalization of new ideas and practices to be transmitted, which means that diffusion is not necessarily time dependent as in, for example, the two-stage isomorphism model (Tolbert and Zucker 1983). The importance of Zucker's (1977) seminal finding with respect to later theorizing by DiMaggio and Powell (1991) is that it supports the idea of institutionalization as driven by cognitive processes that lead to taken-for-granted understandings and behaviors. These experimental findings were the early hard evidence to dispel reigning theories that action in social systems was dependent on the internalization of values (Parsons 1951; Selznick 1957).

Elaboration: From Societal Culture to Field Structure

In response to J. W. Meyer and Rowan's (1977) societal-level theory of cultural isomorphism and decoupling, DiMaggio and Powell (1983) developed a variant of isomorphism theory that focused on the structural dynamics of organizational fields. Their response to J. W. Meyer and Rowan (1977) is that legitimate models stem from the structuration of organizational fields. They define an organizational field as "those organizations that, in aggregate constitute a recognized area of institutional life: key suppliers, resources, product consumers, regulatory agencies, and other organizations that produce similar services or products."

According to DiMaggio and Powell (1983: 148), fields are institutionally defined and can only be identified on the basis of empirical investigation. This suggests that a field's boundary is expected to vary by study, empirical investigator, and method of analysis. In this sense an organizational field differs from the typical levels of analysis such as individuals, organizations, and societies and from the commonly measurable cases of a product market, industry, population of organizational forms, and a world system of nation

states. This characteristic complicates building theory because it inhibits comparability and accumulation of findings across studies of organizational fields.

At the same time, a focus on *field dynamics* clearly delineates DiMaggio and Powell's variant of institutional analysis from the rival school of population ecology theory (Hannan and Freeman 1977; Hannan and Carroll 1992). Note, for example, that many of the propositions in DiMaggio and Powell (1983) are presented as competing theory to population ecology theory. The unmistakable impact of DiMaggio and Powell's (1983) well cited and highly influential article is that it demarcated a convergence of ideas in institutional analysis that grew into such a formidable community of scholars that its growth has itself been a topic of study (Mizruchi and Fein 1999).

Building from M. Weber's (1978) analysis of the causes of bureaucratization and rationalization, DiMaggio and Powell (1983) argued that organizations will homogenize in form because structural change in organizations is driven less by competition and the need for efficiency than by the structuration (Giddens 1979) of organizational fields. Like J. W. Meyer and Rowan (1977), they argue that the process of structuration is largely a result of the activities of the state and the professions (DiMaggio and Powell 1983: 148).

Like Hannan and Freeman (1977), DiMaggio and Powell (1983) draw on Hawley's (1968) definition of isomorphism as "a constraining process that forces one unit in a population to resemble other units that face the same set of environmental conditions." They elaborate on J. W. Meyer and Rowan's (1977) theorizing by defining two types of isomorphism, competitive and institutional. The first refers to the competition among organizations in a field for resources and customers—the economic fit. The second refers to the quest for political power and institutional legitimacy—the social fit. They argue, consistent with the empirical findings of Tolbert and Zucker's (1983) two-stage model, that early adopters of an innovation are driven by economic performance; once the innovation is institutionalized and taken for granted, later adopters are driven by the quest for legitimacy. They theorized three sources of rationalization of organizational isomorphism in organizational fields—coercive, normative, and mimetic.

The overarching proposition of DiMaggio and Powell's (1983) theory is that increases in an organizational field's structuration lead to increases in isomorphism in organizational forms and practices. As rationalization proceeds, organizational forms look increasingly similar. The structural processes that increase rationalization are 1) an increase in interaction among organizations of the field, 2) the emergence of interorganizational structures of domination and patterns of coalition, 3) an increase in the information overload to which organizations in a field must attend, and 4) the development of a mutual awareness among participants in a set of organizations that they are involved

in a common enterprise. This *structuration* of an organizational field occurs differently depending on the alignment of field activities with the three institutional sectors, the professions, the state, and the market.

Table 2.2 presents a stylized depiction of DiMaggio and Powell's (1983) typology, which they describe as analytical, not empirical, in which the three types of isomorphism intermingle, but derive from different conditions. The connections between the X- and Y-axes of the typology are not clear from the text of their article. Many of their propositions are in contrast to the subfield of population ecology theory (Hannan and Freeman 1977) and in reference to J. W. Meyer and Rowan's (1977) theory of isomorphism and decoupling. The two forms of isomorphism theory are variants of one another at different levels of analysis and with different metatheories, emphasizing cultural and structural effects, respectively. Distinct from J. W. Meyer and Rowan (1977), DiMaggio and Powell's (1983) theory explicitly includes market competition through the concept of mimetic isomorphism.

DiMaggio and Powell's (1983) orienting strategy is a precursor to the institutional logics perspective because it identifies the professions, the state, and competition (a limited view of market) as sources of rationalization. These influences or institutional orders represent alternative sources of legitimacy that organizations may seek from their institutional environment. However, according to the institutional logics perspective, the sources of rationalization differ by institutional orders. A careful reading of DiMaggio and Powell's (1983) theory of isomorphism underscores an important undeveloped

Table 2.2. Theory of Isomorphism: Sources of Organizational Rationalization

Source of legitimacy	Profession	State	Market
Forms of institutional isomorphism	Normative	Coercive	Mimetic
Mechanisms of structuration of fields	Professionalization	Political power, cultural expectations	Standard responses to uncertainty
Increase in interaction of organizations	Status competition, professional filtering, assigned by state		
Patterns of domination			
Patterns of coalition		Collusion, government mandate, budget cycles	
Increase in information overload			
Mutual awareness of common enterprise	Socialization by professional, trade assn. consultants		Practices of successful organizations

DiMaggio and Powell (1983)

element. That is, the meaning of rationality does not substantively change with a change in the influence of different institutional orders. This leaves their theory predicting different types of institutional isomorphism by institutional sector or order, but without a theory of interests and action and how each type of isomorphism would likely modify values, practices, and strategic behavior. The effects of cognition apparently occur only indirectly in a limited way through mimetic isomorphism, manifesting as relatively mindless behavior in response to structural rationalization.

While DiMaggio and Powell (1983) describe how the three institutional sectors, the state, the professions, and the market create three different forms of isomorphism, they overlook the corporation itself as a source of independent variables and how it is a vital source of rationalization. They argue that the corporation is already rationalized; however, Weberian theory of bureaucracy is not the same as that of the modern corporation. Featuring this point, Fligstein's (1985, 1987, 1990) research demonstrates the corporation as an increasingly powerful source of rationalization in its own right.

Fligstein's (1985, 1987, 1990) research identified three competing conceptions of control that guide the governance of large industrial corporations: the manufacturing, sales, and finance conceptions of control. For Fligstein, both intraorganizational power struggles (Fligstein 1987) and field-level struggles to control market competition and contest state legislation shaped the formation of these competing conceptions. Executives' views on how to best run the corporation were selectively influenced by their professional or functional background in the corporation. Employees' ability to fight it out amongst themselves in the rise to the top of the corporation occurs in a Chandlerian (1962) world of significant economic and industrial change and organizational and professional innovation, coupled with a powerful and active state (J. L. Campbell and Lindberg 1990). The eventual result was that first manufacturing, then sales, succumbed in power and control to those in finance. Updating his research on corporate control, Fligstein (2001) developed a shareholder value conception of control as distinct from the earlier finance conception—shifting influences away from the corporation to that of the institutional order of the market.

Fligstein's (1985, 1987, 1990) research on corporate conceptions of control is an important precursor that has inspired the institutional logics approach; it is particularly interesting because it shows how, *within* a corporate institutional logic, there can be contending logics of action that motivate different views of power and their accompanying practices. For example, he shows the power struggles and conflict that ensue between adherents of three different conceptions of managerial capitalism as a result of the interplay of the institutional orders of the state and the professions (i.e., engineering, sales, and finance). Ocasio and Kim (1999) also examined conceptions of control in U.S.

corporations. They highlighted that conceptions of control were not institutionalized, but served as alternative styles (or logics of action) used by different groups to gain power. Unlike Fligstein (1990), who emphasizes historically dominant logics in different time periods, Ocasio and Kim (1999) show evidence of the plurality of conceptions of control coexisting, analogous to later work on pluralism in institutional logics.

In addition to the corporation as an institutional sector, the influences of other institutional sectors are conspicuously absent in DiMaggio and Powell's (1983) early theorizing. The theoretical development of a larger array of institutional orders that influence individual and organizational behavior are ideas yet to be discussed in subsequent chapters as they emerge later in the institutional logics research.

Propositions are the elements of theory building; therefore, we contrast the propositions of J. W. Meyer and Rowan (1977) with those of DiMaggio and Powell (1983). Their propositions are listed in the appendix of this chapter for reference in this discussion. While both J. W. Meyer and Rowan and DiMaggio and Powell emphasize the role of the professions and the state in creating institutional isomorphism, a key distinction of J. W. Meyer and Rowan's propositions is their higher level of abstraction and emphasis on the effects of societal-level culture. In contrast, DiMaggio and Powell's (1983) propositions focus on organizational uncertainty and field-level resource dependencies. Zucker (1991: 104) warns that measures of institutionalization constructed solely at the macro level of analysis often confound institutionalization with resource dependence. She argues that cognitive measures of institutionalization are an advantage in that they are analytically independent of the sanctioning capacity of external environmental actors: for example, firms adopting affirmative-action policies based on their dependence on revenue from federal contracts (Dobbin et al. 1988). As noted earlier, without measures of micro-level variables, it is difficult to determine whether effects reflect institutionalization per se (i.e., exteriority and objectiveness), rather than a competing perspective such as resource dependence theory that focuses on clever strategic responses to external constraint (Oliver 1991).

Elaboration: Origin, Reproduction, Disappearance

One of the looming problems in the development of institutional theory thus far is that it has no explanation for interest and agency. In a well-cited critique, DiMaggio (1988: 12) points out that the theoretical accomplishment of institutional theory is limited in scope to the diffusion and reproduction of successfully institutionalized organizational forms and practices. Without a theory of interest and agency, it cannot explain the origins, reproduction,

and disappearance of institutions. How could this be and what does DiMaggio propose to remedy this astonishing deficit?

In addressing the first question, DiMaggio (1988: 4–5) opines on two ubiquitous conditions of organizational life. First, as long as organizational action is guided by norms or taken-for-grantedness, variation in actors' interests are unlikely to play a significant role in explaining outcomes. Second, institutional theory has focused on domains in which there are limits on cognition and coordination; it is unlikely that actors in these domains can fully understand the relationship between means and ends. Because the assumptions that humans and organizations have a preference for certainty, predictability, and survivability lie at the core of institutional theory, much behavior falls into the category of seeking legitimacy to garner resources—which sustains existing institutions. J. W. Meyer and Rowan (1977) foreshadowed the ability of creative actors to use and manipulate institutions to their own ends, but did not really explain it. Thus, DiMaggio (1988: 9) argues that self-interested behavior is “smuggled into institutional arguments rather than theorized explicitly.”

To remedy this, DiMaggio (1988) proposes several orienting propositions, the first of which is that institutionalization is a product of political actors whose success is dependent on the relative power of those who support, oppose, or otherwise strive to influence. These actors have the influence to 1) reproduce existing institutions by socializing new participants, 2) create new institutions by the organizing efforts of *institutional entrepreneurs* and 3) delegitimize core institutions because the diffusion of institutions is rarely complete and the gap between the local and system levels leaves much room for the hybridization of institutions by processes of interpretation and constituency building. DiMaggio's (1988) orienting propositions lead to a crescendo of research on institutional entrepreneurship, see Hardy and Maguire (2008) for a review.

However, the *metaphysical pathos* is not solved by retreating to the utilitarian individual attempting to maximize interests or avoid uncertainty, or to the organization trying to survive by maintaining power over its environment. The problem still plaguing institutional theory is the duality of interests and culture, the material and the symbolic, which continues to impede theory development.

Variant: Logic of Instrumentalism, of Appropriateness

The theoretical assumptions about how actors make choices and take social action—that is, how rationality is defined—present another vexing problem for institutionalists and social theorists more generally. The institutional theory thus far reviewed made little progress on this question because it

tended to frame the question as a dichotomy pitting rational choice decisions against the nonrational or, in the earlier sociological nomenclature, the technical versus the institutional. This bifurcation was further set in stone by attaching it to different social science disciplines and scholarly identities, rational-choice theorists associated more with political science and economics than sociology (Scott 2008a).

Simon's (1957) concept of bounded rationality in which there are cognitive limits on individuals' ability to achieve any high degree of rationality in their decision making because of the complexity of information and alternatives that would need to be evaluated is the harbinger of subsequent theorizing on how to institutionally embed actor choice and action. Close colleagues, March and Olsen (1984, 1989) developed a more contextualized and organic view of how actors make choices in that ends are modified by means, ends may emerge in the ongoing processes and activities of decision making, and means themselves can become ends (March and Olsen 1989). They develop two variants of rationality, a logic of instrumentalism and a logic of appropriateness. The first asks, what are my interests in this situation? The second asks, given my role in this situation what is expected of me? While the logic of appropriateness is an advance in that it grounds action in a normative framework that considers one's relations and obligations to others in the situation, it continues to maintain the old duality between interests and norms and does not specify how norms themselves are likely to vary with situations or cultural content. As subsequent discussion reveals, the development of the institutional logics perspective offers a way out of this limitation in prior literature.

Variant: From Structural to Cognitive and Cultural

We now turn to DiMaggio and Powell's famous orienting strategy proposed in the introductory chapter of their 1991 edited "orange" volume. In this chapter they comment on both the bright spots and the shadowland of theory development in institutional analysis. Under the banner of several overarching themes, their explicit goal is to lay out a new agenda for institutional theory—what they call neoinstitutional theory. We briefly list these themes and then discuss them in greater detail for their relevance to theory construction and to foreshadow the origin of the institutional logics perspective.

First, DiMaggio and Powell (1991) call for scholars of institutional analysis to align with the disciplines and move from a narrower habitat in organization theory to a broader sociological and social theory tent. They initiate this call by pairing chapters from scholars more squarely located in organization theory with those more centered in general sociology.

Second, they deconstruct the grasp of Parsons' (1951) social and institutional theory, not realizing the parallel pitfalls between Parsons' and their own

theorizing. That is, as Hirsch and Lounsbury (1997: 415) note, Parsons "generated serious dissents for being too committed to isomorphism, to quick to accord functionalist legitimacy to existing structures and outcomes, too focused on stability rather than change, and too slow to see conflict or changes as endogenous." As part of their shunning of Parsons' normative sociology, DiMaggio and Powell (1991) further disavow the sociological foundations of institutional theory, most notably that of Selznick (1949, 1957), as "old," as if a world when individuals were socialized to norms and values no longer exists.

Third, they argue for institutional scholars to embrace the cognitive and cultural turns developing more generally in psychology and sociology, an agenda that DiMaggio by himself fruitfully follows through to develop in subsequent work (DiMaggio 1997, 2002). Fourth, they apply the cognitive turn to their 1983 theory of structural isomorphism in organizational fields, basing it on a psychology of habits, scripts, and schemas—relatively mindless cognition—which they claim as the new microfoundations for institutional analysis. Last, they leave us with a laundry list of topics and authors that they sanction for further building the microfoundations for institutional analysis, highlighting such notables as Simon (1957), Garfinkel (1967), and Giddens (1984).

They begin a discussion of their new orienting strategy with the statement that "the new institutionalism in organization theory and sociology comprises a rejection of rational-actor models" (DiMaggio and Powell 1991: 8). Ironically, they make this statement in the context of rejecting Selznick's (1957) emphasis of the role of leadership and agency in creating and shaping institutions while at the same time lamenting the lack of a theory of interest and agency and microfoundation in their own theory of structural isomorphism. As Hirsch and Lounsbury (1997: 415) note, "the old institutionalism connects much more clearly to action whereas the new institutionalism connects more clearly to structure."

We agree with their assessment that an overemphasis on rational-actor models in the social sciences is a primary motivation for advances in institutional theory. However, casting away Selznick (1957), it would seem, only exacerbates the problems of the neoinstitutional theory they propose. Ironically, they do not recognize that Friedland and Alford (1991) present a solution to the problem of rationality in their own edited volume. In brief, the meaning of rationality changes with changes in the context of institutional orders. This will be discussed in greater detail in subsequent sections.

DiMaggio and Powell's (1991) contribution was to bring cognition to the forefront of institutional analysis, expanding upon Zucker (1977). They did so, however by emphasizing mindless cognition and ignoring mindful action and agency. Not only did they ignore Friedland and Alford (1991), but they

also ignored DiMaggio's (1988) own prior call for agency and institutional entrepreneurship and Powell's (1991) own call in the "orange book" for considering power in expanding the scope of institutional analysis. As a result, DiMaggio and Powell's (1991) attempted synthesis—founded upon a theory of mindless cognition—was challenged by its own authors.

We question why they argue to limit the scope conditions of a theoretical orienting strategy. Should the orienting strategy be able to account for a variety of behaviors driven by different sources and types of interests? Would it not be better to include Selznick's (1957) theory of leadership and action so that further theory growth could occur possibly through integration and a more sophisticated capacity for multilevel and multimethod theoretical research (Hirsch and Lounsbury 1997)? Even institutional theory scholars have recognized that there are plenty of environments in which leaders shape institutions through the governance of organizations (J. W. Meyer and Rowan 1977) and that leaders use norms in evangelizing institutional processes (P. L. Berger and Luckmann 1967).

In comparing DiMaggio and Powell's (1991) representation of the old and the new institutional theory, as illustrated in Table 2.3, why is it still not relevant to expect that 1) there would be subversion of the organization's intended rational mission by parochial interests (See Haveman 2009 for a review), or that 2) local environments might be more salient than global environments in explaining some phenomena (Marquis, Glynn, and Davis 2007; Stuart and Sorenson 2003), or that 3) organizations may not be loosely coupled parts but better understood as organic wholes (de Geus 1997), or that 4) institutionalization might increase diversity in local environments

Table 2.3. The Old and the New Institutionalisms

	Old	New
Conflicts of interest	Central	Peripheral
Source of inertia	Vested Interests	Legitimacy imperative
Structural emphasis	Informal structure	Symbolic role of formal structure
Organization embedded in	Local Community	Field, sector, or society
Nature of embeddedness	Cooptation	Constitutive
Locus of institutionalization	Organization	Field or society
Organizational dynamics	Change	Persistence
Basis of critique of utilitarianism	Theory of interest aggregation	Theory of action
Evidence for critique of utilitarianism	Unanticipated consequences	Unreflective activity
Key forms of cognition	Values, norms, attitudes	Classifications, routines, scripts, schema
Social psychology	Socialization theory	Attribution theory
Cognitive basis of order	Commitment	Habit, practical action
Goals	Displaced	Ambiguous
Agenda	Policy relevance	Disciplinary

DiMaggio and Powell (1991)

(Lounsbury 2007), or that 5) adaptability to the environment might be a source of stability for organizations (Oliver 1991; Baum and Oliver 1992), or that 6) individual intentionality and action could be reflective, but not necessarily rational or normatively socialized (Swidler 1986). Certainly, this table was meant to be rhetorical, to fertilize the ground for new variants of institutional theory, but not to throw out the touchstones of the classics upon which it is built (Stinchcombe 1982).

Variants: Logics of Action

Research referred to as *logics of action* developed in parallel to the institutional logics perspective (DiMaggio 1991; Boltanski and Thévenot 1991). Note the strikingly similar publication dates and that apparently this literature was developing independently and simultaneously in both North America and Europe. The strong connection of this research to the institutional logics perspective resides in its analysis of conflicting logics without focusing on isomorphism and in how the meaning of behavior changes with shifts in the referent to different institutional orders. It is the little recognized grandmother of the institutional logics perspective and it is ironic that the DiMaggio (1991) chapter is included in the same "orange" volume, even though it does not square with their new research agenda, outlined in their introductory chapter, based on a psychology of habits, scripts, and schemas.

The research on logics of action is the first institutional theory research to be coupled with a method of analysis focusing on alternative meanings.¹ It uses historical comparative ideal types specifying a set of attributes on the Y-axis—i.e., sources of legitimacy—that vary according to changes in the X-axis—i.e. institutional orders. This qualitative method coupled with quantitative event-history analysis provided the research model for Thornton and Ocasio (1999) and Thornton (2004) to significantly expand on Friedland and Alford's (1991) initial theoretical formulation. The key insight gleaned from these theory-building research advances is that the sources of rationality change with different institutional orders; this insight challenged the overly simplified assumptions of neoinstitutional theory of the 1970s and 1980s that tended to bifurcate behavior as rational versus nonrational or technical versus

¹ Neoinstitutional theory borrowed event-history analysis from population-ecology theory. This advance enabled the development of large-sample studies and theory and hypothesis testing which was a measurable advance over the armchair intellectualizing and case-study method of earlier institutional theory. However, this innovation in methods came at the expense of reducing an understanding of cultural meaning in which critics cried, *What do the numbers really mean?* It also glossed over important differences, which may have made isomorphism look more real than actual.

institutional (J. W. Meyer and Rowan 1977; DiMaggio and Powell 1983; Tolbert and Zucker 1983).

DiMaggio (1991), borrowing from Weberian comparative analysis, was the first to bring the use of ideal types into institutional analysis with his study of the organizational field of art museums, the Gilman and the Data models. His goal was to understand how competing cultural models conditioned the basis of a power struggle to redefine the field: a struggle pitting the elite upper classes and their social circle of collectors (the community logic) against curators and the new class of museum professionals fueled by the expansion of higher education in the fine arts (the professional logic). While only a qualitative case, it reveals that the structuration of an organizational field is a contested process between these two cultural models and not a slam-dunk story of diffusion and isomorphism.

Boltanski and Thévenot (1991) also develop ideal types and apply the taxonomy of cultural repertoires that present different justifications of worth to understand how people disagree, compromise, and conclude agreements. The authors specify several models or ideal types of institutional settings, or what they term *polities*, that each exhibits a unique definition of worth and a set of criteria for evaluating worth. Their overarching point is that these polities are like institutional orders in the sense that different types of social practices are justified and reproduced by their influences. They illustrate in a variety of scenarios that what is considered legitimate changes depending on the context in which it is negotiated and evaluated using ideal typical categories representing six different worlds—the inspired, domestic, fame, civic, market, and industrial. Compromises are less fragile when there is groundwork to embed them in the specific arrangements of these worlds, assuming that the embedding is congruent with the logics of the worlds. Transposing or juxtaposing elements extracted from the various worlds' descriptions of worth can cause actors to be placed in incongruent or compromising situations depending on the particular scenario.

For example, Boltanski and Thévenot argue that an intuitively awkward example illustrates their point. "At home, to get his children's attention, a father presents a glowing picture of his ability to direct a project at work. . . . The first combines elements borrowed from the domestic world (a father and his children), from the world of fame (attract attention, present a glowing picture), and from the industrial world (ability to direct a project)" (Boltanski and Thévenot 1991: 227). This is an incongruous transfer of worth from different worlds since fathers do not receive attention based on industrial worth through the eyes of their children.

DiMaggio's (1991) and Boltanski and Thévenot's (1991) approaches both posit the existence of conceptions, models, or logics at a supraorganizational level and either implicitly or explicitly emphasize the role of culture in how

individuals and organizations interpret and engage in practices. These examples also illustrate a more systematic analysis of the interrelationship between individuals, organizations, and the environment. They illustrate how institutional logics interpenetrate multiple levels of analysis from the social psychological to the organizational field and the societal sector. Note, the logics of action research is more focused on the sense and decision-making consequences of different institutional logics than on the role of institutionalization in shaping logics.

While DiMaggio and Powell's (1991) introductory chapter foreshadowed the cognitive and cultural turn, it stimulated several attacks because it eschewed the normative foundations of institutional theory and failed to work out the substance of such important issues as how to conceptualize and measure the content of culture and how to develop a theory of nonisomorphic change. As a consequence, our reading of the subsequent institutional theory literature suggests that their "new" theory was not embraced and made influential by subsequent researchers as had been the case for their earlier theory of isomorphism (DiMaggio and Powell 1983). Isomorphism was a different metatheory, structural as distinct from cultural. From our personal discussions of this anomaly, it appears that DiMaggio all but left this field of research shortly after the 1991 chapter was written. Subsequent researchers instead used the chapter as a pulpit to attack isomorphism theory (Kraatz and Zajac 1996) and the cognitive turn (Hirsch 1997), and no one rose to defend it! Nonetheless, the seeds of some of the ideas in the 1991 chapter provided fertile ground for DiMaggio's (1997) subsequent work on culture and cognition which has been influential in institutional logics research (Thornton 2004) and the sociology of culture (Cerulo 2002). Moreover, DiMaggio's (1983) perceptive calls in the 1980s to integrate organization and institutional theory with the sociology of culture, while not resulting in integration per se, did produce productive crossover relationships among institutional and culture scholars.

Integration: Three Pillars and Carriers of Institutions

We continue our analysis of influential orienting strategies in institutional theory by examining Scott's (1995, 2001, 2008b) three institutional pillars—regulative, normative, and cultural-cognitive. Scott states that his purpose in developing this mixed metatheory integration is to identify the "theoretical fault lines" of the research literature and the relative emphasis stressed by different institutional theorists. To aid in understanding the longitudinal progression of Scott's integration, we have reproduced his pillars and carriers tables from the three editions of *Institutions and Organizations*. By following his categorization of institutional theorists over the three editions, we are able to identify advances and changes in Scott's prolific synthesizing of the literature.

We first focus on his concept of institutional pillars and then on his notion of institutional carriers.

INSTITUTIONAL PILLARS

According to Scott (1995, 2001, 2008b), the three pillars are the key elements that constitute or support institutions. To paraphrase Scott's first edition (1995: 35-40), the regulative pillar refers to rule setting, monitoring, and sanctioning activities such as those of the police and the courts, and more informally through folkways that are often associated with actors' pursuit of their rational interests. The normative pillar refers to values and norms that specify the moral, prescriptive, evaluative, and obligatory dimensions of social life that are typically expressed in roles internalized by individuals in ways that may not appear to be rational. The cognitive pillar refers to the nature of reality and the constitution and interpretation of categories and frames through which identity and meaning are interpreted.

In each edition, Scott presents his integration of pillars and carriers in a two-part series of tables, represented as Tables 2.4a (1995), 2.4b (2001), and 2.4c (2008b) for the pillars and 2.5a (1995) and 2.5b (2001, 2008b) for the carriers. The columns of the tables identify the three different pillars, which we refer to as the X-axis. The rows define the principal dimensions and assumptions of the pillars that theorists tend to emphasize, which we refer to as the Y-axis (Scott 1995: 35). Scott's definitions of the three pillars do not substantively change across the three editions. While there are notable changes from edition to edition highlighted in bold-face type, our main focus is on Scott's integration of DiMaggio and Powell's (1983) theory of isomorphism, previously discussed as an alternative orienting strategy.

Each of the three pillars is associated with related but distinguishable sources of legitimacy. According to Scott, legitimacy is not a commodity to be possessed or exchanged, but a condition reflecting consonance with relevant rules or laws, normative support, and cultural alignment (Scott 1995: 45). The regulative pillar emphasizes legitimacy from conformity with legal

Table 2.4a. Varying Emphases: Three Pillars of Institutions

	Regulative	Normative	Cognitive
Basis of compliance	Expedience	Social obligation	Taken-for-grantedness
Mechanisms	Coercive	Normative	Mimetic
Logic	Instrumentality	Appropriateness	Orthodoxy
Indicators	Rules, laws, sanctions	Certification, accreditation	Prevalence, isomorphism
Basis of legitimacy	Legally sanctioned	Morally governed	Culturally supported, conceptually correct

Scott (1995)

Table 2.4b. Three Pillars of Institutions

	Regulative	Normative	Cultural-cognitive
Basis of compliance	Expedience	Social obligation	Taken-for-grantedness, shared understanding
Basis of order	Regulative rules	Binding expectations	Constitutive schema
Mechanisms	Coercive	Normative	Mimetic
Logic	Instrumentality	Appropriateness	Orthodoxy
Indicators	Rules, laws, sanctions	Certification, accreditation	Common beliefs, shared logics of action
Basis of legitimacy	Legally sanctioned	Morally governed	Comprehensible, recognizable, culturally supported

Scott (2001)

Table 2.4c. Three Pillars of Institutions

	Regulative	Normative	Cultural-cognitive
Basis of compliance	Expedience	Social obligation	Taken-for-grantedness, shared understandings
Basis of order	Regulative rules	Binding expectations	Constitutive schema
Mechanisms	Coercive	Normative	Mimetic
Logic	Instrumentality	Appropriateness	Orthodoxy
Indicators	Rules, laws, sanctions	Certification, accreditation	Common beliefs, shared logics of action, isomorphism
Affect	Fear guilt/innocence	Shame/honor	Certainty/confusion
Basis of legitimacy	Legally sanctioned	Morally governed	Comprehensible, recognizable, culturally supported

Scott (2008b)

requirements; the normative pillar highlights legitimacy from conformity with a moral basis; the cognitive pillar stresses legitimacy from adopting a common frame of meaning or definition of the situation (Scott 1995: 65, 47).

In all three editions, Scott's integration cross-classifies the categories of regulative, normative, and cultural-cognitive pillars (X-axis) with DiMaggio and Powell's (1983) mechanisms of structural isomorphism—coercive, normative, and mimetic isomorphism, respectively (Y-axis). For example, Scott aligns the regulative pillar with DiMaggio and Powell's (1983) term coercive isomorphism in the sense of pressures for conformity exerted on organizations stemming from government mandate and existing in a common legal environment.

Scott aligns the normative pillar with DiMaggio and Powell's (1983) mechanism of normative isomorphism. However, this cross-classification is not

analytically discrete. Based on Scott's (1995: 40) definition above, the legitimacy of the normative pillar rests on conformity to a "moral basis." Yet, according to J. W. Meyer and Rowan (1977) and DiMaggio and Powell (1983: 70) normative isomorphism stems primarily from professionalization, which is often associated with science and expert knowledge or professional values of what is proper based on similar education and training. Scott's concept of *morally governed behavior* is narrower and not necessarily the same as what is professionally advocated. One can envision complex examples such as the priesthood, which in some religions would blur the analytical line between the professions and the religions. Scott (1995: 38) states that "the normative conception of institutions is embraced by early ('old') sociologists—from Durkheim through Parsons and Selznick—perhaps because these sociologists have tended to focus attention on institutions such as kinship or religious systems." Yet, for DiMaggio and Powell (1983: 64), the state and the professions are the great rationalizers leading to homogeneity in structure and culture.

From an institutional logics perspective, Scott's normative pillar does not differentiate the potentially conflicting institutional logics of the professions with those of the religions—morality and ethics versus science and progress, respectively. Furthermore, it does not distinguish the normative and cognitive components of professional logics. Elsewhere, Scott (1995: 95) recognizes this by stating, "Professionals exercise their control via cognitive and normative processes."

Moreover, Scott aligns the cultural-cognitive pillar with the mechanism of mimetic isomorphism. As we read DiMaggio and Powell (1983), the variables of uncertainty and competition are the drivers of mimetic isomorphism. That is, organizations perceived to be more legitimate or successful are a convenient source of imitation of new practices. However, we question are the regulative and normative pillars also about cultural-cognitive perceptions as well? For example, variation in culture would determine how individuals, organizations, and nation-states construct, attend to, interpret, and sanction regulations (Dobbin 1994). Scott (2008b: 54) elsewhere recognizes this phenomenon by stating, "many laws are sufficiently controversial or ambiguous that they do not provide clear prescriptions for conduct. In such cases, [which are many] law is better conceived as an occasion for sensemaking and collective interpretation, relying more on cognitive and normative elements for its effects (see Suchman and Edelman 1997)." An institutional logics perspective suggests that the regulative and normative pillars should be variable attributes on the Y-axis of the different institutional orders.

Overall in our judgment, there is a lack of parallelism among the three pillars. Culture and cognition are more general, more abstract concepts than norms and regulations; norms and regulations are elements of culture and

cognition, and culture and cognition are how we as individuals come to understand the meaning of norms and regulations. As Scott (2008b: 57) states elsewhere, "Internal interpretive processes are shaped by external cultural frameworks."

INSTITUTIONAL CARRIERS

Scott (1995: 52) argues that institutions are embedded in various types of repositories or carriers conceptualized as orthogonal to the institutional pillars, resulting in a cross-classification of the two. In Scott's (2001: 77–81, 2008b: 79) second and third editions, as illustrated in Tables 2.5a and 2.5b, he revises the X-axis, relabeling the cognitive pillar to the cultural–cognitive pillar, apparently to reflect the cultural turn in sociology and institutional and organization theory. Scott also revises the Y-axis to relabel social structures as relational systems apparently to reflect the growth of network analysis in sociology and institutional theory and the eschewing of hierarchy, which the label *structure* implies. In addition, Scott adds a fourth category of carrier labeled artifacts, which recognizes the growing popularity of ethnography in organizational analysis. The combined result in Scott's second and third editions is a cross-classification of the three pillars with four types of carriers of institutions—symbolic systems, relational systems, routines, and artifacts.

Table 2.5a. Institutional Pillars and Carriers

Carrier	Regulative	Normative	Cognitive
Cultures	Rules, laws	Values, expectations	Categories, typifications
Social structures	Government systems, power systems	Regimes, authority systems	Structural isomorphism, identities
Routines	Protocols, standard procedures	Conformity, performance of duty	Performance programs, scripts

Scott (1995)

Table 2.5b. Institutional Pillars and Carriers

Carrier	Regulative	Normative	Cultural–cognitive
Symbolic systems	Rules, laws	Values, expectations	Categories, typifications, schema
Relational systems	Governance systems, power systems	Regimes, authority systems	Structural isomorphism, identities
Routines	Protocols, standard operating procedures	Jobs, roles, obedience to duty	Scripts
Artifacts	Objects complying with mandated specifications	Objects meeting conventions, standards	Objects possessing symbolic value

Scott (2001, 2008b)

Scott defines symbolic systems as models, classifications, representations, and logics, giving Bourdieu's concept of habitus as an example. Relational system carriers include patterned expectations connected to networks of social positions arguing, for example, that rules and belief systems are coded into positions and roles. Routines are patterned actions that reflect the tacit knowledge of actors' deeply ingrained habits based on unarticulated knowledge and beliefs such as standard operating procedures. Artifacts as carriers are materials humans create by their own ingenuity to assist in task performance; early forms include tools shaped from rocks and later forms are technologies such as CT scanners (Barley 1986).

Following the call to explain the agentive aspects of institutional theory leads Scott to add the concepts of scripts and schemas to his table of attributes; however, these characteristics connote mindless and routine cognition, not strategic thought and action. Instead, the explanation for strategic action resorts to resource-dependence theory (Oliver 1991). It is noteworthy that Scott does not include in his literature review the agentive qualities of the institutional logics perspective, particularly the potential solution to the agency-structure problem (Thornton and Ocasio 2008).

Over the three editions, we interpret Scott's synthetic integration as consistent with DiMaggio and Powell's (1991) bifurcation of the old and new institutional theory by its bracketing of the normative pillar from the cultural-cognitive pillar of institutions. The effect of the pillars integration in all three editions is to categorize theorists' work as representing or limited by only one of the pillars: Economists and political scientists aligned with the regulative pillar, classic or "old" sociologists aligned with the normative pillar, and "new" institutional theorists aligned with the cultural-cognitive pillar. Scott's pillars approach is a competing orienting strategy to the institutional logics perspective intended to develop a typology of literature on institutional approaches and carriers rather than achieving a theoretical integration among them.

Proliferation: Institutional Logics

In 1991 Friedland and Alford laid out a rationale for why a new theory of institutions was needed. Their rationale recognized DiMaggio's (1988) call for agency but denied the duality between interests and culture maintained in that account. Friedland and Alford (1991) sketched their new theory in the same volume staged to introduce DiMaggio and Powell's (1991) neoinstitutional theory. However, Friedland and Alford's new perspective on institutional logics is significantly different from the views espoused by DiMaggio and Powell (1983, 1991). DiMaggio and Powell (1991: 29) ever so briefly comment on Friedland and Alford's (1991) chapter as "developing quite a

different argument from the rest of the contributors." As research on isomorphism continued to run its course (Mizruchi and Fein 1999), Friedland and Alford's (1991) ideas lay fallow for nearly a decade until in 1999 it was called to the attention of scholars by Thornton and Ocasio. This article was a key benchmark beginning the growth of a proliferation of research in institutional logics.

Friedland and Alford (1991: 244) criticize DiMaggio and Powell (1983, 1991), claiming they do not adequately explain the success and failure of institutionalization. They argue a new theory of institutions, one that theorizes the exteriority of society, is needed to show how *interests* are institutionally shaped. While institution shaping may be instantiated in organizational fields, the root of institutionalization stems from societal-level institutions, not as DiMaggio and Powell (1983) argued from the structuration of organization fields. Friedland and Alford (1991) claim that DiMaggio and Powell's (1983) theorizing assumes an institution-free conception of interest and power and that it maintains the materialist-idealist dualism in which actors' interests can be understood independently of actors' understandings. It is this theoretical error that leads to the faulty assumption that attributes of organizational fields can be specified independently of the institutional arena in which they are located. As an alternative, Friedland and Alford (1991) argue that the content of institutional order(s) specifies the parameters of network relations in organizational fields—the concepts of networks and field dynamics are vacuous without knowing on which of the institutional orders actors in the field draw.

Thus, DiMaggio and Powell's (1983) organizational-field structuration propositions are a competing element of their theory of isomorphism to the institutional logics perspective. We see this recognized in current literature review articles. For example, Boxenbaum and Jonsson (2008: 94) state,

One question that arises is what will happen to studies of organizational fields as the gap widens between agentive and nonagentive institutionalists. The former are migrating down to the organization level or the individual level of analysis, while the latter group is migrating up into higher levels of analysis like institutional logics and national business systems. Will the organization field level become depopulated, or will other research communities migrate to this area of inquiry and take the challenging task of clarifying the link between different levels of analysis.

Friedland and Alford's (1991) ideas are also markedly different from DiMaggio and Powell's (1991) cognitive revision of institutional theory based on a psychology of habits, scripts, and schemas in which behavior is relatively mindless and conflict and interest free. While obviously mindless and consensual behaviors are prevalent, we agree with Friedland and Alford (1991) that

Def: Behavior
scripts and schema are an incomplete theory. From an institutional logics perspective, behavior can also be powerful and strategic; it is mobilized when individuals and organizations violate cultural meanings. Friedland and Alford (1991) ask, how does this occur?

Friedland and Alford's (1991: 240, 244) insight is that institutions operate at different levels of analysis—individuals, organizations, and society. These levels are embedded, but they also have a nearly decomposable capacity for decoupling and autonomy of elements within and across the institutional orders of the interinstitutional system (Thornton 2004). The content of the institutions in different institutional orders may conflict, which creates opportunities for individuals and organizations to manipulate this conflict in practices and symbols (Y-axis); the result being a theory of interests and institutional change that integrates the material and ideal aspects of social systems. For example, in the market as a cultural system, the rules of conduct differ from those of the family and of the corporation. Moreover, this insight departs from the bifurcated disciplinary theorizing in which actors' behavior is either rational or nonrational (DiMaggio and Powell 1983, 1991; Scott 1995, 2001, 2008b). Instead, according to Friedland and Alford (1991) rationality is a relative concept depending upon the location of individuals and organizations in one or more of the institutional orders (cultural subsystems) of the interinstitutional system.

The J. W. Meyer and Rowan (1977) and DiMaggio and Powell (1983) variants of isomorphism theory as well as the institutional logics perspective fall into the *subsystem approach*, as distinct from the *normative approach*, to the analysis of institutions and the content of culture. The subsystem approach defines and identifies institutions with specific clusters or sectors such as the state, the professions, the family, and the market. These sectors are conceptualized as separate spheres of activity each with a distinctive cluster of norms supported by symbols and practices, each forming a distinct part of a typology of institutions, though the specific typologies can vary widely (Zucker 1977: 727). In essence, culture is exteriorized.

The normative approach explains the persistence of norms primarily through the mechanism of internalization. While the normative approach reigned with the influence of Parsons' (1951) work on the social system, it came under criticism for several reasons, most notably because of the advance of such competing perspectives as the toolkit perspective in cultural sociology (Swidler 1986).

The growth of quantitative sociology no doubt played a role in the demise of the normative approach, just as the pervasive advances in statistical methods demanded a solution to the intractable problem of developing independent measures of which norms are most important in a social system. By comparison, a subsystem approach is able to answer the question of which norms are

more salient than others because any individual or organization is likely to be more centered in one or more of the institutional orders than others.

By contrast, neoinstitutional theory (J. W. Meyer and Rowan 1977; DiMaggio and Powell 1983, 1991) had two strikes against the normative approach. While more generally the influences of the cognitive revolution led to an eschewing of the importance of norms, the question of which norms were more important could not be fully addressed because the development of the institutional subsystem was incomplete—i.e., it focused only on the professions, the state, and a limited view of the market. The later revisions of the institutional logics perspective solved the problem with its complete theory of the subsystem in which culture is conceptualized as externalized in practices and vocabularies, rendering norms as measureable facts. Moreover, the institutional logics approach also incorporated the normative approach by specifying norms as a variable element or attribute of the institutional orders (Y-axis). Chapter 3 will elaborate on the combined subsystem and normative approaches to the study of culture with our latest views on the broader model of the interinstitutional system.

Table 2.6 sketches Friedland and Alford's (1991) introduction of the idea that institutions themselves have an order and they are organized quite specifically by what they term institutional orders, Christian religions, the nuclear family, the bureaucratic state, the capitalist market, and democracy as component parts of an interinstitutional social system. While Friedland and

Table 2.6. Interinstitutional System of Institutional Orders: Symbolic and Material Content of Culture

Organizing principles	Capitalist market	Bureaucratic state	Democracy	Nuclear family	Christian religion
Rituals that reinforce beliefs	Signing contracts	Issuance of budget & plans	Voting	Marriage	Communion
Relativation of values	Accumulation & commodification of human activity	Rationalization & regulation of human activity	Popular control over human activity	Motivation of human activity	Symbolic construction of human activity
Basis of affiliation		Legal & bureaucratic hierarchies	Citizen participation	Community	Membership in congregation
Basis of obligation	Convert human activity to a price	Convert diverse individual issues into consensus		Reproduction of family members	Convert issues into moral principles
Basis of loyalty				Unconditional to members	Faith of congregation

Friedland and Alford (1991)

Alford (1991) do not hypothesize the content of the cells of the table, we have largely intuited the content from their discursive text. The institutional order of the market is focused on the accumulation, codification, and pricing of human activity (Friedland and Alford 1991: 249). The institutional order of religion focuses on an explanation for the origin of the world and in converting all issues into expressions of absolute moral principles on the basis of faith. The institutional order of the family focuses on converting social relations into reciprocal and unconditional obligations oriented to the reproduction of family members. Beliefs are reinforced through rituals. The focus of the institutional order of the state is to convert diverse issues into consensus or majority vote.

To recap, Friedland and Alford's (1991) notion of institutional order does not imply isomorphism or mindless cognition. Alternatively, their theory allows culture to *not* be homogenous—but to vary because culture is shaped by very different institutional orders. Variation is enabled because culture is not internalized as in the Parsonian (1951) view; instead, it is externalized in institutional practices and vocabularies that shape not only habitual action, but also strategic decisions. In Friedland and Alford's (1991: 232–5) words, "each order is an institutionally specific cultural system for generating and measuring value." This means that within each institutional order, individuals are confronted with different types of instrumental choices. An individual's consciousness and behavior—their interpretation of rationality—may change depending on how the individual locates or references their sensemaking and decision making within the context of a particular institutional order (Friedland and Alford 1991: 242).

Moreover, the interinstitutional system can be transformed by individuals and organizations exploring how to interpret and manipulate symbols and practices and thus contesting the contradictions between the institutions of different institutional orders (Friedland and Alford 1991: 254). Indeed, without multiple institutional logics available to provide alternative meanings, deviance would be unthinkable for individuals and organizations, much less finding a way to resist or even think in conflict-oriented terms (Friedland and Alford 1991: 254). The institutional logics perspective is a nonfunctionalist conception of society as a potentially contradictory interinstitutional system (Friedland and Alford 1991: 240).

Friedland and Alford's (1991) arguments amount to an explicit critique of DiMaggio and Powell's (1983) isomorphic organizational fields, arguing instead that fields should have tremendous potential to produce and highlight contradictions, conflict, and the autonomy of practices and forms, not necessarily isomorphism. Thus, the institutional logics perspective suggests an opposing proposition: By definition organizational fields are made up of a variety of organizations that have their values anchored in different societal-

level institutional orders. For example, Catholic Hospitals (religion), the American Medical Association (professions), Medicare (states), and Humana Inc. (corporation and market), all have a huge stake in the provision and payment for health care. To apply DiMaggio and Powell's theory of isomorphism—that is to argue that because these organizations observe each other, have relations with each other, and compete and cooperate with each other and therefore are likely to be isomorphic—misses the point of why they are different, why they compete or cooperate, and why they may strive to maintain their autonomy and distinctiveness.

By contrast, an institutional logics perspective would argue that these organizations have *transrational* views of reality and define rationality depending on the root metaphors, values, and practices of their dominant or home institutional orders (Friedland and Alford 1991: 235, 254). It is the contradictory relationships that exist between different institutional orders that allow for individual and organizational autonomy. This is not to say that organizational-field-level dynamics have no influence. They certainly do as many studies have indicated (see Wooten and Hoffman 2008 for a review).

However, Friedland and Alford (1991: 238) argue that researchers should not reduce the state or any of the seven institutional orders to the dynamics of an organizational field; individuals and organizations need to be situated in the institutional structures of society to understand their behavior. At the same time, societal-level logics are not fully determinative. Individuals, organizations, and societies have partial autonomy from each of the other levels. Friedland and Alford's (1991) emphasis is to bring society back not by Parsonian value consensus, but by explaining how individuals and organizations behave by understanding how they are anchored in the cultural institutions of different institutional orders. Implicit in their account is that focusing only on the influences of the state and the professions as the institutional orders of rationality and modernism (as J. W. Meyer and Rowan. (1977) and DiMaggio and Powell (1983) would have us do) places severe limits or scope conditions on the analysis. Indeed, it may miss the origin and definition of important value differences or sources of compromise and conflict. Moreover, it limits the application of the theory to most of the world, which is not modern (Greenwood et al. 2010), and important variations that are based in home culture (Westney 1987; Guillén 1994). As Friedland and Alford (1991: 235) note, "institutional orders generate values which cannot be traded off against alternatives."

In their early statement of the institutional logics perspective, Friedland and Alford (1991) argued to bring in the influences of society by showing how definitions of *interests* and *agency* change according to different institutional orders in an interinstitutional system. J. W. Meyer and Rowan (1977) and DiMaggio and Powell (1983) were partial early versions of the classic

subsystem approach to institutionalization with limited scope conditions; they both focused on the role of the professions and the state, J. W. Meyer and Rowan (1977) theorizing at the societal level and DiMaggio and Powell (1983) theorizing at the field level of analysis, both without a theory of agency.

Variant: A Focus on Normative Dimensions

A variant of the institutional logics perspective that developed quite independently of institutional theory is contained in the ethnographic analysis by Jackall (1988) of the ethical conflicts in corporate organizations. While Jackall (1988) comes to similar conclusions as those of Friedland and Alford (1991) on the role of power and culture, he focuses more on the constraining aspects of institutions than on the opportunities they present for agency. Through his organization-level logic of patrimonial bureaucracy, with its institutional contradictions, Jackall (1988) represents prevailing practices of American managerialism. However, Jackall (1988) does not, like Friedland and Alford (1991), account for institutional creation and change at the supraorganizational structural level, such as the interinstitutional system.

Jackall (1988: 112) defines institutional logic as "the complicated, experientially constructed, and thereby contingent set of rules, premiums and sanctions that men and women in particular contexts create and recreate in such a way that their behavior and accompanying perspective are to some extent regularized and predictable. Put succinctly, an institutional logic is the way a particular social world works." Jackall (1988), unlike J. W. Meyer and Rowan (1977), emphasized practices rather than formal organization structure. Jackall (1988), like Friedland and Alford (1991), viewed institutional logics as embodied in practices, sustained and reproduced by cultural assumptions and political struggles. But the emphasis for Jackall (1988) is on the normative dimensions of institutions and the intrainstitutional contradictions of contemporary forms of organization; in contrast, Friedland and Alford (1991) focus on symbolic resources and the interinstitutional contradictions of the interinstitutional system.

In sum, while varying in their emphasis, Friedland and Alford (1991) and Jackall (1988) both presuppose a core metatheory: To understand individual and organizational behavior, it must be located in a social and institutional context, and this institutional context both regularizes behavior and provides opportunity for agency and change. However, as we will discuss in chapter 3, Friedland and Alford's (1991) typology of the institutional orders of the interinstitutional system is incomplete and conceptually flawed (Doty and Glick 1994) and the various dimensions of the metatheory proposed by Friedland and Alford (1991) and Jackall (1988) remain underspecified. In chapter 3

we will discuss the interinstitutional system and bring the institutional logics perspective up to date with the community of contemporary scholarship.

Discussion and Conclusion

In this chapter we endeavored to lay the foundation for why the institutional logics perspective developed from neoinstitutional theory in sociology. It is a significant proliferation of J. W. Meyer and Rowan's (1977) and DiMaggio and Powell's (1983) variants of isomorphism and legitimacy theories.² Friedland and Alford (1991), like J. W. Meyer and Rowan (1977), emphasize the role of culture in institutions; however the difference is a shift in emphasis from a focus on a single culture, the logic of rationality, to a focus on multiple logics as the chief orienting strategy. According to the institutional logics perspective, legitimacy is only one element of culture and not necessarily the dominant one—this depends on the particular research setting and question. The duality between technical and institutional environments—which is at the center of the isomorphism theory variants of both J. W. Meyer and Rowan (1977) and DiMaggio and Powell (1983)—in the institutional logics perspective is substituted for contradictions in logics between the institutional orders. We see the potential for contestation in logics in J. W. Meyer and Rowan's (1977) and DiMaggio and Powell's (1983) clear identification of the influences of the professions and the state, but this is only a partial interinstitutional system. March and Olsen (1984, 1989) argue that logics guide action and that logics are tied to identity. Like legitimacy, identity is another important element of institutional orders. However, their theorizing is limited by the duality of the logics of appropriateness and consequences, rather than an integration as in Friedland and Alford's (1991) initial theoretical formulation. Similarly, DiMaggio's (1988) attempt at agency does not solve the duality problem. While Zucker (1977) and DiMaggio and Powell (1991) were important advances in freeing neoinstitutionalism from the limits of structuration and ushering in the cognitive revolution, both are about mindless cognition. Friedland and Alford (1991) were at least implicitly advocating for both mindless and mindful cognition. Scott's (1995, 2001, 2008b) conceptualization of the institutional pillars and carriers remains as an alternative approach to the institutional logics perspective and is useful as a typology of institutional approaches rather than an attempt at theoretical integration.

² There are at least two definitions of an organizational field, one by Scott (2008b: 182) and the other by DiMaggio and Powell (1983). If one follows Scott's definition, the theory of isomorphism is a competitor; if one follows DiMaggio and Powell's definition, it is a proliferant.

This theoretical critique to identify the precursors of the institutional logics perspective may appear more negative than intended. We clearly mean to pay homage to prior theorists and realize that hindsight makes it easier for us to critique and to garner insights. There is no doubt however in our minds that we are building on the shoulders of giants.

We follow in chapter 3 with a presentation of the interinstitutional system and discuss in detail the advances made by contemporary institutional logics researchers who are paving the way to solving the next generation of theoretical and methodological problems.

APPENDIX: COMPARISON OF PROPOSITIONS:

J. W. Meyer and Rowan (1977)

1. As rationalized institutional rules arise in given domains of work activity, formal organizations form and expand by incorporating these rules as structural elements.
2. The more modernized the society, the more extended the rationalized institutional structure in given domains and the greater the number of domains containing rationalized institutions.
3. Organizations that incorporate societally legitimated rationalized elements in their formal structures maximize their legitimacy and increase their resources and survival capabilities.
4. Because attempts to control and coordinate activities in institutionalized organizations lead to conflicts and loss of legitimacy, elements of structure are decoupled from activities and from each other.
5. The more an organization's structure is derived from institutionalized myths, the more it maintains elaborate displays of confidence, satisfaction, and good faith, internally and externally.

DiMaggio and Powell (1983)

1. The greater the dependence of an organization on another organization, the more similar it will become to that organization in structure, climate, and behavioral focus.
2. The greater the centralization of organization A's resource supply, the greater the extent to which organization A will change isomorphically to resemble the organizations on which it depends for resources.

3. The more uncertain the relationship between means and ends, the greater the extent to which an organization will model itself after organizations it perceives as successful.
4. The more ambiguous the goals of an organization, the greater the extent to which the organization will model itself after organizations that it perceives as successful.
5. The greater the reliance on academic credentials in choosing managerial and staff personnel, the greater the extent to which an organization will become like other organizations in its field.
6. The greater the participation of organizational managers in trade and professional associations, the more likely the organization will be, or will become, like other organizations in its field.
7. The greater the extent to which an organizational field is dependent upon a single (or several similar) source(s), the higher the level of isomorphism.
8. The greater the extent to which the organizations in a field transact with agencies of the state, the greater the extent of isomorphism in the field as a whole.
9. The smaller the number of visible alternative organizational models in a field, the faster the rate of isomorphism in that field.
10. The greater the extent to which technologies are uncertain or goals are ambiguous within a field, the greater the rate of isomorphic change.
11. The greater the extent of professionalization in a field, the greater the institutional isomorphic change.
12. The greater the extent of structuration of a field, the greater the degree of isomorphism.

3

Defining the Interinstitutional System

Introduction

Friedland and Alford's (1991) most critical contribution to the development of the institutional logics perspective is their theory of institutions at the societal level—what they termed the interinstitutional system. While their societal-level ideas eventually produced a disruptive effect on neoinstitutional theory, they needed considerable development to spur the research currently occurring within the institutional logics perspective.

Here and in chapter 5, our goal is to impart a working knowledge of the interinstitutional system as an essential guide to understanding the meta-theoretical architecture of the institutional logics perspective. First, we define the concept of the interinstitutional system and then chronicle its development as a typology useful for theorizing and measuring the effects of institutions on cognition and behavior. This chronicle includes a discussion of why Friedland and Alford's (1991) implied typology of the interinstitutional system needed development and why the proliferation developed by Thornton (2004) is not complete. We further develop the typology of the interinstitutional system by presenting a new variant that includes a new institutional order—the community logic.

Community
Logic

We herald the importance of the concept of the interinstitutional system as a recursive theory of society that incorporates individuals and organizations (Friedland and Alford 1991). We develop examples and applications in response to theoretical limitations identified in prior chapters. Recall in chapter 1, we briefly highlighted those limitations by opining that any theory of institutions needs a way to 1) integrate, yet illustrate the partial autonomy of social structure and action, 2) understand how institutions operate at multiple levels of analysis, 3) integrate the symbolic and material aspects of institutions, and 4) explain institutions as historically contingent. As we will explain here and in chapter 5, without some mechanism for partial autonomy of social structure and action, a theory of institutions cannot explain institutional origins and change.

Likewise, without a method to integrate the symbolic and the material aspects, institutional change cannot occur. √ √

Overall, our aim in elaborating the interinstitutional system is to identify and simplify its properties to show its advantages in addressing these theoretical challenges in empirical research. In chapter 5, we continue the discussion of the interinstitutional system by focusing on its historical contingency, systemic properties of stability and change, and further applications of the typology to understand institutional change.

Definitional Differences

Thornton and Ocasio (1999) fused insights developed by Jackall (1988) and Friedland and Alford (1991) in their definition of institutional logics as the socially constructed, historical patterns of cultural symbols and material practices, assumptions, values and beliefs by which individuals produce and reproduce their material subsistence, organize time and space, and provide meaning to their daily activity. It is important to note that Friedland and Alford's (1991) approach is both structural and symbolic, whereas Jackall's (1988) is both structural and normative. Thornton and Ocasio's (1999) perspective integrates the structural, normative, and symbolic as three necessary and complementary dimensions of institutions. This is distinct from the separable structural (coercive), normative, and symbolic (cognitive) carriers, as suggested by Scott's (1995, 2001, 2008a) institutional-pillars approach discussed in chapter 2. The institutional logics perspective integrates these concepts. Various bases for structure, norms, and symbols are integral parts of any institutional order; they are variable attributes on the Y-axis of different institutional orders.

According to Thornton and Ocasio's (1999) definition, institutional logics that motivate cognition and behavior are derived in part from external socially constructed stimuli. Thus, to understand how institutions are created and how they influence cognition and behavior, one needs to understand how institutions shape interests independently of individuals and organizations. This is what Friedland and Alford (1991) referred to as the "exteriority" of institutions in their now classic "Bring Back Society" chapter. Their primary goal was to stimulate ideas on how to bring the content of societal institutions into individuals' and organizations' behavior (Thornton 2009). They highlighted many of the basic ingredients to develop a "levels" theory of institutions that links internal mental cognition to external societal rituals and stimuli (Wiley 1988). They argued that three levels need to be included, "individuals competing and negotiating, organizations in conflict and coordination, and institutions in contradiction and independence"

(Friedland and Alford 1991: 240–241). Note that the concepts of “individual” and “organization” can be transposed, and that the interinstitutional system provides a framework for understanding a levels metatheory of institutions. This levels metatheory is conceptualized as a matrix in which institutional orders are represented on the X-axis and the elemental categories that compose an institutional order are represented on the Y-axis (Thornton 2004).

The Interinstitutional System as Ideal Type

One way to incorporate the core assumptions of the institutional logics perspective in a representation of the interinstitutional system and make it suitable for systemically advancing theory construction is through the development of a typology of ideal types to aid scientific inquiry (Doty and Glick 1994). Scientific discovery assumes a prior construction of categories applied to observations to simplify and organize them. The purpose of systematically developing analytic categories a priori is to highlight what is essential about the phenomena and to constrain the natural and often unconscious process of observer bias. Friedland and Alford's (1991) concept of the interinstitutional system, with some modifications to be subsequently discussed, offers a typology of ideal type categories as a tool for empirical analysis. We believe that institutional logics ideal types are an analytical advance in cultural analysis over prior normative and latent-variable (Parsons 1951) and structural organization-field approaches (DiMaggio 1997). They help the researcher sharpen the questions considerably and theorize how to link the inter-institutional system to agentic theoretical approaches such as tool kits and event sequencing (Thornton 2004). According to the latent-variable approach, individuals act based on their socialization to cultural norms and values within particular domains such as families and corporations. As we will illustrate in chapter 5, the implications of conceptualizing the inter-institutional system as ideal types is to mitigate Swidler's (1986) critique that socialization to norms places limits on culture as a source of strategic action (see Thornton 2004: 38–45).

Ideal types are a tool to interpret cultural meanings into their logically pure components; the concept is one of Weber's most celebrated contributions, especially in his theory of adequate causation (Swedberg 2005: 120). The use of ideal types is a first step in an analysis to help the researcher avoid getting bogged down in merely reproducing the often-confusing empirical situation. As noted in chapter 2, DiMaggio (1991) first brought back into institutional analysis the use of ideal types to analyze his observations on the institutional and organizational changes at art museums.

The goal of using ideal types in theory construction and empirical research is to provide a rich yet generalizable understanding of the varied processes that shape the observed institutional outcome. Ideal types convey what is essential about a phenomenon through an analytical exaggeration of some of its aspects (Swedberg 2005: 119). Ideal types are a theoretical model for how the boundaries of the institutional orders are systematically defined and identified. This method of analysis has several advantages. It is well suited to generating multicausal explanations of particular outcomes, combining both the normative (vertical Y-axis) and the subsystem (horizontal X-axis) approaches to specifying the content of culture. It can accommodate integration of theory at multiple levels of analysis, which increases the accuracy and generalizability of the theory (Doty and Glick 1994). Moreover, the use of ideal types is compatible with mixed methods analyses that integrate theory construction with qualitative data and theory testing with quantitative data and methods of analysis (Thornton and Ocasio 1999).

We stress that ideal types are not a description of an organizational field, research context, or level of analysis. They are an abstract model used to gauge the relative distance of the observations from the pure form or ideal type. In theory this distance can be used to predict some outcome variable, though we are in need of methods development research on how to quantify this distance. An ideal type is not a hypothesis, but it offers guidance in the construction of hypotheses. An ideal type is not an average type, nor does *ideal* imply approval—there are ideal types of brothels as well as churches (Swedberg 2005: 119).

The use of ideal types is analogous to how a researcher might use a statistical model for predicting and estimating the characteristics of a population. For example, the normal distribution is used as a yardstick to predict and measure the relative distance of subjects' scores from a particular known pattern of scores. In using the normal distribution, researchers do not expect to find a normal individual, organization, or population. Doty and Glick (1994) argue that typologies, if properly constructed, are not just simple classification systems; rather, they meet the criteria of theory in that they can be subjected to rigorous empirical testing using quantitative models. In the appendix to this chapter, we include a fuller explanation of ideal types in theory construction and empirical research and suggest further reading.

Institutional Orders: The X-Axis

As described in chapter 2, the institutions of societies are organized by subsystems, what Friedland and Alford (1991) called institutional orders that, combined, compose the key cornerstone institutions of society. Each of the institutional orders of the interinstitutional system is defined as a different

domain of institutions built around a cornerstone institution that represents the cultural symbols and material practices that govern a commonly recognized area of life. Each institutional order represents a governance system that provides a frame of reference that preconditions actors' sensemaking choices. The cornerstone institution connotes the root symbols and metaphors through which individuals and organizations perceive and categorize their activity and infuse it with meaning and value. While obviously at a different level of analysis, the cornerstone institution is similar to the Latin root of a word in that it indicates how the meaning of a word can be interpreted and elaborated.

In their initial theoretical formulation of the interinstitutional system, Friedland and Alford (1991) identified the market, the bureaucratic state, democracy, the nuclear family, and Christian religions, what we refer to as the horizontal X-axis of their implied typology. In a subsequent section, we return to their particular arrangement of institutional orders as this chapter develops to examine why it is problematic and present an alternative arrangement of the X-axis.

Institutional Orders: The Y-Axis

Each of the institutional orders is composed of elemental categories or building blocks, which represent the cultural symbols and material practices particular to that order, what we refer to as the vertical Y-axis. These building blocks specify the organizing principles that shape individual and organizational preferences and interests and the repertoire of behaviors by which interests and preferences are attained within the sphere of influence of a specific order (Friedland and Alford 1991: 232). In theory, the categorical elements on the vertical Y-axis represent how individuals and organizations, if influenced by any one institutional order, are likely to understand their sense of self and identity: that is, who they are, their logics of action, how they act, their vocabularies of motive, and what language is salient.

Friedland and Alford (1991) did not fully develop their idea of an interinstitutional system at the elemental categorical level; for example, sources of norms and identity conceptualized on the Y-axis as a variable of an institutional logic on the X-axis. Thornton and Ocasio (1999) first began to develop this analysis of elemental categories of two institutional orders—the market and the professions—based on a specific instantiation of U.S. higher education publishing. We use *instantiation* to mean an instance of concrete evidence of the theory (Random House Webster's College Dictionary 1990).

Recognizing the need to develop a more general theoretical model of the Y-axis of the interinstitutional system, Thornton (2004), as illustrated in Table 3.1, compares the within-order elemental categories across institutional

orders—for example the root metaphors, sources of legitimacy, identity, norms, and authority, and the basis of attention—across six institutional orders: markets, corporations, professions, states, families, and Christian religions. These examples are not meant to be exhaustive on the Y-axis, but only illustrative of specific instantiations guided by existing theories supported by empirical research.

Thornton and Ocasio (1999) developed their ideal types as part of an empirical study; therefore, they can easily be traced to their research questions, data, and theory of attention. However, Thornton's (2004) more general typology abbreviated in Table 3.1 may not be so intuitive and raises the question of how the categorical elements on the Y-axis tie to each of the institutional orders. The general answer is that elemental categories identified on the vertical Y-axis are grounded in the conventional nomenclature of social science empirical research, sociological, anthropological, archeological, psychological, political science, or economic concepts that assist the scholar in the comparative interpretation of cognition and practice within and across institutional orders. This approach encourages building on the foundations of existing micro- and meso-level social science research as the metatheory that underlies the interinstitutional system is disciplinary agnostic, promoting integrative and interdisciplinary theorizing. This is distinct from the disciplinary divide of the pillars perspective and neoinstitutional theory more generally (Hall and Taylor 1996). Note also that our interdisciplinary approach differs from Friedland and Alford's (1991) early critique of organization and economic theory, a critique made prior to the elaboration of the concept of the interinstitutional system and the institutional logics perspective. V

The more specific response to the question of how the categorical elements of the Y-axis tie to the institutional orders is to follow an example comparing the orders of the professions and the corporation (see Thornton 2004: 42–4). In reference to Table 3.1, the elemental category of “control mechanisms” under the professional institutional order refers to a code of ethics and peer surveillance organized by external associations. Complementary to this is the elemental category of “root metaphor” as relational network, which allows personal control over the distribution of professional expertise (Powell 1990). The professional institutional order's expectation of control mechanisms is distinct, for example, from a corporate institutional order in which knowledge and expertise are embedded in the routines and capabilities of a hierarchy (Nelson and Winter 1982; Levitt and March 1988; M. D. Cohen and Bacdayan 1994; Freidson 2001), suggesting instead that expertise would be embedded in the corporation, not the person or their relational network. According to a corporate logic, the person becomes an employee, which equates to being under the control of managers (Blau and Scott 1962), not functioning as a quasi-independent source of expertise. CD

Table 3.1. Interinstitutional System Ideal Types*

Y-Axis:	X-Axis: Institutional Orders					
Categories	Family	Religion	State	Market	Profession	Corporation
Root Metaphor	Family as firm	Temple as bank	Redistribution mechanism	Transaction	Relational network	Hierarchy
Sources of Legitimacy	Unconditional loyalty	Sacredness in society	Democratic participation	Share price	Personal expertise	Market position of firm
Sources of Authority	Patriarchal domination	Priesthood charisma	Bureaucratic domination	Shareholder activism	Professional association	Top management
Sources of Identity	Family reputation	Association with deities	Social & economic class	Faceless	Association with quality of craft	Bureaucratic roles
Basis of Norms	Household membership	Congregational membership	Citizenship membership	Self-interest	Associational membership	Firm employment
Basis of Attention	Status in household	Relation to supernatural	Status of interest group	Status in market	Status in profession	Status in hierarchy
Basis of Strategy	Increase family honor	Increase religious symbolism of natural events	Increase community good	Increase profit	Increase personal reputation	Increase size of firm
Informal Control Mechanisms	Family politics	Worship of calling	Backroom politics	Industry analysts	Celebrity professionals	Organization culture
Economic System	Family capitalism	Occidental capitalism	Welfare capitalism	Market capitalism	Personal capitalism	Managerial capitalism

*Abbreviated from Thornton (2004).

In the business press, Dugan (2002) describes the conflicting institutional logics underlying this example in terms of the changes that transpired at Arthur Andersen and some say led to its demise as a leading international accounting firm. These changes essentially amounted to a shift in control mechanisms and organizational forms from a professional to a corporate institutional logic; where one accountant described how he used to perform auditing and then was "sales trained" and pressured to sell management consulting services.

Similarly, in the scholarly literature, such jurisdictional migrations of elemental categories on the Y-axis across the X-axis are evident, although the analyses are not formalized with ideal types. For example, Greenwood, Suddaby, and Hinings (2002) explored the jurisdictional migration of accounting firms between audit and accounting, tax and insolvency, and management advisory services. Suddaby and Greenwood (2005: 50) further develop these ideas by describing the blurring of cognitive boundaries between the professions and the market to justify multidisciplinary firms that mixed legal and accounting services. As we illustrate in chapter 5, it is this jurisdictional overlap of institutional orders that creates institutional complexity.

Partial Autonomy: Cognitive and Organizational Loose Coupling

Particularly in pluralistic societies, individuals and organizations typically assume multiple roles and identities, which often create conflicting pressures on their cognitive and behavioral capacities. More abstractly, this phenomenon was first recognized in psychology by role theory with the concepts of role strain and role conflict (Sarbin 1943, 1954). As chapter 4 will explain in detail, contemporary cognitive and social-psychological theories explain that individuals are quite capable of dealing with multiple roles and identities. For instance, an individual can avoid cognitive conflict when pairing a norm from one institutional order with a norm from another by compartmentalizing the norms. Organizations have an analog at a higher level of analysis with the concepts of loose and decoupling (Weick 1976; J. W. Meyer and Rowan 1977) and segregating (cf. Hannan and Freeman 1998).

An analogous form of conflict was first identified in sociology by J. W. Meyer and Rowan (1977) in their theory of loose coupling to explain why organizations adopted a practice only ceremonially in their administrative offices—e.g., HR endorses it or management announces it, but the practice is not implemented in the organization's technical core. They argued that organizations defend themselves against the complexity of conflicting expectations of their institutional environment by loose coupling. This enables organizations to both contend with the conflict and to seek legitimacy by conforming to the institutional

environment's pressures, while at the same time defending the efficient functioning of the organization's technical core. We suggest an analogous process occurs, albeit at different levels of analysis, as a result of individuals and organizations operating in reference to multiple spheres of influence of institutional orders that may be in conflict over the course of their lives. Assuming parallel effects across levels of analysis, we suggest that one way individuals and organizations deal with the pressures of conflicting logics of different institutional orders is to loosely couple or decouple who they are from how they act.

The literature on loose coupling is divided, focusing on defensive and strategic aspects: Defensive aspects represent an organization's response to maintaining internal organization efficiency in the face of pressures from heterogeneous organizational fields (see Boxenbaum and Jonsson 2008 for a review). Strategic aspects represent how an organization is aware of decoupling for the purposes of impression management to receive certain advantages (Elsbach and Sutton 1992). J. W. Meyer and Rowan (1977) initially theorized loose coupling as a defensive action to enhance organization survival. Numerous quantitative studies have found support for their theory (Edelman 1992; Westphal and Zajac 1994, 1997, 1998, 2001; Fiss and Zajac 2006). While the concepts of loose coupling and segregating assume that organizations and individuals, respectively, can manipulate categorical elements strategically (Swidler 1986), like all institutional analysis, the institutional logics perspective assumes that there is restraint on strategic behavior, but how much restraint exists remains in question.

Most of this research is at the organization–organizational-field level of analyses—and therefore research is needed at the individual– and organization–institutional-field levels. There are few quantitative studies of loose coupling as a strategic act and thus much room for further research on which variables affect in particular an individual, but also whether organizations are likely to engage in loose coupling or decoupling for strategic, as distinct from defensive, reasons (Boxenbaum and Jonsson 2008). We know little about how the type and level of cognitive as well as social restraint are likely to vary by institutional order or by type of recombination of the symbols and practices of the Y-axis elements. We suggest at the cognitive level that some institutional logics are more accessible to individual and organizational identities than others. In a simplified example, one can assume on average that normative constraints would be greater in church than on Wall Street; that the principles underlying Wall Street would need to be segregated or loosely coupled from the principles guiding the church. However, when social facts are well institutionalized, ethnomethodologists argue that the moral aspects are less salient than the cognitive (Garfinkel 1967). In subsequent chapters, we further discuss actors' strategic uses of culture versus culture as a restraint on strategic behavior.

In sum, Thornton's (2004) general set of ideal types is a theoretical model that was developed from a careful reading of social-science theoretical and empirical research. The elemental categories on the vertical Y-axis and the X, Y cell contents are a didactic example; the categories and cell contents are not meant to be interpreted and used as a predetermined representation of the interinstitutional system. The elemental categories of the vertical Y-axis shown in the tables are established social-science concepts; the horizontal X-axis represents cultural subsystems or institutional orders of societies, some of which are more likely than others to be observed in modern or Western societies. For example, the professions may have earlier incarnations such as guilds and the corporation may not be well developed in non-Western and pre-modern societies (Scott 2003). The elemental categories on the vertical Y-axis are not exhaustive and can vary in terms of which ones are most salient to the researcher's questions and research context. We emphasize that the X, Y cell contents will vary depending on the instantiation of interinstitutional system logics in the particular research context. The cell contents are not a description of the particular instantiation, but instead an analytical interpretation that should highlight key concepts and foreshadow testable hypotheses.

You may ask, doesn't this *a priori* bias the analysis? The answer is, no, not necessarily. Scientific inquiry often assumes prior iterative construction of categories, which are then used as tools to gauge observations in order to simplify and organize them. This prevents the researcher from getting bogged down in unobserved bias and the minutia of details—missing the forest for the trees. Implicitly, the Y-axis categories exist—we are suggesting the researcher make them transparent. The use of ideal types aids in "theorization" (Strang and Meyer 1993), in that it disciplines the researcher to identify abstract categories that simplify and distill the properties of new practices and the outcomes to be expected. The selection of which of these elemental categories is employed in empirical research depends on the researcher's questions and focus of attention, as well as the characteristics of the research context. The use of ideal types can lead to hypothesis generation from existing theory and to the development of completely new theory because the instantiation—i.e., concrete evidence—may be just too far flung from the ideal types. We will return to this question in the subsequent section on ideal types.

Partial Autonomy: Near-Decomposability of Institutional Orders

The institutional orders identified on the horizontal X-axis and their elemental categories identified on the vertical Y-axis, while interrelated, are also partially autonomous. To illustrate our argument on partial autonomy, we draw on Simon's (1962) theorizing on the near-decomposability of complex systems.

According to Simon (1962), complex systems are composed of interrelated subsystems that, in turn, can be divided into smaller subsystems, each of which may be further subdivided and so on. Interaction among subsystems can be distinguished from interactions within subsystems, among the parts of those subsystems. Simon (1962: 469) gives the example, "almost all societies have elementary units called families, which may be grouped into villages or tribes, and these into larger groupings." Using numerous examples from the physical, biological, and social sciences, Simon illustrates that complex systems can be decomposed into subsystems comprised of their individual elements; he is not proposing a model of segmentation, instead his essay emphasizes that the parts are loosely coupled and nearly decomposable. Simon (1962) explains that this hierarchical near-decomposability of complex systems enhances the survival of the system as a whole.

An organizational example of near-decomposability in relation to the idea of survivability of the system as a whole includes the M-form (Chandler 1962) and conglomerate organizational forms. In these cases, management has the ability to blend and segregate and reconfigure business units as market environments shift (Galunic and Eisenhardt 2001), sustainability requirements change (Pil and Cohen 2006), and management philosophies evolve (Davis, Diekmann, and Tinsley 1994). In chapter 5, we will argue in greater depth that the interinstitutional system has an analogous *modularity* that allows it to adapt and change over time by the migration of the elemental categories across institutional orders by various forces such as cultural entrepreneurs, structural overlap, and event sequencing. The limits of this near-decomposability of the interinstitutional system is an unexplored empirical question, though we suggest it is not infinite because, historically, even with revolutionary change in institutions there remain some elemental parts.

The causal connections within and among the levels of the X and Y axes of the interinstitutional system are not specified a priori—this is for the researcher to discover in any particular substantive context. Note that this assumption is similar to that of the definition of an organization field. However, unlike an organization field, in theory the boundaries of the X and Y axes in the institutional logics perspective are identifiable. The causal paths of the X and Y change processes can be analyzed by the forms of institutional orders rather than by the structural filters of organizations or organizational fields. We are not suggesting there is no term for structure or organizational field in the institutional-change equation; we are only arguing that our theory allows for the broader possibility that individuals may directly engage the categorical elements of the institutional orders of the interinstitutional system at the societal level and have no logical reference point in an organizational field.

Research shows that material practices can diffuse cognitively without structural network ties: Diffusion processes can operate more like the social

construction of identity than the mechanisms of the spread of information (Strang and Meyer 1994). An actor may not need to be relationally connected or be socialized in the typical sense by families and organizations in order to perceive the meaning of cultural symbols and act out practices that materialize those symbols. As chapter 2 chronicled, DiMaggio and Powell (1991) was an initial attempt to correct this bifurcated misinterpretation by suggesting a cognitive theory of institutions.

It is important to point out that this individual-organization-society argument is not the same as J. W. Meyer and colleagues' (1997) world-society approach in which nation-states make relatively homogeneous decisions that have no roots in the varieties of local cultural practices. An important distinction here is that the institutional logics perspective is a theory of cultural heterogeneity in which the cultural content is specified according to the categorical elements of one or more of the seven institutional orders. Culture is not only the forces of modernization through the professions (social and physical sciences) and the state per J. W. Meyer and colleagues' approach, as this may a priori present a bias toward the Western world when in some societies the institutional orders of family and religion may be more salient. Thus, the broader scope of the institutional logics perspective makes it useful for understanding more recent examples of organizing that are characterized by Internet communities and solo individuals that may be quite anti-professional, but powerful arbiters of cultural symbols and practices. For example, the community of open-source programmer anarchists outcompeting and overwhelming the hierarchical world of closed source "corporate" software managers (Raymond [1997] 1999). Another example is the recent revolt in Egypt originating via cell phones and the community of "The Facebook Freedom Fighter" (2011), not the "professional" intelligentsia characteristic of prior political revolutions (C. Brinton [1938] 1965).

In sum, the cornerstones or building blocks of society are represented as an interinstitutional system that includes the institutional orders (columns, X-axis), the elemental categories (rows, Y-axis), and the cultural content resulting from this cross classification of the X and Y axes (X, Y cells). The institutional logics perspective includes both the warp and the weft: It characterizes the world as both sensed (identifying symbols and practices, i.e., the Y-axis) and acted upon (the means for producing symbols and practices, i.e., the X-axis) in an institutional field.

Definition of Institutional Fields

In institutional fields, participants take one another into account as they carry out interrelated categories of symbols and practices within and across individuals and organizations. The symbolic and ideational are those aspects of

institutions that denote meaning; practices materialize the ideas represented by symbols (Zilber 2008). This definition does not limit the field concept to "structuration" (DiMaggio and Powell 1983). It also does not limit the field concept to only the institutional orders of the state, the professions, and market competition, or to a particular level of analysis. It means that the boundaries of an institutional field are observable within and across the borders of institutional orders and their categorical elements. Our definition is consistent with Friedland and Alford's (1991: 240–1) call for theory that allows for "institutions in contradiction and independence."

It is important to remember that DiMaggio and Powell's (1983) definition of field originated from organizational sociology and their attempt to develop an organization theory of the effects of the institutional environment on organizations. The institutional logics perspective is a metatheory of institutions that includes organizations. Institutional fields require the marriage of both symbolic meanings and material practices.

Cultural Content: Cells of the X, Y Axes

In comparing elemental categories on the Y-axis across institutional orders on the X-axis, symbols and practices appear contradictory or complementary. These contradictions and complementarities are areas of opportunity that can be exploited by individuals and organizations in identifying and solving problems and garnering support through new combinations of existing symbols and practices. This occurs by transposing categorical elements, that is cultural symbols and material practices, from one institutional order to another within an institutional field (Thornton 2004). *Transposition* refers to when categorical elements of an institutional order migrate or are transferred to a substantive context in which they did not originally exist (Sewell 1992). Transposition occurs by several mechanisms, institutional entrepreneurs, structural overlap, and event sequencing (Thornton and Ocasio 2008), which create various forms of transformational and developmental change in institutional logics. These institutional-change processes are further elaborated and illustrated with case narratives in chapter 5 and theoretical elaborations in chapters 6 and 7.

Cultural Space in Society

The institutional orders and their categorical elements compete for cultural space in society by vying for individuals' and organizations' attention and patronage. As Hughes (1936: 186) claims, "institutions may compete for

individual patronage; the persons who support them may be regarded somewhat as customers. . . . To survive, an institution must find a place in the standards of living of people, as well as in their sentiments." The cultural symbols and material practices of the institutional orders on the X-axis are competing and complementary organizing principles relative to one another. They have the potential to symbiotically co-occupy cultural space. Empirical research shows that such jurisdictional cooperation and competition can fluctuate over time (Abbott 1988; Dunn and Jones 2010).

Recall, for example, in the theorizing of J. W. Meyer and Rowan (1977) and DiMaggio and Powell (1983) described in chapter 2 that the structuration of society or of an organization field was driven by the symbiotic interests of the state, the professions, and competition (market logic). Their theories suggest the alignment of complementary interests between the professions and the state. For example, the professions construct the knowledge undergirding what are appropriate conceptions and the state creates the legal apparatus to enforce or reinforce those conceptions. Recall the propositions and definitions of these scholars as reviewed in chapter 2 regarding a world society or organization field depended on the relational networks among the constituents of the state and the professions to do just that. In another example, M. Weber's (1904) classic thesis on the "Protestant Ethic and the Spirit of Capitalism" could have been developed in the recent context as an argument on the complementary categorical elements of Christian religion and the market institutional logics. In effect this would equate the "calling" with a work ethic and translate saving and investment into signs of salvation. Yet, the contemporary case of Islamic religion remains in conflict with market principles and Weber's arguments applied in this context would not have produced his same views of the origins of capitalist economic systems. We elaborate these ideas further by presenting illustrative case narratives in chapter 5.

In contrast, the institutional orders of the state and religion in much of the modern Western world are often considered in conflict; for example, the U.S. constitution ensures their separation. However, historically, this is not always the case and there is often a tension around the contemporary ebb and flow of patronage, i.e. state funding of faith-based social-service organizations. For example, in prerevolutionary France, ancient forms of parliament were made up of the clergy (religion), nobility (state), and the common man (community). Historically, state rulers or corporate leaders in some societies rely on elements of religion to legitimate their power; this is not just an ancient view of the relationships between these institutional orders, vestiges of it are present in the contemporary Western world (Greenwood et al. 2010) and in current-day Islamic-theocratic countries.

While we have relied to some extent on ecological metaphors to communicate our ideas, we do not mean to imply determinism or lack of power and

agency in our explanations of the interinstitutional system. However, this discussion of individuals and organizations absorbed in multiple complementary and competing logics does raise the question of the role of power and agency in the institutional logics perspective.

Cultural Effects on Power and Agency

Arguably the most salient critique of the institutional logics perspective is its treatment of the concept of power. Friedland and Alford (1991: 246) argued that the effects of power are not universal, but are culturally and institutionally contingent across institutional orders or sectors. Hence, power is not a sufficient condition to explain institutionalization or institutional change.

That is, the influences of different institutional orders are frames of reference that precondition individuals and organizations to have different interpretations of how to use power. Thus, power is conceptualized as a variable on the vertical Y-axis of the interinstitutional system, meaning that some uses of power will be legitimate and others will not, depending on which institutional orders are cognitively invoked by individuals and organizations and most salient in society.

One way to theorize which logics are likely to be dominant and transformative versus competing or complimentary and stable is to compare the consequences of the sources of legitimacy across different institutional orders with respect for their implications for how power is likely to be enacted. Thornton and Ocasio (1999) tested this argument, contrasting the consequences of the use of power in organizations, but only between the institutional orders of the professions and the market because that is what was most concrete in the U.S. publishing industry during their observation period.

More generally, power can be interpreted and materialized from a fuller spectrum of lenses—the logics of the family, religion, state, corporation, and community. These other institutional orders may come into play in other historical periods in publishing or in other substantive contexts, as in the case when the family was a stronger influence in publishing's earlier history and the state a stronger influence in international publishing, for example in Canada's and France's contention to both promote and protect its cultural industries (Smith 1995; Jourdan, Thornton, and Durand 2011). In another example, the institutional logic of the community drives the open-source software industry, not a leadership style based in power and coercive relations, because open source is dependent on motivating voluntary communities of interest (Raymond [1997] 1999).

The researcher must consider the intervening variables of the particular instantiations that pose an alternative or contingent explanation to power. For example, how institutionalized (structured) is the organizational field or industry (DiMaggio and Powell 1983)? Is it emergent and therefore power is not likely to be consolidated (Fligstein 1996)? Is competence-destroying technological innovation redistributing power, democratizing it for individuals, and lowering entry barriers for a plethora of small organizations (Tushman and Anderson 1986)?

The limits of the strong claim that power is culturally contingent are relatively unexamined across a broader spectrum of institutional sectors and non-Western contexts as well as with stratification variables like gender which may suggest a universal or isomorphic effect of male domination across institutional orders and societies. Currently, the very limited empirical work on power and institutional logics raises questions regarding the relative limits of these competing arguments. Do the uses of power reflect varied responses to cultural heterogeneity from the complexity raised by the contradictions across institutional orders per the institutional logics perspective? Or, are the responses to power and domination universal and hence immune or impervious to differences and contradictions across the different logics of various institutional orders. Such questions on the relative effects of culture and power provide fertile ground for sorting out the assumptions and scope conditions of the institutional logics perspective in future research.

Finally, Stinchcombe (2002: 429) has commented on how to theorize the question of power. He argued that an understanding of culture is needed to define the meaning of power and competition and that in building theory this question presents a causal ordering problem. If power is theorized as a first-order construct in explaining institutional change, independently of culture, two problems need to be addressed. First power is created in the course of action; it does not occur prior to the action that it explains. Second, the decision to use power is an intentional strategic choice; however, it is not always possible for actors to know the cultural framing or menus of available options in advance of any action.

In sum, institutional orders of the interinstitutional system in an ecological sense compete and cooperate with one another over time for cultural space and individual and organizational attention and patronage. While the process of institutional change is more easily observable at the elemental categorical level, what is important from an institutional logics perspective is that micro-processes of change are built from analogies, combinations, translations, and adaptations of more macro institutional logics. Subsequent chapters will elaborate on this theory of cultural embeddedness.

Proliferation: Rearranging the Institutional Orders

As previously discussed, Friedland and Alford's (1991) typology is more complete in different respects than that of prior institutional theory; however, it has limited applications because it remains incomplete, is not abstract enough to be applied across societies, and the institutional orders are not analytically distinct (Doty and Glick 1994). Thornton (2004) made the first attempt to remedy these issues with the goal of making the interinstitutional system a useful tool in theory construction and empirical research. As shown in Table 3.1, Thornton's (2004) model based in a reading of Weber ([1922] 1978) and organization theory identifies categorical elements of any one institutional order (column) representing predictions for symbols and practices in theory likely to be observed within that order's sphere of influence. The typology assumes that rationality in institutional analysis is theorized and measured as a variable of the different institutional orders, a key distinguishing factor from neoinstitutional theory's binary view of rationality.

Friedland and Alford (1991) did not discuss the interinstitutional system in a didactic sense; that was not the purpose of their article. Our rationale for evaluating and modifying their rudimentary idea is based on a close reading of J. W. Meyer and Rowan (1977), DiMaggio and Powell (1983), and M. Weber ([1922] 1978), as well as reference to the principles of typological analysis (Doty and Glick 1994). Surprisingly, Friedland and Alford (1991) do not directly reference Weber's work on modernity and social development, yet there is a close affinity to it in many respects and in particular with Weber's notion of value-spheres (Swedberg 2005: 290–1). Weber identified several life-orders or what he termed value-spheres, for example the economic, political, esthetic, erotic, and intellectual spheres (Gerth and Mills 1946: 323–57; Whimster 2004: 220–41). Each order has a pattern of logics peculiar to itself with limited autonomy among the spheres. Each order represents to individuals the difficult choices of which values to follow, since the values embodied in each sphere are often in irreconcilable conflict with each other. For example, Weber commented on the tension between economic and religious values and recognized that over history the differences between the orders have become more distinct.

The influences of several institutional sectors are absent in Friedland and Alford's (1991) representation of the interinstitutional system. The influences of the professions, which both Meyer and Rowan (1977) and DiMaggio and Powell (1983) so clearly laid out, are mysteriously absent. Also absent is the institutional order of the corporation as exemplified in Fligstein's seminal (1985, 1987, 1990) research. Thornton's (2004) research integrates these two institutional orders, developing some elements of their Y-axes and the X, Y cell contents.

You may ask, shouldn't the corporate institutional order be labeled and defined as the organizational institutional order given that organization is a broader concept than corporation? The point is that the corporation is an institution and a governance system, an organization is a structure such as a hierarchy or network and is not necessarily an institution or governance system (Selznick 1957). As we described earlier, organization is a variable on the Y-axis that can vary across the institutional orders of the X-axis. The corporation is an institutional innovation with its origins traced to the shift from personal to corporate rights with the fragmentation of feudalism and the seventeenth-century philosophers' emphasis on "natural rights" (Coleman 1974, 1990). The corporation is a legal institution that has given rise to a wide range of economic activity because of its distinct advantages such as capital assimilation, ability to engage in contracts, and limited liability for shareholders (Williamson 1975; Roy 1997). Scott (2003) recognizes the proliferation of the corporation as one of the most significant building blocks distinguishing the modern from the pre-modern world. Indeed, Chandler (1962) and Fligstein (1985, 1990) empirically showed the corporation to be a great enabler of social and economic transformation.

Thornton (2004) further questioned the reasoning of qualifying the institutional order of the state as the "bureaucratic state." Isn't bureaucracy an organizational form used by the state to carry out its objectives? Couldn't other institutional orders be characterized as bureaucratic as well? Take, for example, the central role of bureaucracy at both General Motors (corporate logic) and the Catholic Church (religion logic). Based on this reasoning, Thornton dropped bureaucracy from its singular association with the institutional order of the state, leaving it to the individual researcher to decide on its usefulness as an elemental category on the Y-axis.¹

Continuing such analyses raises the question of why Friedland and Alford's (1991) concept of democracy holds its own as a separate institutional order on the X-axis, rather than as a potential categorical element of the Y-axis. Isn't democracy a particular ideology as distinct from an institutional logic, like socialism and communism among others? Again, why wouldn't democracy be a variable of the state or other institutional orders such as the corporation (see discussion in chapter 1 on ideology and institutional logics)? Corporations can have flat hierarchies with the goal of democratic management styles. Thus, we suggest that democracy is best represented on the Y-axis as a variable of the existing institutional orders. With each of these changes to Friedland

¹ It is noteworthy that DiMaggio and Powell (1983) in particular used the Weberian roots of the study of bureaucracy as the launching pad for their theory of isomorphism. Therefore, bureaucracy as an organizational form appears more in line with the neo-institutionalists in organizational and cultural sociology, not the institutional logics perspective, and this seems inconsistent with Friedland and Alford's critique of the neo-institutionalists.

and Alford's (1991) initial theoretical formulation Thornton (2004) established a set of ideal types that were mutually exclusive and more generally useful for theory construction and empirical research, as illustrated in Table 3.1.

Variant: Community as an Institutional Order

Thornton's (2004) typology did much to make Friedland and Alford's (1991) initial theoretical formulation of the interinstitutional system amenable to theory construction and empirical research. However, we suggest it overlooked an important institutional order—the community. In this section, we make use of the research on community to evaluate the relevance of the concept of community as an institutional order on the X-axis. Marquis, Glynn, and Davis (2007), by showing that norms of corporate community involvement evolved differently in each community, argued that local community matters in important ways for the study of institutions and organizations. In applying neoinstitutional theory to community infrastructures, they argued that communities embody local understandings, norms, and rules that serve as touchstones for legitimating mental models upon which individuals and organizations draw to create common definitions of a situation (Marquis, Glynn, and Davis 2007: 927).

The idea that community is a salient variable is not new; it was central to both the classic and mid-century theorists. M. Weber ([1922] 1978: 902) defined community as constituting more than an economic group because a community is driven not just by the economic disposition of goods and services, but also by value systems that order its economy. A community is constituted by a "territory" and by social action that is not restricted exclusively to the satisfaction of common economic needs of the communal economy. Tonnies (1887) emphasized the distinction between community (*Gemeinschaft*) and society (*Gesellschaft*); community connotes the collective relationships between people that emphasize the interpersonal and particularistic, and society refers to the transparent, anonymous, and universal.

The study of organizations by mid-century theorists was "naturally" intertwined with an understanding of community influences (Scott 2003). Both Selznick's (1949) study of the Tennessee Valley Authority and Zald's (1970) examination of the Chicago YMCA evidenced the importance of the local community in explaining institutions and organizations. Moreover, the notion of community was fundamental in the study of urban ecology (Hawley 1950) and central to Warren's (1967) concept of "interorganizational community," defined as a geographically bounded group of organizations that are interdependently competitive and cooperative for purposes of collective

benefit. As Scott (2003: 129–30) notes, Hirsch (1985) developed the related concept of industry system. Warren's (1967) and Hirsch's (1985) concepts foreshadowed the development of the popularized concept of "organizational field" (DiMaggio and Powell 1983), which arguably displaced the older concept of community. In his synthetic review, Scott (2003) heralded the organizational field as an advance because the bounding concept included not just the horizontal relations among organizations, but also the vertical or hierarchical relations with organizations outside of the community. In the morphing of this literature it strikes us that the displacement of the concept of community may have been further enabled by the rising popularity of network analysis. If our hunch is correct, without the concept of community we cannot know what set of norms, values, symbols, and practices are being transmitted or transacted by the pipes and prisms of the network (Podolny and Page 1998; Fligstein 2001).

Brint (2001) comments that the sociological literature on community is plagued by descriptive studies implying that without theory development any concept is vulnerable to waning in the literature. We note the exception of Merton's (1942) use of scientific communities to develop middle-range theory as in the exemplary case of Podolny's (1993) status-based theory of markets. In hopes of breathing new life into this vein of literature, Brint (2001: 8) offers a new definition. He states, "communities are aggregates of people who share common activities and/or beliefs and who are bound together principally by relations of affect, loyalty, common values, and/or personal concern." Note there is no mention of spatial, territorial, or geographic boundaries which opens up the scope of inquiry to contemporary types of communities influenced by open-source technologies (von Hippel and von Krogh 2003; O'Mahony and Ferraro 2007; O'Mahony and Bechky 2008) and the intersections of entrepreneurship and social movements at the local and national levels (Rao, Morrill, and Zald 2000; Ingram and Rao 2004; Lounsbury 2005).

Currently, scholars are taking up the challenge to revitalize the study of community in new and interesting ways (Marquis, Lounsbury, and Greenwood 2011; Marquis and Battilana 2007) and culling the organization theory literature for findings that show how communities make a difference in organizational behavior. O'Mahony and Lakhani (2011), among others, challenged organization theory for overlooking community effects in explaining the newer C-forms of organizing that include informal groups of volunteers collaborating and sharing knowledge (Seidel and Stewart 2011).

Marquis and Battilana (2007), in their literature review, bring to our attention a revival of research on the effects of community: what they explain as a response to the overemphasis on institutional isomorphism and globalization. Their main argument is that not all institutional effects can be explained

by homogeneity-producing processes and the view that society is moving from the particular to the universal. They recognize paradoxically neoinstitutional theory with its stringent assumptions situating individuals and organizations in historical and cultural contexts has overlooked the influences of local systems—cultural, social, and legal.

In summarizing their review, they found that local community has a significant impact on organizational behavior in a variety of instances; for example, the proximity of geographic boundaries influences organizational practices such as nonprofit giving (Galaskiewicz 1997), boards of directors structure (Kono et al. 1998; Marquis 2003), and corporate-governance practices (G. F. Davis and Greve 1997). Different localities have been observed to exhibit shared frames of reference on a diverse range of topics such as corporate social responsibility behaviors (Marquis, Glynn, and Davis 2007), corporate strategies (Lounsbury 2007), governance processes (Abzug and Simonoff 2004), and organizational foundings (O. Sorenson and Audia 2000). Moreover, Marquis and Battilana (2007) point out that significant variation in local laws (J. L. Campbell and Lindberg 1990) and the proximity of market boundaries account for variation in organizational behavior (Audia, Freeman, and Reynolds 2006; Stuart and Sorenson 2003; Freeman and Audia 2006). Greve (2000, 2002), for example, found that local competition is more central to organizational decision making than more macro field-level characteristics.

Combined, the studies reviewed by Marquis and Battilana (2007) suggest that colocation, proximity, and community are central concepts driving the ecology of organizations and markets. They also pointed out that ever-lingering community and place-bound effects are important as well in explaining relational networks (Putnam 1993, 2000), districts of industry (Piore and Sabel 1984), and innovation (Saxenian 1994).

O'Mahony and Lakhani (2011: 6) provide an intriguing community literature review by focusing on causal aspects of new technologies and organizing forms such as open-source and social movements in which organizations are characterized as residing "in the shadow of communities as opposed to vice versa." They argue communities are essential to the evolution of organizations in that they not only are the genesis, but also the mediators of performance and growth. Yet, interestingly, communities also can be threatening alternatives to organizations, making it difficult for organizations to do business or even terminating their operations, while the community itself triumphantly lives on and thrives without the organization. Ingram and Rao (2004) and Ingram, Yue, and Rao (2010) demonstrated this with respect to their research on the protests against chain stores such as Walmart in which activists waged protests to protect the local business community of independent retailers. Marquis and Lounsbury (2007) found that communities represent threats in

that they have the ability to encourage the founding of new organizations with countervailing values.

O'Mahony and Lakhani (2011) point out that contemporary communities coalesce around any number of identity sources, ranging from academic communities (Crane 1972; Knorr-Cetina 1999) to occupational (van Maanen and Barley 1984; Orr 1996; Bechky 2003), and communities of practice (Brown and Duguid 1991, 2001; Wenger 1998, 2000; Lave and Wenger 1991), to technical (Tushman and Rosenkopf 1992; van de Ven and Garud 1994; van de Ven and Hargrave 2003), online (Cummings, Kiesler and Sproull 2002; Fayard, DeSanctis, and Roach 2004) and open-source communities (von Hippel and von Krogh 2003; O'Mahony and Ferraro 2007; O'Mahony and Bechky 2008).

Marquis, Glynn, and Davis (2007) argue that community is important in the analysis of institution building, maintenance, and destruction, and the gestalt of Marquis and Battilana's (2007) review suggests that there is need for a correction in organization theory towards taking into account local community influences to explain organization behavior. O'Mahony and Lakhani (2011) take a bolder step by implying that organization theory has not grown in the right directions to explain the organizational forms and behaviors of the Internet age because it has forgotten its roots in community studies.

Following on Brint's (2001) comment to help move community studies beyond the descriptive level, we extend the ideas gleaned from the reviews of largely qualitative community studies to suggest a more formalized comparative approach to theorizing and measuring the effects of community. That is, to conceptualize the effects of community in line with the institutional logics perspective. This suggests that community should be conceptualized as a vertical institutional order on the X-axis that competes with or complements the governance systems of other orders of the interinstitutional system, particularly markets, corporations, and professions, among the others.

For example, Schneiberg (2002) and Schneiberg, King, and Smith (2008) showed in the insurance, dairy, and grain industries that cooperative community-bound associations were competing forms of governance to markets and hierarchies in American capitalism in the late nineteenth and early twentieth centuries. On the basis of promises by members of the community to cover each other's losses, membership in mutual and cooperative associations helped secure autonomous economic development for social, immigrant, and religious groups bent on warding off consolidation by the rising prevalence of joint stock corporations (corporate logic). Lounsbury (2005) and his fellow researchers (Lounsbury, Ventresca, and Hirsch 2003) showed that the early stage of the recycling movement was founded and driven by a community logic of economic development before it was

challenged by a more hierarchical national approach that promoted building a profit-making recycling industry according to corporate and market logics. This implies a stage effect in which communities may be the generators of new practices (O'Mahony and Lakhani 2011). Raymond ([1997] 1999: 22) in his description of the sources of legitimacy of the open-source software industry describes the "severe effort of many converging wills." Open source requires migrating the jurisdiction of software development to the community institutional order in which the ego satisfaction and reputation of programmers replaces the utility function of a market logic in bringing about self-correcting spontaneous order. Raymond ([1997] 1999: 22) writes that "among hackers ego-boosting enhancement of one's reputation among fans is the basic drive behind volunteer activity that connects selfish hackers to sustained cooperation."

Table 3.2 represents an ideal typical depiction of the interinstitutional system with the addition of a new entry on the X-axis, the community logic. We have derived the ideal types on the vertical Y-axis, that is the categorical elements such as sources of legitimacy, authority, and identity and the bases of norms, attention, and strategy from an interpretation of the research on community across the broad sweep of literatures previously discussed. Each elemental category represents in theory a mutually exclusive alternative to the elemental categories of the other institutional orders. As stressed in the prior section, the ideal types are used for comparative purposes as Schneiberg (2002), for example, did in comparing cooperatives (community logic) to the alternatives of markets and hierarchies (market and corporate logics).

Discussion and Conclusion

In this chapter, we have addressed how and why societal culture is externalized to individuals and organizations in a levels theory of institutions. This is an important question because a theory of institutions needs to recognize that individuals and organizations are embedded in social structures, yet also explain how they are externalized or partially autonomous, allowing them to construct institutions socially (P. L. Berger and Luckmann 1967). The challenge of explaining the exteriority or partial autonomy of institutions requires incorporating other underlying principles of the metatheory of the institutional logics perspective. That is, the metatheory must have the capacity to integrate multiple levels of analysis and to incorporate both the material and symbolic aspects of institutions as illustrated by the categorical elements of the Y-axis and the interinstitutional system as a nearly decomposable system. The most judicious way to encompass these underlying

Table 3.2. Revised Interinstitutional System Ideal Types

Y-Axis:	X-Axis: Institutional Orders						
Categories	Family 1	Community 2	Religion 3	State 4	Market 5	Profession 6	Corporation 7
Root Metaphor 1	Family as firm	Common boundary	Temple as bank	State as redistribution mechanism	Transaction	Profession as relational network	Corporation as hierarchy
Sources of Legitimacy 2	Unconditional loyalty	Unity of will Belief in trust & reciprocity	Importance of faith & sacredness in economy & society	Democratic participation	Share price	Personal expertise	Market position of firm
Sources of Authority 3	Patriarchal domination	Commitment to community values & ideology	Priesthood charisma	Bureaucratic domination	Shareholder activism	Professional association	Board of directors
Sources of Identity 4	Family reputation	Emotional connection Ego-satisfaction & reputation	Association with deities	Social & economic class	Faceless	Association with quality of craft Personal reputation	Top management Bureaucratic roles
Basis of Norms 5	Membership in household	Group membership	Membership in congregation	Citizenship in nation	Self-interest	Membership in guild & association	Employment in firm
Basis of Attention 6	Status in household	Personal investment in group	Relation to supernatural	Status of interest group	Status in market	Status in profession	Status in hierarchy
Basis of Strategy 7	Increase family honor	Increase status & honor of members & practices	Increase religious symbolism of natural events	Increase community good	Increase efficiency profit	Increase personal reputation	Increase size & diversification of firm
Informal Control Mechanisms 8	Family politics	Visibility of actions	Worship of calling	Backroom politics	Industry analysts	Celebrity professionals	Organization culture
Economic System 9	Family capitalism	Cooperative capitalism	Occidental capitalism	Welfare capitalism	Market capitalism	Personal capitalism	Managerial capitalism

metatheoretical principles and to clarify their usefulness for theory construction and empirical research is to develop a typology of ideal types from Friedland and Alford's (1991) rudimentary idea of the interinstitutional system. This multi-level X-Y-matrix approach with its modular and nearly decomposable characteristics is essential to addressing the problems of embedded agency and explaining institutional emergence and change.

We have advanced this endeavor beyond that of Thornton's (2004) initial conceptualization by elaborating the characteristics of the X and Y axes and justifying by a literature review the concept of community as an institutional order. Stated simply, the method underlying our approach has been to formalize the concept of the interinstitutional system for use as an analytical tool that lays the groundwork for subsequent chapters to squarely address the common critiques of neoinstitutional theory previously foreshadowed. In addition, we have situated and discussed the contingent effects of the commonly employed concept of power as a mechanism of agency within the contexts of different institutional orders of the interinstitutional system.

In chapter 5, we continue our discussion of the interinstitutional system with a focus on its systemic properties of stability and change and its historical contingency. We further apply and demonstrate the typology of the interinstitutional system to analyze individual- and societal-level effects on innovation and institutional change.

APPENDIX

Typologies allow for multidimensional classification of phenomena and are composed of two parts: 1) the description of ideal types and 2) the set of assertions that relate the ideal types to the dependent variable (Doty and Glick 1994). The ideal types are a conceptual scheme that implies a set of hypotheses. Typologies must meet three criteria for theory building: 1) constructs must be identified, 2) relationships among these constructs must be specified, and 3) these relationships must be falsifiable. The ideal types are intended to provide an abstract model that represents a combination of those attributes believed to determine the dependent variables of interest. The ideal types provide a means of clustering individuals and organizations into categorical types to measure and explain deviation from the pure form. In this way, intelligible comparisons can be made (Zelditch 1971), and the theory can be falsified by determining the degree of similarity or dissimilarity between the ideal types and the dependent variables of interest.

Typologies have a number of advantages. First, the ideal types are not specified with observations in the sample; observations in the sample may or may not closely resemble the ideal types described in the theory. Therefore, the process of theory development and the range of the dependent variables are not restricted by the characteristics of the sample. Second, typological methods of theory building are useful for specifying multiple patterns of constructs and nonlinear relationships that determine the dependent variable. Two constructs may be positively related in organizations that resemble one ideal type, negatively related in those that look like a second ideal type, and unrelated in organizations that are similar to a third or fourth ideal type (Doty and Glick 1994: 244). This conceptual flexibility is helpful in theory construction in which countervailing and time-dependent effects are expected. Moreover, this feature is a good fit in theory testing using dynamic models because it does not constrain assumptions, for example, about the reversal of a theoretically precise causal relationship (Tuma and Hannan 1984) or about multilevel effects (DiPrete and Forristal 1994). This allows, for example, the effects at the individual level of analysis to vary from the effects at the organizational and environmental levels of analysis. For example, to understand how to conduct event-history analysis, students are first taught to diagram the state spaces for the independent and dependent variable(s) of interest and the theoretically expected transitions from one state space to another (Tuma 1990). However, without at least an argument in mind, this is a confusing task for the student. Knowledge of the elements of typology can make this task clearer. Last, typological methods are useful for testing a cultural argument in which the researcher is interested in analyzing, net of a change in structural positions or material conditions, how cultural effects vary within the population or across the time span studied (DiMaggio 1994: 28). For a general introduction to the topic of ideal types see Martin Albrow (1990, 149-57).

4

Microfoundations of Institutional Logics

In this chapter, we explore the microfoundations of institutional logics and their role in the ongoing reproduction and transformation of organizations and institutions. While neoinstitutional theory (J. W. Meyer and Rowan 1977; DiMaggio and Powell 1983) was traditionally developed as a theory of structural effects on organizations with a limited role for agency (cf. DiMaggio 1986), more recent approaches highlight the importance of social actors in institutional processes (e.g., Hallett and Ventresca 2006b; Powell and Colyvas 2008; Battilana, Leca, and Boxenbaum 2009). From an institutional logics perspective, social actors are key to understanding institutional persistence and change.

The importance of social actors was a critical insight in Friedland and Alford's (1991) seminal contribution on institutional logics. Friedland and Alford's (1991) theory highlights the interplay between three interdependent but autonomous levels—society, organizations, and individuals—"individuals competing and negotiating, organizations in conflict and coordination, and institutions in contradiction and interdependency" (240–1). In their view of individual behavior, Friedland and Alford reject the methodological individualism of rational choice theory and its multiple variants. At the same time, they also reject a structural deterministic view as they emphasize instead the importance of cognition, identities, interests, and power in individual agency. Yet, Friedland and Alford (1991) do not offer a developed microtheory. However, they view individual behavior as "nested" within organizations and institutions that specify progressively higher levels of opportunity and constraint (242).

A careful reading of Friedland and Alford (1991) suggests two distinct views about the relationship between individuals and institutional logics—one emphasizing opportunities, the other emphasizing constraint. The opportunity for individual agency inherent in the institutional logics perspective is reflected in the title of their essay: "Bringing Society Back In: Symbols, Practices, and Institutional Contradictions." This perspective emphasizes the

contradictory institutional orders that constitute modern societies. Institutional contradictions provide individuals and organizations with opportunities for agency and institutional change by exploiting these contradictions. Both the symbols and practices of higher-order institutional logics can be invoked by individuals effectuating change in organizations and institutions (Holm 1995; Seo and Creed 2002; Greenwood and Suddaby 2006).

A second argument emphasizing constraints posits that institutional logics shape individual preferences, organizational interests, and the categories and repertoires of actions to attain those interests and preferences. Dominant institutional logics become taken for granted (Zucker 1977), not by providing specific scripts for action, à la DiMaggio and Powell's (1991) position, but by establishing core principles for organizing activities and channeling interests. This view of how institutional logics shape action has become known as embedded agency, or social action that is culturally embedded in institutional logics.

While embedded agency has typically been viewed as a source of institutional constraint (Holm 1995; Seo and Creed 2002), embedded agency also allows for a significant form of change to occur and needs not imply organizational or institutional inertia. For example, Thornton and Ocasio (1999) and Thornton (2002, 2004) show how dominant logics in the higher education publishing industry facilitate agency through executive succession, the adoption of multidivisional organizations, and corporate acquisitions. While less well developed, dominant institutional logics also allow for endogenous processes of institutional change. Institutional logics are not static structures impervious to change. Institutional logics provide social actors with impetus and motivation for elaboration and development of the extant logic (cf. Edelman 1992). For example, market logics have experienced significant elaboration with the rise of shareholder value orientation and the primacy of financial markets (Zajac and Westphal 2004; G. F. Davis 2009). As market logics became increasingly dominant in large U.S. corporations and financial markets, practitioners and theoreticians elaborated more extreme forms of the dominant market logic. Institutional logics also provide an endogenous impetus for institutional change by stimulating the exportation of logics across organizational forms and institutional fields (Djelic and Ainamo 2005).

While embedded agency and institutional contradictions are key to the microfoundations of the institutional logics perspective, a full understanding of the role of social actors in shaping and being shaped by institutions requires a more developed theory of human behavior. Thornton and Ocasio (1999) and Thornton (2004) built on a theory of attention (Ocasio 1997) to link macro logics to micro behaviors and decisions. But this attention perspective serves better to explain the macro constraints on behavior than the opportunities offered by the availability of multiple institutional logics in society and

✓ Human
behavior

GAP

in institutional fields. Note that Thornton (2004) further considers how institutional logics not only constrain, but also enable behavior through the formation of cognitive schemas. How the theory of attention relates to the effects on cognitive schemas is not fully developed however. To explain fully how institutional logics provide both opportunities and constraints for individuals and organizations, and under what circumstances, requires a more developed theory of how human attention, cognition, and action account for both the opportunities and constraints offered by institutional logics.

Our intent here is to provide such a theory by incorporating current psychological understanding of human behavior and linking it to sociological perspectives. Cultural sociologists have taken a similar approach, highlighting the cognitive foundations of culture (DiMaggio 1997; Cerulo 2002). Here, we rely not only on cognitive psychology, but also on social psychology for microfoundations. To do so, we first present our general assumptions of human behavior. Then, building on our model of human behavior, we present a model that shows a variety of causal links between institutional logics, practices, individuals, and interactions.

A Model of Human Behavior: Situated, Embedded, Boundedly Intentional Behavior

Just

One of the key challenges of developing microfoundations is establishing a coherent set of assumptions about individual (and group) behavior. Rational choice theory is an example of such a coherent and fully developed theory that has not only dominated economics but is highly influential in political science (e.g., Riker 1990; Krehbiel 1991), and to a much lesser extent in sociology (e.g., Coleman 1990; Hechter and Kanazawa 1997). Rational choice approaches have also been adopted within a variety of institutional theories in economics (e.g., Schotter 2008), political science (e.g., Shepsle 1995), and sociology (e.g., M. C. Brinton and Nee 1998). Yet the psychological assumptions behind rational choice theory have been challenged (e.g., Sen 1977; Simon 1995) as has its predictive validity (e.g., Tversky and Kahneman 1986; Green and Shapiro 1996). More recently, these challenges have become influential within economics and behavioral economics has become more prevalent as a theory of human behavior (Kahneman 2003; Camerer, Loewenstein, and Rabin 2004). Yet behavioral economics, while incorporating systematic cognitive limitations on individuals, still provides a primarily asocial conception of human behavior.

Granovetter's (1985) theoretical treatise brings a sociological challenge to rational choice theory by developing the concept of embeddedness. Granovetter argues that both rational choice and bounded rationality

(e.g., Williamson 1975) accounts provide an undersocialized view of how humans act. He also argues that traditional structural, cultural, and institutional accounts (e.g., Parsons 1956) provide an oversocialized view, with a limited role for individual agency. Positing that individuals are embedded in structures of social networks, Granovetter suggests that individual choices and actions, while instrumental, are situationally constrained by the networks in which individuals are embedded. The embeddedness perspective has been widely influential in organizational theory for the study of interorganizational relations (e.g., Uzzi 1996, 1997).

Zukin and DiMaggio (1990) extended Granovetter's theory of structural embeddedness to account for other varieties of embeddedness: cognitive, cultural, and political. Cognitive embeddedness is defined as "the ways in which the structured regularities of mental processes limit the exercise of economic reasoning." Cultural embeddedness refers to "the role of shared collective understandings in shaping economic strategies and goals" (17). Political embeddedness entails "the manner in which economic institutions and decisions are shaped by a struggle for power that involves economic actors and nonmarket institutions," including the state (20). Structural, cultural, and political embeddedness are all inherently sociological concepts. "Cognitive embeddedness" is psychological and will not be part of our use of the embeddedness concept, by which we highlight the social nature of human behavior; instead, it will be part of our conception of bounded intentionality, developed below. For an explanation of the microfoundations of institutional logics, we will emphasize the role of cultural embeddedness—as the culture of social groups, of which individuals are members, provides individuals with symbolic structures to understand and construct their environments.

Embedded behavior, neither undersocialized nor oversocialized, implies individual agency, albeit subject to constraints. Individual agency allows for the pursuit of self-interest and the satisfaction of individual needs. Our model of agency does not, however, equate agency with interests, or self-seeking behavior. An individual's agency is also guided by his or her social identities and identification (March and Olsen 1989; Holland et al. 1998). An individual's social identification is derived from a perception of oneness with a category of persons (Ashforth and Mael 1989). Individuals have multiple social identifications, including the organization, work group, professional field, political party, age cohort, and ethnicity. Social identifications can arise even in the absence of networks of interpersonal relations or interactions.

We combine interests and identities as two aspects of individual intentionality—identity and goals (cf. March and Olsen 1989). Individual intentions are bounded by cognitive limits on attention (Simon 1947; Ocasio 1997) and by cognitive heuristics (Kahneman, Slovic, and Tversky 1982;

Kahneman 2003). Individual intentions, guided by social identifications and individual interests and goals, are bounded by cognitive constraints on human behavior. Together these three factors—social identity, goals, and cognitive limitations—combine to define bounded intentionality.

Our model of human behavior views social actors as embedded in social, cultural, and political structures and as guided by cognitively bounded identities and goals. Yet, combining embeddedness with bounded intentionality, while a more complex and realistic view of social action than rational choice theory, remains incomplete. Humans participate in multiple social networks and groups with separate and distinct cultures and political structures. Humans also have multiple, loosely coupled, and often contradictory social identities and goals. Intentions are bounded not only by cognitive limitations, but also by internal contradictions between multiple goals and identities. To explain which particular goals, structures, and identities shape behavior, our model of human behavior also incorporates a central principle of social psychology, situationism (Ross and Nisbett 1991). Situationism refers to the influence of the immediate situation's characteristics—in time and place—on individual behavior. Situations include both the immediate social context and interactions as well as the material properties of the situations. Specific social situations and interactions shape which of multiple social identities and goals get triggered. Specific social situations and interactions also affect the salience of the multiple forms of social, cultural, and political embeddedness individuals face in any particular circumstance. The situation's characteristics (and how they are negotiated among individuals) also shape the relative importance of social identity and goals in shaping social behaviors. Situationism also accounts for inconsistencies of individual behavior across situations.

We have outlined a situated, embedded, boundedly intentional model of human behavior that departs from both rational choice theory and structural determinism. The various elements of our model are derived and validated from sociological and psychological research, and to a lesser extent from political science and anthropology. We rely on this model to explore the microfoundations of institutional logics.

Modeling the Microfoundations

We seek to derive a model of the microfoundations of institutional logics that considers not only how individual agency is culturally embedded in institutional logics, but also how individual agency is involved in the reproduction and transformation of institutional logics (cf. Giddens 1984). Our framework departs from other approaches to institutional logics that rely exclusively on macro-level explanations. In Figure 4.1, we present a stylized model of the macro-level effects of institutional logics. In this approach, organizational

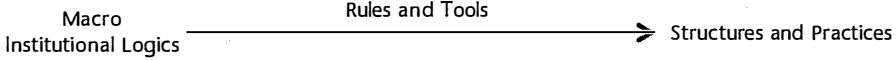


Figure 4.1. A Macro-Macro Model of Institutional Logics

structures and practices are shaped by prevailing institutional logics. Logics are viewed as either a set of rule-like structures that constrain organizations or a set of cultural toolkits that provide opportunities for change in existing structures and practices.

Haveman and Rao (1997) provide an example of an application of an institutional logics perspective that operates primarily at the macro level. Merging ecological and institutional approaches, they view institutional logics in the savings and loan industry as theories of moral sentiments, shaping the selection of some organizational forms over others. In particular, they find that with the rise of Progressivism at the societal level, Progressive logic—which they posit as the master rules of society—favored organizational forms that incorporated bureaucratic structures and voluntary forms of savings.

Thornton and Ocasio (1999) and Thornton (2004) draw on Simon's (1947) and Ocasio's (1997) theories of attention to derive the effects of institutional logics on organizational action. While not explicitly accounting for individual agency and interaction, they provide an account of institutional logics' macro-to-micro effects through individual and organizational cognition. In particular, Thornton and Ocasio (1999) and Thornton (2004) emphasize how the limited attention of social actors is structured by dominant institutional logics. Figure 4.2 provides a stylized representation of their theory. Organizational actors are culturally embedded in dominant institutional logics. Dominant logics focus the attention of actors on both particular features of the organizations and their environment (e.g., market competition; hierarchical structure), as well as shape the availability of the repertoire of organizational solutions and initiatives (e.g., executive succession, acquisitions, change in organizational forms).

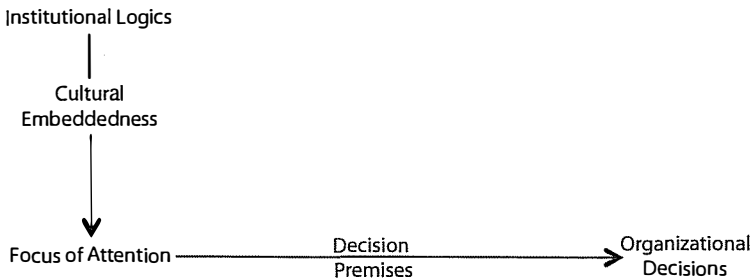


Figure 4.2. Institutional Logics and Attention

The theoretical approach followed by Thornton and Ocasio (1999) and Thornton (2001, 2002) focuses on the macro-to-micro effects of institutional logics. The role of social actors in reproducing and transforming institutional logics is not explicitly addressed. Implicit in this view, however, is that organizational decisions are likely to lead to the continuing reproduction of prevailing institutional logics, or embedded agency. This tendency towards a continuous reproduction of institutional logics has been called the paradox of embedded agency (Holm 1995: 398): "How can actors shape institutions if their actions, intentions, and rationality are all conditioned by the very institution they wish to change?"

A more developed account of the microfoundations of institutional logics should account not only for embedded agency, but also for the role of social actors in both the reproduction and transformation of institutional logics. This requires a more complex and more developed model of microfoundations than previously offered in the literature. Our approach builds on the general approach proposed by Coleman (1990) in his account of social theory and adopted by theorists of strategic organization (Abell, Felin, and Foss 2008; Felin and Foss 2009). Figure 4.3 presents the Coleman diagram outlining macro-to-micro, micro-to-micro, and micro-to-macro effects. This account serves to explain macro-level propositions (e.g., institutional logics shape structures and practices) through macro-to-micro mechanisms (e.g., institutional logics shape the focus of attention), micro-to-micro mechanisms (e.g., focus of attention shapes decision making) and micro-to-macro mechanisms (e.g., decisions affect structures and practices). Coleman's account, however, assumes methodological individualism and does not provide for direct macro-to-macro effects. In Coleman's (1990: 12) account the macro level is an abstraction that reflects the consequences of micro actions. Note that the figure does not include a full account of how institutional logics are maintained and transformed.

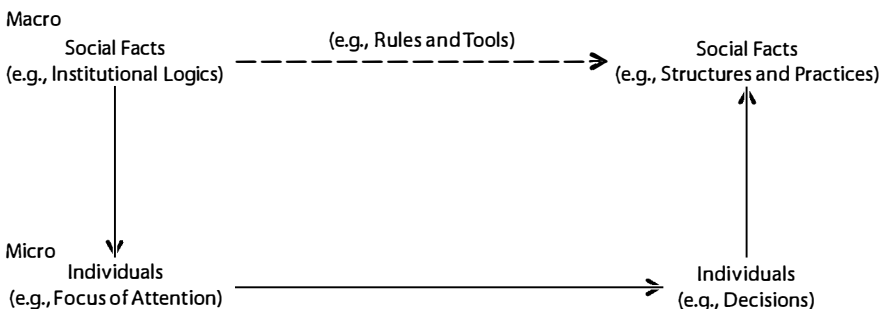


Figure 4.3. Coleman Diagram

Coleman (1990) in his account further assumed rational choice theory, but other models of human behavior can also be applied to elaborate his model of explanation. To fully develop a model for the microfoundations requires a specification of the assumptions underlying human behavior. Earlier in this chapter, we outlined a more complex specification of human behavior: humans as situated, embedded, and boundedly intentional actors. Our theoretical model combines this specification with the theory of dynamic constructivism (Hong et al. 2000; Morris and Gelfand 2004), and symbolic interactionism. ✓

Dynamic Constructivism

The theory and empirical research on dynamic constructivism was developed by social psychologists (Hong et al. 2000; Hong and Mallorie 2004; Morris and Gelfand 2004) examining bicultural individuals (e.g., Chinese Americans) to explain how culture shapes cognition and action. The theory was developed to explain which culture individuals rely on for their behavior. Rather than viewing culture as monolithic, the dynamic constructivist approach proposes that culture is best understood as a network of learned knowledge structures, distributed amongst cultural members. LGR

Building on prior research into social cognition by social psychologists (e.g., Wyer and Srull 1986; Higgins 1996), this theory predicts that individuals' actions depend on the availability, accessibility, and activation of cultural knowledge. Applying the theory to institutional logics, we posit that individuals learn multiple contrasting and often contradictory institutional logics through social interactions and socialization. The multiple institutional logics comprise the cultural knowledge available to social actors in society, institutional fields, and organizations. ✓

Availability accounts for the knowledge and information that can be used by individuals in their cognitive processes. Individuals' knowledge regarding institutional logics is available in long-term memory and may be invoked for social sensemaking, problem solving, decision making, and coordination. Given the availability of multiple logics, individuals have the potential for agency in choosing which of the multiple logics they rely on for social action and interaction (Friedland and Alford 1991). However, the availability of multiple logics for cognition and action need not imply that any form of available knowledge is equally likely to be invoked. To explain which of multiple logics and knowledge structures are more likely to be used, we must also consider the accessibility and activation of knowledge and information. Repetitive

Accessibility refers to the knowledge and information that comes to mind. According to dynamic constructivist theory, both culture and the situational context shape accessibility. Cultural embeddedness influences the chronic

accessibility of knowledge structures: Individuals who are deeply embedded in a particular institutional logic through identification and socialization are more likely to invoke knowledge that is part of that institutional logic. Situational context influences the temporary accessibility of knowledge structures by cueing associations between the situation and available knowledge structures. Most research in social psychology supports the view that the effects of chronic and temporary sources of construct accessibility are additive (Bargh et al. 1986). When chronic and temporary constructs conflict, temporary constructs initially dominate, but chronic constructs dominate after a delay.

Activation refers to whether available and accessible knowledge and information are actually used in social interaction. According to social cognition researchers, activation is a function of both knowledge accessibility and focus of attention (Higgins 1996). In routine situations accessibility of chronic and temporal knowledge and information combine to activate automatic attentional focus and behavioral responses (Bargh 1997). At the institutional level, cognition and behavior are taken for granted with limited attention, awareness, and agency (Zucker 1977; DiMaggio and Powell 1991). In nonroutine situations and interactions, the focus of attention results from combined bottom-up and top-down attention (Ocasio 2011). The salient features of the situation and the environment—noticeable and distinctive changes from past situations—drive bottom-up attentional processing. Institutional logics provide a network of accessible structures to guide the individual's focus of attention. The activation of each aspect of institutional logics is contingent on the applicability of accessible knowledge structures to salient aspects of the situation and the environment. If no aspects of highly accessible institutional logics are viewed as applicable or relevant, individuals may rely on other available institutional logics to activate knowledge and information for further information processing.

An Integrative Model of the Microfoundations of Institutional Logics

Figure 4.4 combines the various theoretical elements to present a more integrated process model of the microfoundations of institutional logics. In the model, institutional logics focus the attention of individual actors through cultural embeddedness (Ocasio 1997; Thornton and Ocasio 1999; Thornton 2004), activating a social actor's situated identities, goals, and action schemas. The activated social identities, goals, and schemas and the shared focus of attention shape social interaction (Goffman 1974; Collins 2000, 2004). Social interactions generate communication and resource flows, and interdependencies, resulting in social practices and structures, including organizations and

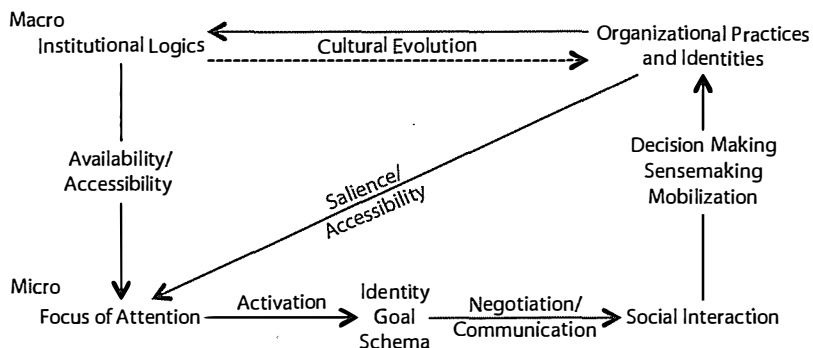


Figure 4.4. A Cross-Level Model of Institutional Logics Combining Macro-Micro and Micro-Macro

institutional work. Situated practices are selected and retained through processes of cultural evolution; from these evolutionary processes, institutional logics emerge at the levels of society, institutional field, and organization.

In our discussion below, we discuss the individual elements of the model and their interconnections. We begin our discussion with three characteristics of individuals that we highlight in our model: social identities, goals, and schemas. We then apply the theory of dynamic constructivism to explain how identities, goals, and schemas are available, accessible, and activated through the effects of social structures, practices, and institutional logics on social actors' focus of attention. Next, we discuss the effects of activated identities, goals, and schemas on social interactions. Afterwards, we discuss the micro-to-macro link through decisions, communications, and interdependencies.

Social Identities, Goals, and Schemas

We focus on social actors' identities, goals, and schemas as the elements of situated, bounded intentionality guiding cognition and social interaction.

SOCIAL IDENTITIES

Individuals have multiple social identities, defined both in terms of group or category membership, as per psychological social identity theory (Tajfel and Turner 1986; Hogg and Abrams 1988), and in terms of identification with particular social roles, as per sociological identity theory (Stryker 1968; Burke and Tully 1977; Stryker 1980). Both forms of social identities are relevant to the microfoundations of institutional logics. Relevant category identities include a social actor's industry, occupation or profession, employer, department, voluntary-organization affiliations, race, gender, ethnicity, nationality, and geography. Role identities are defined relationally, in terms of a social

actor's relationships with other social actors: CEO, investor, manager, leader, and volunteer are organizational examples. Parent, spouse, friend, and citizen are examples outside of organizations. Note that for professional and occupational identities, group and role identities may overlap. For example, physicians are members of a professional group, but they also have role identities relative to other roles: nurse, patient, technician, and administrator.

Situation While individuals have multiple social identities and roles, not all identities are equally available or accessible to social actors. Drawing on symbolic interactionism, sociological perspectives on identity highlight the role of identity verification and commitment in making some identities more accessible and likely to be activated across situations. Identity verification refers to social actors' attempts to validate their social identities through symbolic exchanges with other social actors across diverse situational contexts. As an identity becomes positively verified (Burke and Stets 1999), a social actor's commitment to the identity increases. Social actors have a hierarchy of identities and roles with varying levels of commitment (emotional and cognitive) to those identities (McCall and Simmons 1978). Social actors' identity commitments affect their connections to other actors with similar identities (Stryker 1980) and the potential for identity conflicts and competitions with actors committed to alternative identities (Stryker 2000).

Identity Research on institutional logics has employed the concept of identity to explain both stability and change in organizations and institutions. For example, Townley (1997) examined the interplay between academics' professional identities and institutional logics in contesting the rise of performance appraisal systems in universities in the United Kingdom. Thornton and Ocasio (1999) focused on how dominant institutional logics were embodied in the common identity of industry players, based on social comparison and status competition among competitors. Rao, Monin, and Durand (2003) characterized nouvelle cuisine as an identity movement, generating a new institutional logic in contrast to classical French cuisine. Analyzing social identities more explicitly at the level of social actors, R. E. Meyer and Hammerschmid (2006) surveyed Austrian public administrators to examine how their executive identities reflected competing institutional logics: bureaucratic-legalistic, managerial, or hybrid.

GOALS

V In addition to multiple identities, individuals (Simon 1955; Ford 1996) and organizations (Cyert and March 1963; Ethiraj and Levinthal 2009; Joseph and Ocasio 2010) have multiple and often discrepant goals that guide cognition and action in diverse situations and domains. According to this view, and unlike theories of rational choice, conflicts among goals remain unresolved

but are activated by the focus of attention (Simon 1955; Cyert and March 1963; Ocasio 1997). Goals vary in their time span, shaping current actions as well as plans and expectations for the future.

An institutional logics perspective posits that goals, like social identities, are culturally embedded within alternative institutional logics. For example, Mohr and Lee (2000) examined how the shifts from an individualist logic based on race to a corporate logic in California universities led to a shift from affirmative action to outreach goals. Thornton (2002) documents how the shift from an editorial to a market logic in higher-education publishing led to a shift from organizational goals based on prestige and sales growth towards a focus on short-term profits. This shift in logics and organizational goals led to a rise in multidivisional structures, which favored control over profit growth. Townley (2002) examined how economic or market logics created new business performance goals in Alberta museums and cultural organizations.

Our notion that both social identities and goals are embedded in institutional logics differs from March and Olsen's (1989) dichotomous distinction between a logic of appropriateness driven by institutions and social identities and a logic of consequences, driven by interests and goals. Rather than viewing identities and goals as alternative motivations for social actors, we posit that they both affect cognition and action. In the various institutional logics—state, market, corporate, community, professional, family, and religion—social actors have multiple goals and their behavior is driven, at least in part, by the consequences of achieving or not achieving their respective goals. The content of the goals does differ between the goals embedded in alternative institutional logics. What is different is that under a market logic, a utilitarian perspective, based on the costs and benefits of specific actions, is the culturally appropriate form of behavior. Under alternative institutional logics, goals need not be driven by pure self-interest or by a rational calculation of costs and benefits.

In examining the relationship between identities and goals, we do consider that not all goals are congruent with social actors' identities. Conformity to regulative forces and the avoidance of normative sanctions also activate social actors' adherence to specific goals (and behaviors) in cases where actors do not identify with prevailing logics or social identities. From this perspective, accountability provides a social-psychological link between the rules and norms embedded in institutional logics and the goals and behaviors of social actors (Tetlock 1985). Social actors seek approval and status from others to whom they are accountable, including symbolic and material rewards and the avoidance of punishments. Regulative and normative pressures may thereby operate as substitutes or complements to social identity to explain individual adherence to the goals embedded in institutional logics.

Jackall's (1988) *Moral Mazes* provides a masterful ethnographic account of how managers conform to the institutional logic of patrimonial bureaucracy prevalent in several U.S. corporations he studied. Under this patrimonial logic, chains of managerial allegiances, linked to promotion chains, guided managers' adherence to corporate goals and their acceptance of ethical and unethical behaviors as institutionally sanctioned. A system of normative sanctions and rewards guided managers' motivations. Economic rewards and normative conformity, rather than social identification, was the main explanation for managerial behavior.

SCHEMAS

Institutional logics help social actors generate top-down knowledge structures or schemas to process information and guide decisions (Thornton 2004). A top-down approach to information processing (Nisbett and Ross 1980) suggests that schemas are learned, organized cognitive structures that shape attention, construal, inference, and problem solving. Walsh (1995) surveys the literature on top-down knowledge structures and their effects on managerial and organizational cognitions. He identifies multiple terminologies used to characterize these top-down structures from Simon's (1955) *givens* to Bartunek's (1984) *interpretive schemes* to Klimoski and Mohammed's (1994) *mental models*, and many more in between and afterwards. In the social-psychological literature (e.g., Fiske and Taylor 2008), the most prominent term used for this concept is schema, which we will use here.

The schema concept highlights how actors understand, remember, and act upon complex information by drawing upon highly organized, abstracted general knowledge about how the world works (Bartlett 1932; Fiske and Taylor 2008). Schemas in particular guide expectations of behavior by helping individuals resolve ambiguities, draw inferences, and guide evaluations. Scripts are an example of schemas (Abelson 1981) that describe appropriate sequences of events in well-known situations. Prior work on institutional theory (Barley and Tolbert 1997) has highlighted the connection between institutionalization processes and scripts. For Barley and Tolbert (1997), scripts are defined at the level of social interaction rather than the level of individual cognition: "scripts are observable, recurrent activities and patterns of interaction characteristic of a particular setting" (98). The two views of scripts can be reconciled: Individual cognitive scripts are invoked in the social production of behavioral, interactional scripts; behavioral, interactional scripts are stored in individual memory as cognitive scripts.

One particular form of schemas that may be usefully applied in the study of institutional logics is what Cheng and Holyoak (1985) term pragmatic reasoning schemas. Unlike many applications of schema theories in organizational studies, which highlight the relatively automatic use of schemas, Cheng

and Holyoak (1985) emphasize the controlled use of schemas for reasoning and problem solving. Pragmatic reasoning schemas are generalized sets of rules defined in relation to specific domains of action or classes of goals. From an institutional logics perspective, this suggests that diverse logics have different pragmatic reasoning schemas for decision making and action.

LEP Cheng and Holyoak (1985) further develop and test the idea that pragmatic reasoning schemas generate a set of permissions, obligations, and causations. Permission schemas describe a type of behavioral regulation in which taking a particular action requires the satisfaction of certain preconditions. In an obligation, a certain situation requires execution of a subsequent action. Causations provide evidence for cause-and-effect relationships. Causation, for example provides a schema for the relationship between events and the problems they generate. Solutions are examples of permissions, which are invoked in the context of problems and opportunities. Social norms are examples of obligations. From our theoretical perspective, institutional logics provide distinct permission, causation, and obligation schemas.

While theoretical writing on institutional logics (Seo and Creed 2002; Thornton 2004; Misangyi, Weaver, and Elms 2008) has highlighted how institutional logics generate cognitive schemas, the concept has not been explicitly used in much empirical research. Part of the problem is the theoretical confusion among levels of cultural structure. Some empirical research, for example Creed, Scully, and Austin (2002), does not make a clear distinction between institutional logics and schemas (or theories and frames, other forms of top-down knowledge structures, see chapter 7). In our view, even more abstract schemas, such as pragmatic reasoning schemas described above, have a more narrow level of application than institutional logics. Schemas can be invoked and applied in their entirety in specific situations, institutional logics cannot. Given cognitive limitations, only a subset of the categorical elements of an institutional logic affects the cognition of actors at any moment in time and place.

Focus of Attention

Individuals are limited in their capacity to allocate cognitive resources for information processing—attention—to all environmental stimuli and action responses (Simon 1947). Selective attention can be oriented toward directly observable external stimuli. Likewise, attention can be oriented internally to coordinate memories, goals, and activities. Attention is both automatic and controlled or willed (Norman and Shallice 1986). Automatic attention is based on well-learned behavioral responses and routinized behavior. Willed or controlled attention is required in activities involving planning and decision making, troubleshooting, novel sequences, dangerous or difficult situations,

and overcoming habitual responses (Norman and Shallice 1986). Willed or controlled attention is part of the brain's executive function, which coordinates cognitive processes operating in working memory, and is thereby also known as executive attention (Ocasio 2011).

Given cognitive limitations, organizations develop structures and processes that shape individuals' and groups' focus of attention (March and Simon 1958; March and Olsen 1976; Ocasio 1997). Institutional logics guide the allocation of attention by shaping what problems and issues get attended to and what solutions are likely to be considered in decision making (Ocasio 1997; Thornton and Ocasio 1999; Thornton 2004). Given the decision-making focus of research on the organizational and institutional determinants of attention, implicitly the research examines controlled or willed attentional processes. This focus differs from traditional neoinstitutional theory (J. W. Meyer and Rowan 1977; Zucker 1977; DiMaggio and Powell 1991), which, with its focus on taken-for-grantedness, implicitly emphasizes automatic attentional processes.

The effects of institutional logics on organizational attention have been explored in empirical research. In Thornton and Ocasio (1999) for example, the editorial logic in higher-education publishing focused attention on the prestige of the publishing house, whereas the market logic focused attention on market competition as determinants of executive succession. Attention to corporate acquisitions and to executive succession as organizational solutions was more likely to be activated under a market logic than under an editorial logic. Similarly, Lounsbury (2007) relies on attention as a mechanism to show how nongrowth funds and Boston-based funds focus attention on the issue of product costs, while growth funds and New York-based funds focus attention on the issue of fund performance. Thornton, Jones, and Kury (2005) compared the effects of conflicting professional and market logics in accounting firms on the appropriateness of accounting ledgers versus the pursuit of clients.

This application of how institutional logics shape the focus of attention through action schemas (e.g., problems and solutions) reflects the view of embedded agency at the core of the institutional logics perspective. From this vantage point, institutional logics serve as constraints on individual cognition and action. The enabling function of multiple competing logics on individual (and organizational) focus of attention has not been developed in the literature. To explain both the enabling and constraining effects of institutional logics on attention, we apply the theory of dynamic constructivism. We extend prior theory by explaining how institutional logics shape the accessibility, attentional focus, and activation of identities, goals, and schemas that guide cognition and social interaction. We develop a structure and process model of how the focus of attention is shaped by both top-down attentional

perspectives (i.e., institutional logics and organizational practices) and bottom-up environmental stimuli (Ocasio, 2011). We highlight the role of availability, accessibility, and activation in both automatic and controlled attentional processes.¹

Top-Down Effects of Institutional Logics and Organizational Practices

First, we recognize that the focus of attention is a function of top-down attentional perspectives shaped by both institutional logics and more localized organizational practices. Consistent with prior theory and research (Thornton and Ocasio 1999, 2008), we posit that institutional logics at multiple levels of analysis—organizational, field, and society—generate top-down attentional perspectives for processing information and for focusing attention. Institutional logics provide building blocks for focusing attention through the set of social identities, goals, and schemas contained within each logic. But institutional logics are not the only sources of top-down attentional perspectives. Individuals, through their participation in situated organizations and practices also develop more specialized identities, goals, and schemas that serve as top-down attentional perspectives.

For example, Cho and Hambrick (2006) examined the effects of airline deregulation on managerial attention. Deregulation, consistent with a shift from a government logic to a market logic led to a more entrepreneurial attentional perspective. This effect was not uniform, however; it was dependent on the composition of the top management team. Firms with a greater proportion of executives from marketing, sales, and research and development backgrounds were more likely to adopt an entrepreneurial attentional perspective. Decreases in length of tenure in the industry, consistent with decreased commitment to the previously dominant government logic, were found to lead to an increase in an operational attentional perspective. Cho and Hambrick (2006) also found that the effects of top-down attentional perspectives mediated the effects of top-management-team demography on the adoption of new firm strategies, demonstrating the effects of attention on action.

Bottom-Up Environmental Stimuli

Second, the focus of attention is shaped not only by top-down attentional perspectives, but by bottom-up environmental stimuli (Ocasio 2011). This

¹ Controlled attention is amenable to conscious, effortful, and demanding control of the limited cognitive capacity of individuals. Automatic attention demands little (if any) attentional capacity, and is difficult (if not impossible) to modify or suppress (Schneider and Shiffrin 1977).

approach combines the embeddedness and situated views of behavior. Individuals and organizations face situations where existing schemas may be incongruent with observed behaviors and outcomes in the environment. Yet not all bottom-up stimuli in the environment are attended to. A contributing factor to the strength of bottom-up attention is the salience of the stimulus. Salience refers to the extent to which certain environmental features stand out relative to others (Fiske and Taylor 2008). Salience can result from multiple factors: from unusual or unexpected actions and outcomes, from novelty, or from explicit attention control by other social actors. An example of this last form of salience is Clinton's health care reform efforts, which led social actors to attend to aspects of the environment highlighted by the reform effort that were not previously viewed as particularly central (Nigam and Ocasio 2010).

Nonroutine organizational and institutional field-level events are examples of salient situational features that generate attention (Hoffman and Ocasio 2001; Nigam and Ocasio 2010). For example, Hoffman and Ocasio (2001) explored eight events from the publication of *Silent Spring* by Rachel Carson in 1962 to the celebration of the anniversary of Earth Day in 1990 to explain the industry's attention to events. They found that each event was found to be salient either because outsiders held the industry accountable for the event or because insiders were concerned with the industry image. While not explicit in their account, the prevailing logics of the institutional field also shaped the focus of attention. Highly salient events are critical triggers for institutional change (Hoffman 1999; Nigam and Ocasio 2010).

Availability, Accessibility, and Activation

Third, top-down and bottom-up attentional processes shape the focus of attention through the availability, accessibility, and activation of identities, goals, and schemas. Given a social actor's embeddedness within institutional logics and prior commitments and experiences, specific identities, goals, and schemas will be readily accessible to attend to salient environmental stimuli. Research in social psychology (Morris and Gelfand 2004) suggests, however, that accessibility does not fully determine activation. The situational fit between the institutional logic and the characteristics of the situation will be a factor in which particular identities, goals, and schemas are activated. Observed contradictions between prevailing logics and organizing practices are likely to trigger the activation of alternative logics or the combination of existing logics, identities, goals, and schemas with new alternatives (cf. Seo and Creed 2002). Under novel situations, other available but less accessible logics are likely to be activated. Research suggests that these are likely to be understood as special cases (e.g., Weick and Quinn 1999). Only under

recurring confrontation with novel situations will actors change their pattern of accessibility and activation. Their interactions with other social actors with greater power may also provide different forms of activation. One critical feature here is the accountability of social actors to other constituencies (Tetlock 1985).

Automatic and Controlled Attentional Processes

Fourth, the activation of identities, goals, and schemas can result from either automatic or controlled attentional processes (Norman and Shallice 1986). Much of individual attention is automatic, leading to application of highly accessible logics, identities, goals, and schemas. Situational shifts trigger opportunities for controlled attention and for departure from embedded logics. Actors with low levels of individual commitment to existing logics and schemas are more likely to depart from prevailing logics and to rely on alternative logics for shaping their attention. Under controlled attention, individuals are active and selective in determining their environments. Social actors select their stimuli and organize the fields in which they act. Controlled attention provides the capacity for individual agency. The active construction of attention has been emphasized by symbolic interactionists:

Here we have the organism as acting and determining its environment. It is not simply a set of passive senses played upon by the stimuli that come from without. The organism goes out and determines what it is going to respond to, and organizes the world. (Mead 1934: 25)

Our analysis of the focus of attention has emphasized individual cognitive processes, but for organizations and institutions, the focus of attention must be experienced not just at the individual level, but at the social level. The study of microsocial interactions, particularly through the lens of symbolic interactions, allows us to explain how individual focus of attention shapes, and is shaped by social interactions.

From Activation to Social Interaction

The theory of dynamic constructivism, while useful to explain how multiple institutional logics are available, accessible, and activated, is a theory of intra-individual cognitive processes (Brett 2010). Yet, actors reproduce and transform organizational and institutional structures not as solitary individuals, but as social actors interacting with other social actors. Social interactions are both material and symbolic interactions in which negotiations and exchanges as well as communications are central.

Symbolic interactionist perspectives allow us to examine both negotiations and communicative interactions. Symbolic interactionism was first developed by Mead (1934) who posited that *mind* is a "social phenomenon—arising and developing within the social process, within the empirical matrix of social interactions" (133). This view modifies the perspective of individual cognition and information processing. The situational context of cognition is shaped by expectations of social interactions. The interaction process itself generates changes in the focus and content of attention. Symbolic interaction occurs through language and language is key to both thought and action (Mead 1934).

Any conversation, to the extent that it is attended to by its participants, will focus the attention of social actors on the reality of its contents, the things that are discussed (Goffman 1967: 113–16). Shared attention and cooperation among social actors is achieved through a common language (Goffman 1967; Tomasello 2005). As we discuss in chapter 7, each institutional logic presupposes a common and distinct language which, following work by Mills (1939, 1940) and Loewenstein and Ocasio (2003), we will term a vocabulary of practice.

Collins (1993) has described interaction rituals as activities that generate a common focus of attention and emotional energy for the social actors in the encounter. In this perspective, action is thus driven by pragmatic concerns and social cues, but socially *regulated* through feedback loops in the local interaction context that make some enactments more successful than others. Through the process of interaction rituals, social actors check their expectations against their understanding of identities and schemas; and through negotiating adjustments based on power differences, action and meaning are contextually moderated.

While communication and shared attention may lead to cooperation and shared intentionality, that is not always the case. As per theories of dynamic constructivism, actors embedded in different cultures or institutional logics will activate different identities, goals, and schemas when confronted with the same situation as long as the accessible identity, goal, or schema is congruent with highly salient features of the situation. Conflicts in identities, goals, and schemas serve as barriers to cooperation and generate conflict and power struggles in social interactions.

Strauss' (1978) theory of negotiated order emphasizes that every social interaction is a negotiation. At the level of social interaction schemas serve as frames to provide a particular interpretation of social reality (Benford and Snow 2000). Competition and cooperation shape the negotiated order. Power differences (Blau 1964; Keltner, Gruenfeld, and Anderson 2003) and status characteristics (J. Berger, Cohen, and Zelditch 1972) shape the outcomes of the negotiated orders and determine, in part, which of competing goals and frames are likely to dominate.

From Social Interactions to Organizational Identities and Practices

Our model has highlighted how the effects of institutional logics are mediated through the focus of attention and social interactions. In social interactions, actors rely on institutional logics and their constituent identities, goals, and schemas to reproduce and transform organizational identities and practices. How are organizational practices generated, reproduced, or transformed? We focus on three complementary mechanisms examined in the literature: decision making, sensemaking, and mobilization. These three mechanisms are directly involved in the micro-to-macro processes of forming organizational practices and identities, as discussed in chapter 6.

DECISION MAKING

The Carnegie School tradition in organizations (Simon 1947; March and Simon 1958; Cyert and March 1963) places organizational decision making at the center of understanding organizational processes (e.g., decision rules, performance programs, and routines) and outcomes (e.g., structure and design). This perspective is primarily bottom up, focusing on the limits of attention and human information processing to explain behavior (March and Simon 1958). However, the Carnegie School perspective ignores the cultural (and structural) embeddedness of social actors (Gavetti, Levinthal, and Ocasio 2007). An institutional logics perspective can be readily incorporated into models of organizational decision making by concentrating on how attentional focus is keyed by specific identities, roles, and schemas (Ocasio 1997; Thornton and Ocasio 1999; Thornton 2004). Institutional logics have been found to affect decisions about operations (Jackall 1988), executive succession (Thornton and Ocasio 1999), acquisitions (Thornton 2001), corporate structure (Thornton 2002; Greenwood and Suddaby 2006), and board reforms (Shipilov, Greve, and Rowley 2010), among others. While many of these studies focus on reproduction and diffusion of logics, organizational decision making is also an opportunity for change in existing logics underlying organizational identities and practices. For example, Rao, Monin, and Durand (2003), while not explicitly examining decision making, study the selection of a restaurant's signature dishes as an indicator of how the logic of *nouvelle cuisine* and its associated identities emerged in French restaurants.

A decision-making perspective allows us to examine actions and behaviors that have consequences beyond the immediate social interaction that led to an organizational decision. Selecting a multidivisional form, for example, has consequences throughout the whole organization, leading to a cascade of decisions and choices affecting both formal and informal social interactions. However, decision making is subject to ambiguity (M. D. Cohen, March, and Olsen 1972; March and Olsen 1976) and the complex network of interwoven

decision making is only partly determined by initial decisions (Langley and Truax 1994). Consequently, factors other than formal decision making are important in the reproduction and transformation of organizations and institutional logics.

SENSEMAKING

Sensemaking is the process by which social actors turn circumstances into situations that are comprehended explicitly in words and that serve as springboards for action (Weick, Sutcliffe, and Obstfeld 2005: 409). Sensemaking is an ongoing retrospective process that rationalizes organizational behavior. But sensemaking is also prospective: Through communications and narratives, it materializes the identities and categories through which organizations and institutions come into existence (see also chapter 7). As cited by Weick, Sutcliffe, and Obstfeld (2005), "Sensemaking is a way station on the road to a consensually constructed, coordinated system of action" (Taylor and van Every 2000: 275).

Institutional logics are both the building blocks of sensemaking efforts and sensemaking is a mechanism by which institutional logics are transformed (K. Weber and Glynn 2006). Gephart (1992) examines how local safety logics and state regulatory logics affect the sensemaking of state responses to environmental disasters. Nigam and Ocasio (2010) examine how attention to Clinton's health care reform event led to changes in the sensemaking of the environment, which in turn led to the emergence of new organizational practices and the emergence of a new institutional logic of managed care in the United States. Overall, sensemaking and sensegiving are critical to the emergence of new institutional logics, as further elaborated in chapter 7.

Weick (1995; Weick, Sutcliffe, and Obstfeld 2005) emphasizes the role of language and vocabularies in sensemaking. Institutional logics generate a set of specialized vocabularies to make sense of the environment (Loewenstein and Ocasio 2003). Specialized vocabularies are invoked by institutional entrepreneurs as rhetorical devices to effect change congruent with available institutional logics (Suddaby and Greenwood 2005). Vocabulary shifts also signal changes in prevailing institutional logics. In Nigam and Ocasio's (2010) analysis, the emergence of a managed care logic in the health care industry was experienced through changes in the frequency, collocation, and use of exemplars to characterize different words in the vocabulary of the health care system. Through sensemaking processes, the term "managed care," previously understood to represent an organizational form, came to represent a property of the U.S. health care system as a whole. We discuss the role of specialized vocabularies more fully in chapter 7, analyzing how specialized vocabularies of practice serve as critical linchpins between symbolic representations and material practices in the emergence of institutional logics.

MOBILIZATION

Mobilization is the process by which collective actors acquire symbolic and material resources and motivate people towards the accomplishment of group or collective goals. Originally the concept of mobilization was developed by social-movement theorists focused on groups driven by a sense of deprivation or inequality (McCarthy and Zald 1977). Subsequently, the study of social movements took a cultural turn, and collective action was seen as driven by collective action frames (Benford and Snow 2000). More generally in organization theory, mobilization is viewed as a mechanism for organizational and institutional change, where contagion among social groups leads social actors to coalesce against the status quo in the accomplishment of collective goals (Rao 2009).

A focus on mobilization draws on the vast and well-developed sociological literature on social movements to cultivate a sophisticated approach to agency that appreciates the institutional embeddedness of actors and their behavior (see Schneiberg and Lounsbury 2008). A focus on collective action shifts analytical attention away from the activities of single, powerful actors to how institutional contexts make possible and facilitate groups of actors to contest extant arrangements or positively develop alternative modalities of thought or behavior; such alternatives are constrained and enabled by the broader availability of institutional logics within a particular context. These developments have been part of a wider move to foster dialogue amongst scholars of social movements and organizations (e.g., G. F. Davis et al. 2005; G. F. Davis et al. 2008), but they have also been animated by the broader "cultural turn" that has affected the broader social sciences and humanities (Friedland and Mohr 2004a) and linkages between the literatures on movements, cultural sociology, and institutional theory (e.g., Armstrong and Bernstein 2008; Clemens 1997; Morrill 2008; Schneiberg and Soule 2005).

Research at the interface of neoinstitutionalism and collective action has begun to assess how multiple logics within fields enable contestation and collective action as well as how institutional contexts shape movement mobilization and capacity. For example, Lounsbury (2005) tracked how changes in the social organization of U.S. solid waste management were catalyzed by a shift in the field of recycling from a dominant, holistic (community) logic to plural holistic and technocratic (professional) logics. He showed how the technocratic logic was ushered in by recycling advocacy groups that were created in states where efforts to develop waste-to-energy incineration as a key solution to waste generation were most robust.

Rao, Monin, and Durand (2003) examined how competing professional logics in French cuisine—haute and nouvelle—set the stage for shifts in the identities of individual chefs. They chronicle how the nouvelle cuisine movement in France led elite French chefs to eschew haute cuisine's focus on the

power of the restaurateur, long menus requiring huge inventories and little freshness, and a long consumption process, creating instead restaurants that embraced the nouvelle values of truth, light, simplicity, and imagination. They marshal data to show that haute cuisine chefs shifted to nouvelle as nouvelle activists gained legitimacy, nouvelle chef roles became better theorized, peer chefs defected to the new logic, and gains to prior defectors increased. Rao, Monin, and Durand draw upon social-movement theory to focus on how professionals facilitate shifts in logics by critiquing a dominant logic and role identity as constraining, and celebrating a new professional logic, role identity, and associated practices as enhancing autonomy.

In both of these cases, specific movements were enabled by wider societal developments that made new logics available to actors in a particular field. In Lounsbury's (2005) case, the wider rise of environmental discourse enabled the development of recycling practices that were theorized in association with a broader community logic that was meant to explicitly challenge the capitalist logic that dominated solid waste management. While mobilization around the community logics enabled recycling advocates to contest central actors in the solid waste management field, the success of recycling hinged on the development of cooperative alliances between activists and mainstream solid waste haulers, the professionalization of recycling activists into managers, and ultimately the eschewing of a community logic in favor of a professional logic (see also Lounsbury, Ventresca, and Hirsch 2003). Such studies highlight social movements as a key mechanism that links institutional logics to the dynamics of practices and organizational identities. These effects will be explored in greater depth in chapter 6.

Implications of the Model of Microfoundations

Our model of microfoundations accounts for both the enabling and constraining effects of institutional logics on social action (cf. Giddens 1984). Similarly it accounts for the role of both institutional logics and individual agency in both the reproduction and transformation of organizations and institutions. Unlike earlier neoinstitutionalist accounts that viewed cognition primarily as a source of institutional constraint (e.g., Zucker 1977; DiMaggio and Powell 1991), institutional logics provide the cognitive and symbolic building blocks for how social actors through their social interactions transform and reproduce social and cultural structures. We contribute new theory of availability, accessibility, and activation of institutional logics that highlights how situated cognitive processes allow for both automatic taken-for-granted behavior and opportunities for institutional change. Overall, our model allows for a variety of processes and outcomes that had not been previously

integrated, including institutional reproduction, individual differences in embeddedness, differentiation and complexity in institutional logics, exogenous and endogenous change, top-down and bottom-up attention, the role of language linking microcognition to culture and institutional logics, and microinteractions and macrostructures.

First, our model accounts for automatic taken-for-granted behavior, as in prior neoinstitutional accounts (J. W. Meyer and Rowan 1977; Zucker 1977). Under conditions of stability in both social structure and organizational practices, the activation of highly accessible identities, goals, and schemas embedded in prevailing logics and congruent with organizational practices is the default outcome of cognitive processes and social interactions. Logics, organizational practices, and social interactions mutually reinforce each other so that social reproduction is highly likely.

Second, the model accounts for the role of diverse social actors exposed to alternative institutional logics in the transformation of organizational and institutional structures. Not all social actors are equally embedded in or committed to prevailing institutional logics. Greenwood and Suddaby's (2006) and R. E. Meyer and Hammerschmid's (2006) accounts of changing logics in Canadian accounting firms and Austrian public administration, respectively, highlight how social actors vary in their embeddedness in preexisting logics—through the actor's network position in the former and professional identity and commitment in the latter. The role of diverse actors' commitment to alternative logics is also critical to social-movement approaches to institutional logics (e.g., Rao, Monin, and Durand 2003). New actors and critics less committed to classical French cuisine and exposed to alternative cultural frames that fostered autonomy and creativity served as catalysts in the creation of a new identity movement and in the transformation of institutional logics.

Third, given the situated nature of social action, our model allows for differentiation in the prevailing logics within any organization or institutional field. For example, while the move away from a physician-dominated logic toward market and corporate logics has been documented in the health-care sector (e.g., Scott et al. 2000; Nigam and Ocasio 2010), these effects are not consistent nor homogeneous throughout the field (Dunn and Jones 2010). Different interactions and organizational practices within organizations and fields may be guided by different logics, and even the same social actors (e.g., surgeons) may be guided by different logics when interacting with different social actors (e.g., professional logics in interactions among surgeons, nurses, and medical technicians and market logics in interactions with insurance companies). Here, we see the diversity of institutional logics enabling different forms of interaction and organizational practices in organizations and institutional fields leading to institutional complexity (Greenwood et al. 2010).

Fourth, the model emphasizes situational changes in organizational contexts as opportunities for cognitive change, which in turn may lead to organizational and institutional transformation. Stability in organizational practices is the exception rather than the rule in modern and contemporary societies. Situational changes can be exogenous to prevailing logics as has been widely studied in institutional analysis. For example, Baron, Dobbin, and Jennings (1986) examined the effects of World War II on the formation of modern personnel administration in the United States. Fligstein (1990) analyzed the effects of changes in antitrust law on the prevalence of alternative managerial logics in corporate governance activities.

However, changes in organizational practices are also endogenous to prevailing logics. While some institutional logics, for example bureaucratic logics (M. Weber [1922] 1968; Hannan and Freeman 1984), are associated with structural (and cultural) inertia, others, such as market logics may be generative of endogenous change. Market logics foster entrepreneurship leading to creation of new organizational forms. Market logics also foster concerns with competitive strategy and the formulation and implementation of strategic changes to gain competitive advantage (cf. Porter 1980, 1985).

Whether changes are endogenous or exogenous, they provide opportunities for the reexamination of prevailing logics and their constitutive identities, goals, and schemas. For example, Greenwood and Suddaby (2006) examined the effects of two situational changes: adverse performance of Big Five accounting firms in Canada and changing demands from global clients with respect to range of services. These contextual changes led to a change in organizational-level logics: from a traditional professional logic based on a provision of a narrow range of services and limited management positions to a more market-corporate logic with cross-selling of a diversified range of services and specialized, full-time management positions. While Greenwood and Suddaby's analysis is more structural than cognitive, they implicitly bring in the focus of attention as part of their explanation. They discuss awareness as a critical factor in shaping institutional change. Big Five accounting firms were more likely to be aware of changes in the environment and new schemas for change, leading to increased likelihood that new identities, goals, and schemas would be activated.

Fifth, the focus of attention as a determinant of the activation of identities, goals, and schemas, allows for the integration of the top-down effects of institutional logics with the bottom-up effects of situational features (Ocasio 2011). When activation is not driven by automatic attention, as in the case of situational change, the opportunity for individual agency increases. But social actors do not construct new identities, goals, or schemas de novo. In this context, alternative institutional logics may serve as toolkits for action (Swidler 1986). Rather than relying on those logics that are most accessible, social

actors may invoke and activate other available logics drawn from other situational contexts. For example, Glynn and Lounsbury (2005) examine the effects of a strike on changes in logics invoked by musical critics of the Atlanta Symphony Orchestra. Market logics became more salient in response to the strike. Critics responded by blending more accessible aesthetic logics with the also-available, but less accessible, market logic, with continuing primacy to the former.

Sixth, the model accounts for social interactions as the basis of generation and transformation of organizational practices, identities, and institutions. Our model of institutional logics shares the perspective of both the literature on institutional work (T. B. Lawrence and Suddaby 2006) and that of inhabited institutions (Hallett and Ventresca 2006b) that social actors and interactions are actively involved in organizational and institutional change. We suggest however that automatic behavior is also commonplace and that change is not easily negotiated. What is important from an institutional logics perspective is that more micro processes of change are built from analogies, combinations, translations, and adaptations of more macro institutional logics. Hallett and Ventresca's (2006b) reanalysis of Gouldner's (1954) *Patterns of Industrial Bureaucracy* examines the role of the interactions between the new assistant managers and the mine workers in establishing more traditional bureaucratic practices. Hallett and Ventresca rightly point out the importance of local social interactions and negotiations in creating organization-specific practices that partly diverge from an abstract bureaucratic logic.

The model of how institutional logics are invoked in the generation of micro interactions and macro structures has important commonalities (and differences) with Boltanski and Thévenot (2006). They explain how the negotiation of conflict relies on repertoires of evaluation, roughly equivalent to institutional logics. However, their account deals more clearly with the enabling aspects of logics (or repertoires), rather than their constraining role, the partial automaticity of behavior, and the continuing reproduction of organizational practices and logics. Boltanski and Thévenot's model is one of a situated intentional actor, with limited embeddedness. Our model differs in that both local situations and organizational and field embeddedness combine to explain both reproduction and transformation of structures.

Seventh, the model highlights the role of language and vocabularies in the reproduction and transformation of organizational practices and institutional logics (Loewenstein and Ocasio 2003; Ocasio and Joseph 2005; Suddaby and Greenwood 2005). While our model emphasizes how institutional logics shape individuals through cognitive structures and processes, cognition is inherently individual, and the transmission of cognitive meaning from one individual to another occurs primarily through language. Language is central to meaning at the level of social interaction (Mead 1934; Mills 1940; Blumer

1969). Vocabularies and language are central to meaning, linking individual cognition and social interactions to culture at the level of organizations and institutional fields.

Conclusion

Friedland and Alford (1991) proposed that individuals, organizations, and institutional logics interacted to shape social structure and action. They did not provide, however, a theory of individual behavior to explain this interplay. Here, we provide a model of social actors whose identities and goals are not only culturally embedded in institutional logics (Holm 1995; Seo and Creed 2002; Battilana, Leca, and Boxenbaum 2009), but also situated in organizational practices subject to exogenous and endogenous change.

Our model of microfoundations, based on an understanding of actors as situated, embedded, and boundedly intentional actors, allows both for automatic taken-for-granted behavior, and agency and reflexivity. The effects of institutional logics are mediated through the cognition of social actors interacting with other social actors in negotiation and cooperation. Our model incorporates the insights of dynamic constructivism to account for both chronic accessibility and activation of identities, goals, and schemas invoked by institutional logics and the possibility for other available but less accessible logics to be activated. Cognition is not a separate pillar or carrier of institutional logics (cf. Scott 2008b) but part of any process by which institutional logics are reproduced or transformed. The situated organizational context also plays a critical role in our model. While social interactions do occur in public spaces (e.g., Goffman 1963), the types of social interactions relevant to the study of organizations occur as part of formal or informal organizations or interorganizational relationships.

5

Stability and Change in the Interinstitutional System

Introduction

In defining and formalizing the concept of the interinstitutional system as a typology in chapter 3, we introduced discussion of the first three of the four core metatheoretical principles of the institutional logics perspective—1) the partial autonomy of social structure and action, 2) the understanding of how institutions operate at multiple levels of analysis, and 3) the integration of the symbolic and material aspects of institutions. In this chapter, we continue discussion of the principles of the interinstitutional system with an emphasis on the fourth assumption—historical contingency. As noted in chapter 1, historical contingency underlies our theories of institutional logic emergence, reemergence, and change. It also underlies an understanding of the stability and change of the interinstitutional system as a whole. As our cross-level effects model introduced in chapter 4 indicates, we divide the broad topic of institutional change and stability into levels of analysis. In this chapter, we concentrate our focus on the micro and macro—the individual and societal levels. First, we first discuss the societal evolutionary-systems level and then the individual-societal levels. Second, we illustrate the cross-level and institutional-order effects by applying the typology of the interinstitutional system to analyze three case narratives.¹ Last, we use the case analyses to develop novel theory of cultural entrepreneurship (DiMaggio 1982; Lounsbury and Glynn 2001).

¹ The presentation of the cases illustrating the typology of the interinstitutional system is based on earlier presentations of "Cultural Approaches to the Study of Entrepreneurship," Showcase Symposium, MOC, ENT, and OMT Divisions, Academy of Management, 2008; "Institutional Logics and Entrepreneurial Ideas," Conference to celebrate the 25th Anniversary of DiMaggio and Powell 1983, University of Arizona, 2008 and Conference on Institutional Theory, University of Alberta, Edmonton, Canada, 2009.

Evolutionary-Systems Level

The interinstitutional system is not static, but is an adaptable social system that has a practicality and a patronage (Hughes 1936: 186). Institutional orders evolve over time—their historical interdependence is the wellspring of new institutions. Neoinstitutional theory assumes there is an evolutionary development of institutions that occurs with the structuration of an organizational field (DiMaggio and Powell 1983) and the modernization of world society (J. W. Meyer et al. 1997). The institutional logics perspective also assumes that each institutional order has a different age of origin and that the interinstitutional system evolved interdependently over historical time. The typology of the interinstitutional system described in chapter 3 implies a progression toward modernity, though no one society must fit a progressive trajectory of development. For example, some modern Western societies retain vestiges of more ancient institutions in their social and business practices and economies (Greenwood et al. 2010). While it is intuitive that not all institutional orders emerged at the same time, we are not aware of systematic research on the historical contingency and comparative event sequencing of the emergence and change of the institutional orders.

A web search on the question suggests that the relative origins of some institutional orders cluster more closely together than others, particularly if the orders were complementary and symbiotic or codependent in their early stages of institutionalization.² While it is difficult to discretely partition the interinstitutional system into the relative origins of its sub-system institutional orders, the evidence leads us to believe the sequence is roughly as follows: the family, community, religion, state, market, professions, and corporation. However, the event sequencing of the origins of community and religion is particularly difficult to partition.

The orders of community, states, and professions had an early alignment with religion in their initial stages of formation (Norenzayan and Shariff 2008; Schermer 2004; O'Day 2000). Religion also reifies family fidelity through norms and beliefs—and this reification is emphasized in all the major world religions—making the family and religion symbiotic and complementary in each other's evolution. Moreover, early rulers used religion to justify the central authority of the states, playing dual roles of political and spiritual leaders (Schermer 2004). As families moved through later stages of development, other institutions, for example the state and private-property laws, combined to further complement or compete with the jurisdiction of the family as an institutional order (Engels 1884). While the scope of authority

² We use this discussion to motivate our topic. A full understanding of this question is beyond the scope of this book, being one worthy of an entire book.

of the family has no doubt declined over time in Western democracies, the family remains an influential institutional order in business and economic policy (Greenwood et al. 2010). In many nations the state takes explicit account of families in tax, welfare, housing, and retirement policies, among others.

One explanation for the early central role of religion is that it is communicated in narratives—to spread, it depended on language and pictorials, not literacy. For example the Bible is a story and its presentation in religious services is accompanied by symbols and rituals which means that it provides an explanation and meaning, making its categorical elements easily blended with and transposable to other institutional orders. The argument is that an institution begins with a narrative, because storytelling makes it available and accessible to the human psyche not at the intellectual, but at the emotional level where it is more powerful; beliefs are then secondary to the success of a narrative (A. Campbell 2009). In chapter 7, we elaborate the role of narrative in how institutional logics change.

Historical Interdependence of Institutional Orders

The interdependence of the institutional orders and their elemental categories illustrates developmental and transformational changes with important consequences for the adaptation and stability of the interinstitutional system as a whole. For example, the historical sequencing of events around the medieval plagues exposed and discredited religion as ill equipped in the public's eye to remedy issues of health. These events segregated medicine from its previous moorings as a stepchild of religion and created the opportunity to transpose medicine to new institutional space—the professions—centered not in the church, but in science and the university. In effect, this shift illustrates a decline in the scope of authority of religion (Chaves 1994) and a concomitant rise in the scope of authority of the professions.

This example illustrates the blending and segregating of institutions vertically within an institutional order and horizontally across institutional orders. However, the above example provides limited understanding of the micro actions in which different categories of the institutional orders of society are recombined with consequences for the stability and fluidity of the interinstitutional system. We mean fluidity in the sense of changes in the relative jurisdiction and scope of authority of different institutional orders. How is the interinstitutional system nearly decomposable and its categorical elements on the vertical Y-axis, e.g., sources of legitimacy, authority, etc. transposable across the horizontal X-axis of the institutional orders—family, religion, market, etc.? That is, how can individuals and organizations seek to

change institutional arrangements when the means and ends of their interest and agency are constrained by their prior and current experiences within the context of institutional orders of the interinstitutional system?

Individual–Societal-Level Effects on Institutional Change

This theoretical problem, identified as embedded agency, has benefited from much discussion and research (Holm 1995; Sewell 1992; Emirbayer and Mische 1998; Seo and Creed 2002; Greenwood and Suddaby 2006; Leca and Naccache 2006; Battilana, Leca, and Boxenbaum 2009). One of the central foci of this research is the concept of institutional entrepreneur. Initially developed to remedy the lack of an explanation for agency in neoinstitutional theory (DiMaggio 1988), the concept has been criticized for overly endowing individuals with power (see Hardy and Maguire 2008 for a review). We draw on an allied concept, the cultural entrepreneur (DiMaggio 1982; Lounsbury and Glynn 2001) and link it to the institutional logics perspective to benefit from its assumptions of near decomposability and the exteriority of institutions. We argue this theoretical integration provides a potential solution to the problem of embedded agency, as ordinary individuals and organizations can act outside the confines of their immediate institutional environments.

For illustrative purposes we apply the interinstitutional system typology discussed in chapter 3 to understand the potential role individuals play in the stability and change of institutional logics. We focus on the historical case narratives of three individuals—J.C. Penney, retailer and founder of the Golden Rule stores, later known as the J.C. Penney Company, John Sperling, professor and founder of the University of Phoenix, and Richard Prentice Ettinger, professor and founder of the Prentice-Hall Publishing Company. Through the functional backgrounds and innovative actions of these individuals, we illustrate how to analyze institutional logic change using the typological method of ideal types of the interinstitutional system.

Our focus purposely foregrounds the individual–societal effects. However, this does not imply that organization-, field-, and cross-level effects are not at work. We discuss alternative levels of analysis in chapters 6 and 7. The book is organized to partition effects by level of analysis in order to systematically present our ideas. When shifting level of analysis, the application of concepts and their effects may vary. For example, there is a difference in how we use segregation between chapters 5 and 7. Chapter 5 theorizes at the societal-level origin of an entrepreneurial idea—in theory the entrepreneurs are switching categories from one institutional order to another based on prior knowledge. Chapter 7 theorizes about how one institutional logic in an institutional field

can morph into another logic in a field. That is, chapter 5 is examining the origin of innovation and chapter 7 the origin of an institutional field.

Cultural Entrepreneurship

We argue that vertical specialization within and horizontal generalization across institutional orders results in heightened pattern recognition and the reflective capacity to visualize and reframe problems and solutions by not only the blending (Glynn and Lounsbury 2005), but also segregating elemental categories of different institutional orders. As Table 5.1 highlights, Penney, in founding his Golden Rule stores, segregated the institutional order of the family and blended the institutional orders of religion and the corporation. Sperling, in founding the University of Phoenix, segregated the institutional order of the professions and blended the institutional orders of the corporation and the market. Ettinger, in founding Prentice-Hall, blended categorical elements of the institutional orders of the family, state, market, and corporation.

→ mixer/harmonizer

Table 5.2 reviews the key points summarizing how these individuals' vertical specialization in unusual combinations of institutional orders enabled their capacity for horizontal generalization in creative ways across institutional orders. While these case narratives are deduced from a reading of auto- and biographical materials and company documents, it is noteworthy that key points of each of the narratives are validated by quantitative research in separate independent studies—with respect to negative public views of chain stores (Ingram and Rao 2004; Ingram, Yue, and Rao 2010), the domination of liberal arts and rise of practical education (Kraatz and Zajac 1996), and the shift from family to market capitalism in publishing (Thornton and Ocasio 1999; Thornton 2001, 2002).

Before discussing the case narratives, we first ground our arguments in a review of the research literature. It is commonly understood that entrepreneurial and innovative behavior occurs at increased rates during periods of technological disruption—for example, historically the industrial and currently the Internet revolutions (Baron and Shane 2008: 40). One explanation for this observation is what Arthur (2009) terms “combinatorial evolution,” which is based in Schumpeter’s (1934) idea that entrepreneurs innovate by recombining existing materials and Ogburn’s (1922) thesis that with more technologies available in society, more “cultural material” (meaning technology) is available in which to invent. Similarly, we could argue that cultural material is not technological, but instead institutional—meaning symbols and practices: the more there is, the more there is in which to invent.

Table 5.1. Interinstitutional System Ideal Types

Y AXIS: Categories		X AXIS: Institutional Orders					
	Family 1	Community 2	Religion 3	State 4	Market 5	Profession 6	Corporation 7
Root Metaphor 1	Family as firm	Common boundary	Temple as bank	State as redistribution mechanism	Transaction	Profession as relational network	Corporation as hierarchy
Sources of Legitimacy 2	Unconditional loyalty	Unity of will belief in trust & reciprocity	Importance of faith & sacredness in economy & society	Democratic participation	Share price	Personal expertise	Market position of firm
Sources of Authority 3	Patriarchal domination	Commitment to community values & ideology	Priesthood charisma	Bureaucratic domination	Shareholder activism	Professional association	Board of directors top management
Sources of Identity 4	Family reputation	Shared emotional connection	Association with deities	Social & economic class	Faceless	Association with quality of craft	Bureaucratic roles
Basis of Norms 5	Membership in household	Group membership	Membership in congregation	Citizenship in nation	Self-interest	Membership in guild & association	Employment in firm
Basis of Attention 6	Status in household	Personal investment in group	Relation to supernatural	Status of interest group	Status in market	Status in profession	Status in hierarchy
Basis of Strategy 7	Increase family honor	Increase status & honor of members & practices	Increase religious symbolism of natural events	Increase of community good	Increase efficiency profit	Increase personal reputation	Increase size & diversification of firm
Economic System 8	Family capitalism	Cooperative capitalism	Occidental capitalism	Welfare capitalism	Market capitalism	Personal capitalism	Managerial capitalism

Note: Dashed-lined cells indicate categories used by Penney, solid-lined cells by Sperling, and dotted-lined cells by Ettinger. Cells with an X indicate segregation of institutional logics

Table 5.2. Individuals Visualize Problems and Innovations by Transposing Logics from Different Institutional Orders

Steps in Innovation Process	J.C. Penney	John Sperling	R.P. Ettinger
Recognize & Articulate Problem	One fair price for all customers & trust of absentee-owned retail stores in small Midwestern towns in the early 1900s	Accreditation by professional associations to educate nontraditional students	Expansion capital beyond resources of family capitalism in a craft industry
Theorize, Translate, Legitimate Solution	Switched referent categories from family to religion & corporation logics to legitimate innovation of fair pricing and chain of Golden Rule Stores	Switched referent categories from professions to market logics to legitimate innovation in education	Blended referent categories from family, state, market & corporation logics to capitalize & scale business
Mobilize Community of Solution Advocates	Evangelized "managers as associates," & "customers as neighbors" to employees, public, & charities	Mobilized students as customers & educators as shareholders to Wall Street	Evangelized editors as entrepreneurs to family of companies tied together by stock options & profit sharing

However, only rarely does the general public think of entrepreneurial and innovative behavior as motivated by the recombination of institutions. Yet, neoinstitutional scholars in economics influenced by the modern Austrian school point out that there is a direct relationship between institutions and the discovery of and action upon entrepreneurial ideas with consequences for fundamental institutional change. Kirzner (1997) argues institutions create a backdrop or contrast effect that fuels entrepreneurial alertness and reveals new ideas and opportunities. Individuals recognize market problems and solutions consistent or inconsistent with interpretive frameworks. Aspects of these ideas are validated across different literatures that rarely cite one another. For example, in the strategy literature, Prahalad and Bettis (1986) and Bettis and Prahalad (1995) developed the concept of "dominant logic" to refer to an information filter on managerial attention. In the entrepreneurship literature, Shane (2000) showed in comparative case studies that individuals recognized new ideas and acted on them because they possessed different knowledge, information, and experience across markets and professions, what he referred to as "knowledge corridors." According to Baron and Shane (2008), individuals use prototypes and cognitive frameworks to recognize patterns and make connections between unrelated events and trends. The broader an

individual's experience, the higher their chance of pattern recognition (Shepherd and DeTienne 2001).

These psycho-institutional human capital arguments are advanced by incarnations in interorganizational research by pointing out that crossing contexts highlights contradictions in symbols and practices, making them a source of innovation. Greenwood, Suddaby, and Hinings (2002), for example, found that individuals with higher levels of interorganizational mobility, those who have been exposed to an increased number of different organizational contexts, are less likely to take for granted the functioning of their current organization. They are more apt to be aware of heterogeneous institutional arrangements and the existing opportunities for action in an organizational or institutional field, and this awareness is likely to trigger their reflective capacity to innovate and create institutional change. Burt (2004) found similar results in his research on the origin of new ideas at the intra-organizational level in the corporate context.

Greenwood, Suddaby, and Hinings (2002: 75) argued that institutional entrepreneurs in defining a problem use the concept of "theorization" to render a solution in understandable and compelling formats that are justifiable in the public's eye. Theorization is engaged by cultural entrepreneurs' use of stories and rhetorical strategies to expose or ameliorate contradictions and to manipulate moral and pragmatic legitimacy through cultural symbols. The goal of theorization is to obtain resources and mobilize support, justify possible solutions and new courses of action, and translate interests to often-diverse constituents (Strang and Meyer 1993; Tolbert and Zucker 1996; Lounsbury and Glynn 2001; Suddaby and Greenwood 2005; Zilber 2006; Martens, Jennings, and Jennings 2007; N. Jones, Jones, and Walsh 2008).

Overall, this literature indicates that individuals and organizations connecting segregated groups are influenced to a greater extent by alternative ways of thinking and behaving. This reveals opportunities to synthesize novel combinations of ideas and borrow ideas that may have been commonplace in one community for implementation in another context where they are more valued or valued in a different way. This finding is present in actor-, relational-, or positional-focused analyses in organizations and organizational fields. The institutional logics perspective suggests a parallel approach to this research. "The contrast effect of the institutional backdrop" suggested by human capital economists and "the mobility effect in an interorganizational field," suggested by organizations scholars have an analog; that is, mobility in the interinstitutional system, with the contradictions and complementarities between the institutional orders providing the contrast effects. We apply these arguments to analyze the implications of three case narratives to advance theory and methods of cultural entrepreneurship.

Case Narrative: Penney Segregates Family, Blends Religion and Corporation

Beasley (1948) writes of J.C. Penney that his minister father and his devoutly religious mother instilled in him an abiding faith in the Christian ethic and the Golden Rule. This devotion was strongly demonstrated from youth, his father being a minister among the Primitive Baptists, a sect which had a rule prohibiting the payment of money to its preachers (Beasley 1948: 2). With this in mind, as a young retail clerk Penny was troubled by the common practice in the early 1900s of pricing retail merchandise on the basis of the customers' social and financial standing in the community; meaning that some customers paid more than others for the same merchandise. In this era of family-owned business, shortly after the turn of the twentieth century, Penney also was acutely aware of the mistrust of nonlocal merchants and absentee-owned businesses. Chain stores were frowned upon, and even to this day in specific cases continue to be sites of protests and boycotts (Ingram and Rao 2004; Ingram, Yue, and Rao 2010).

By way of Penney's vertical specialization in an unusual combination of institutional orders—in religion and in his vision of a corporate chain of stores, Penney recognized that part of the problem was also part of the solution. He reflected that while chain stores could provide savings from economies of scale and standardization, making it possible to offer one fair price to all—chains also lacked legitimacy in the customer's eye. But—Penney reasoned—if the chain stores segregated the despotic elements of family capitalism and instilled religious ethics into corporate business practices, he could create a successful chain of stores—worthy of the public's trust—what he called the Golden Rule Stores. Armed with his Bible teachings against usury and the principles of the Golden Rule in business (Penney 1956: 80), Penney set out to win over customers and develop a new management philosophy in retailing by mobilizing employee and customer advocates. The customer was won over by Mr. Penney's fair pricing and Golden Rule principles and his employees with professional management and profit-sharing plans. Penney managers were encouraged to join in movements that improved the town including voting and contributions from store funds (Beasley 1948: 216). "The man with a Thousand Partners," Penney's management philosophy viewed managers and customers as part of the congregation—managers as associates and customers as neighbors (Penney 1956). Penney wrote, "When a man truly works with a principle, such as the golden rule, that principle makes one the representative of a great working force. Then a creative force of the universe is in back of him, for the principle is doing the work, while he merely attends to the details" (J.C. Penney Company website 2004).

As illustrated in Table 5.1, by shifting the focus of attention from cells 1,5 to 3,5 and 1,2 to 3,2, the root analogies and referent categories by which the

cultural symbols and practices of retailing were interpreted shifted from the institutional logics of the family to those of religion blended with those of the corporation. It shifted the master referent categories with respect to the basis of norms from membership in household to membership in congregation and shifted the sources of legitimacy from unconditional loyalty to the family to the importance of faith in the economy. It shifted the informal control mechanisms from family politics to worship of a calling (Thornton 2004). In effect, this changed the referent for attention from the institutional logics of family capitalism to those of Penney's "Christian Principles of Business" in corporate enterprise (Penney 1945), providing the contrast effects that enabled Penney to recognize the problem, frame the solution, and mobilize a congregation of advocates to support his solution.

Case Narrative: Sperling Segregates the Professions and Blends the Market and Corporation

John Sperling (2000) writes in his autobiography how his impoverished childhood as a share cropper's son in rural Missouri and his prior experience in radical democracy and labor organizing in the merchant marines was ideal preparation for the life of a contrarian and a pioneer. In the late 1960s as a tenured professor of humanities at San Jose State University, Sperling began fielding studies on adult education and found that traditional colleges and universities were not serving the needs of adults who wanted to attend college but could not fit the traditional colleges' routines into their personal schedules. Although the mission of San Jose State University was to serve the entire community, working adults were noticeably left out of that mission.

Sperling believed a new model of education was needed to broaden the student population to include adult students with families, lives, and an inability to drop everything to attend class, finish a paper, or deliver a report for the convenience of the professor. Many aspects of the existing college programs thwarted adult students—the timing and location of classes, professors' methods of lecturing at passive students, and inflexibility in assignments. These students wanted more knowledge and to obtain bachelor's and master's degrees for practical reasons: salary increases and professional advancement. Logically they needed to attend classes in or near their workplace or close to their homes after work and on weekends, times when traditional colleges did not offer classes. In place of traditional college professors, focused on research rather than teaching, instructors of working adults would need to be academically qualified professionals, with professional jobs: accountants would be teaching accounting, managers would be teaching management, and working scientists would be teaching science courses.

While Sperling's research showed this new demographic of 25- to 35-year-old adult learners working full time with little or no college experience was on the rise, Sperling was unable to convince his faculty colleagues and the administrators at his university to serve their needs. Exasperated with the politics at San Jose State, he realigned himself to offer adult education programs through liberal arts colleges which were at risk of closing their doors because traditional younger tuition sources were sharply declining (Kraatz and Zajac 1996).

However, the professional accreditation associations, particularly in California, waged a fierce battle against Sperling's concept and threatened to shut down any college or university that attempted to sponsor Sperling's ideas about working students and practice-based education. Sperling was blocked at every turn by the various professional accreditation associations. Yet, it was imperative to achieve full accreditation; without it, students couldn't apply for financial aid, attend school at night, and improve their job promotion prospects upon completion of course work—students needed a credential that employers respected.

Part of the railing of the educational professionals was also part of the solution to establish a new idea for the accreditation process and the underlying innovation of his new university—the University of Phoenix (UOP). Sperling violated the established order of things: In J. W. Meyer and Rowan's (1977) words, he violated the professions' "taboo of inspection" by transposing and blending practices from the market and corporate management to create new ways to assess accreditation standards that focused on outcome not process measurement—not hours in the classroom, but on the learning and achievement of the students. Students were treated as consumers in a market and the UOP catered to their needs—not to those of the faculty. All of these measures were diametrically different from the traditional measures based in the old agrarian calendar with two semesters of course offerings excluding summers, nonprofit status, a centralized campus location, full-time faculty, and a certain number of library books.

Sperling and his team employed a number of tactics, touching off a sequence of events that helped them legitimate these new professional accreditation criteria and lay the ground work for their new university. They geographically relocated to avoid hostile professional accreditation associations, placed themselves in markets such as Phoenix which had an abundance of working adults without college degrees, and cultivated antiprofessions state legislative bodies, such as in Arizona, that could at least guarantee due process in professional accreditation issues. While the struggle was protracted, Sperling in the end was able to successfully fight off the regulatory barriers of the higher education professions. In the process of the battle, he became convinced that to survive and prosper the new model of education could not

be the step-child of another university (Sperling 2000: 97); it had to be a university in its own right.

Even though Sperling had risen to full tenured professor at San Jose State University, his unusual combination of vertical specialization in rural poverty and labor organizing gave him an affinity and vision for the plight of the working class. His unusual background spanning diverse institutional worlds was central to his ability to overcome resistance of the professions by transposing the concept of a university to new institutional orders—segregating it from the logics of the professions and blending the logics of the corporation and market by taking UOP public on the NASDAQ. As illustrated in Table 5.1, this shifted the focus of attention from cells 6,3 to 5,3 and 7,3 and from 6,5 to 7,5. The embodiment of heresy, this shift required management to be disciplined by the market to generate its own revenues and not to rely on alumni or state legislatures for funding. If the quality of its services deteriorated, UOP would have to shut down. UOP struggled for two decades for acceptance from the academic community, but in the end Sperling believed that only market approval and acceptance would legitimate UOP.

Sperling spearheaded a revolution in education that deconstructed the professions' stranglehold on how higher education was delivered and the professions' right to make claims on the UOP. The traditional practices and powers of faculty governance, such as tenure, were eliminated and replaced with corporate governance practices—changes Sperling had the capacity to visualize because of his unusual combination of vertical specialization as a labor organizer and university professor. These categorical shifts placed the very definitions of sociopolitical legitimacy (Aldrich and Fiol 1994) and accreditation in conflict with those who were empowered to grant it, allowing the UOP to attract alternative stakeholders in which the guild had no legitimate right.

Case Narrative: Ettinger Blends Family, State, Market, and Corporation

Richard Prentice Ettinger writes that he graduated from New York City high school and decided on a law career. After earning a law degree, he was too young to take the bar exam in New York, so he began his career teaching finance at New York University (Educational Foundation of America, <http://www.efaw.org>). As a young professor, Ettinger recognized the need for more effective educational materials in his field, so he wrote a textbook on creditors' rights. In 1913, one of his law teachers, C. W. Gerstenberg, wrote a book entitled *Materials of Corporation Finance*. Both had difficulty getting their manuscripts published and decided to join forces using their grandmothers' maiden names to found Prentice-Hall (P-H). Neither had capital, nor knew

much about the publishing business, but Ettinger found a printer who was willing to publish their books on credit.

Gerstenberg and Ettinger soon discovered that capitalizing the book publishing business was a problem; unlike large industrial corporations of the time that were financed by their own internal capital market and the public markets, publishing was a family-owned craft industry (Coser, Kadushin, and Powell 1982). Moreover, publishing had an unfavorable cash flow structure with its main costs up front and only breaking even nine months into the year. The industry consisted of small privately capitalized publishing "houses," which often had difficulty from year to year relying on retained earnings to provide enough capital to fund expansion to meet market growth. The alternative, debt financing, was relatively unavailable or expensive because bankers viewed the key asset, the value of contracts for future books, as too risky because the ingredients of a best seller are difficult to predict (Hirsch 1972).

Ettinger found that to meet increased demand for books, publishers needed new sources of expansion capital beyond the common practice of hand-to-mouth retained earnings. For publishers, the problem was unquestioned and taken for granted; but for the two teachers of corporate finance—two outsiders—it was screamingly apparent there was a solution. The contrast effect was huge with Ettinger's vertical specialization in credit and corporate finance—practices embedded in the corporate and market logics, not those of family capitalism. He reasoned the engine he needed was a paternalistic blending of family publishing with corporate and market finance.

Chandler (1962) argued that corporate hierarchies would not develop in book publishing like they did in other industrial sectors, because publishing had few economies of scale to justify increasing firm size and diversification. However, Chandler did not foresee what the publishing historian John Tebbel (1981: xi, 249) would write about Prentice-Hall as, "the publishing counterpart of big business," or the empirical research that showed Tebbel's description would eventually spread to many firms in the industry and that Chandler's predictions were shortsighted (Thornton 2001, 2002).

Ettinger had a vision. Drawing on his prior experience in law and teaching corporate finance, he diversified P-H into related businesses that unlike higher education publishing have early cash positions. P-H built up its cash-rich subscription-services businesses, such as its loose-leaf tax services, financial services, and incorporation services as the New York Institute of Finance. Then it used these cash generators to create its own capital market to fund a major investment campaign in publishing in the 1950s that was both organically and acquisition driven. Commonplace in other industries, these corporate financing practices transposed to publishing were the innovation needed to meet the sequence of events that came together to create phenomenal

demand for educational books; the postwar boom in college enrollments with the GI bill and increased state and federal support to colleges and universities.

Ettinger also developed an unusual profit-sharing plan to redistribute corporate wealth to *all* employees, not just management, a family attitude toward all employees, and an operation organized along standard corporate lines. These attributes markedly distinguished P-H from the other publishing houses (Tebbel 1981: 247–248). For example, P-H was the first publisher to formally train its editors and sales reps to sell and define markets. Until then, college reps were called travelers and were akin to old-fashioned bards and public relations arms carrying gossip from one school to another. P-H pushed the concept of “selling” and invested resources in training editors and sales representatives (Ettinger 1970). This sharply contrasted with the common practice based in the belief that good books sold themselves (Lane and Booth 1970; Powell 1985).

The P-H sales training programs had another important function; they were the wellspring for the editorial talent needed to found new and rejuvenate newly acquired companies. As Ettinger envisioned, editors in entrepreneurial fashion were paired together and trained to stimulate “group management” to break down the dominant nineteenth century model of publishing in which the head of the house was reading and editing manuscripts rather than building companies. First-generation editors initially trained at P-H went on to train editors who founded second and third-generation companies such as Wadsworth, Brooks/Cole, and Prindle, Weber, and Schmidt, as well as new college divisions in old-line elementary and secondary publishers such as Allyn and Bacon and Charles E. Merrill.

These sibling companies were not only related by common sales and editorial training experiences, they were also linked by sophisticated financing and employee-incentive policies. For example, when Wadsworth and Merrill were spun off from P-H in 1964, P-H shareholders received a share of Wadsworth and Merrill stock for every 10 shares of P-H stock they owned. This was a dividend to P-H stockholders in recognition of reduced earnings from funding the start up and acquisition costs of Wadsworth and Merrill. Moreover, the employee profit-sharing plans were partially invested in the stock of these companies, thus linking owners, managers, workers, and open-market stockholders of the P-H family of companies.

While competing companies such as Macmillan and Harper worried about employee unions, P-H motivated its employees through this innovative combination of public stock offerings and employee profit-sharing arrangements. Moreover, Prentice-Hall further distinguished itself from its competitors, namely Harcourt Brace Jovanovich and McGraw Hill, with its decentralized structure. When it acquired old publishing houses, they were not consolidated into the P-H organizations; their established imprints were preserved for brand

equity and differentiation in the marketplace. However, P-H infused these firms with new employees from P-H who brought fresh editorial and management talent and standardized corporate practices.³ These companies were then spun off as autonomous firms and taken public to capitalize further growth. Simultaneously, new divisional and subsidiary companies were also founded in a decentralized fashion under the P-H organization and later spun off as separate stock companies.

Unlike any other publisher, P-H initiated modern financial and editorial entrepreneurship in the old craft of publishing and, in so doing, capitalized an expansive model of growth. P-H and its corporate progeny trained more sales representatives and acquisition editors and spawned more new divisions and independent companies than any other higher education publisher. This expansive strategy of structural overlap among a family of companies, motivated and bundled through sophisticated joint stock ownership and profit-sharing plans, effectively spread variants of the P-H model during a period of expanding market demand in the industry.

By 1962, Prentice-Hall had become the largest publisher of college books in the world and by 1976 it had 22 divisions and subsidiaries (Tebbel 1981: 250).⁴ By creating a model of organization called the "General Motors of publishing," Ettinger solved the problem of investment capital and transformed a small sleepy industry from its 19th-century practices into the mainstream of the Fortune 500. By his unusual combination of vertical specialization and horizontal generalization as teacher of corporate finance and founder of Prentice-Hall, Ettinger created a blending of the categorical elements of family, state, corporate, and market organizing principles and practices.

Cross-Narrative Discussion

These three individuals through their socialization and social interactions all had an unusual combination of vertical specialization in multiple contradictory and complementary institutional orders that had two effects. First, the depth of their specialization more sharply focused their attention, in effect creating selective perception and sympathies for certain principles and groups of people. As chapter 4 elaborated, various situational contexts activate cognitive cues that make institutional logics available and accessible. Recall,

³ Numerous stories were told about the lack of standard business practices among the old-line publishers. For example, when P-H acquired Allyn & Bacon, the new staff from P-H inquired about the royalty rate paid to authors. This information was given from a little black book that indicated the rate depended on how well the company did in any given year (Interview, ESCHA 1994).

⁴ Even in competing companies executives proudly stated that they were initially trained by the P-H method, including past presidents of Addison-Wesley and Holt, Rinehart, and Winston (Interview with a former executive of a major higher-education publisher and director of a university press 1991).

availability refers to the knowledge and information that can be utilized by individuals in their cognitive processes. Accessibility refers to the knowledge and information that comes to mind. We add that this availability and accessibility of institutional logics is contingent on individuals' prior knowledge and experience; that is, their vertical specialization within and horizontal generalization across institutional orders are activated by salient aspects of the situation and the environment. Penney's knowledge corridor (Shane 2000) in Christian religion shaped his capacity to identify and solve a problem of unfair pricing and chain stores in the situational context of retailing. Sperling's knowledge corridor in radical democracy and labor organizing enabled him to identify and solve a problem in adult education. Ettinger's knowledge corridor in corporate finance helped him identify and solve the problem of growth financing in the craft industry of publishing.

Second, following Kirzner's (1997) arguments, individuals' vertical specialization in a unique combination of institutional orders created cognitive contrast effects that made certain features of their environments more salient relative to others. These contrast effects enabled Penney, Sperling, and Ettinger to think innovatively as they could identify problems and solutions as either consistent or inconsistent with the different interpretive frameworks (symbols and practices) of the unique combinations of institutional orders in which they had prior knowledge and experience. All of the individuals transposed logics common in one institutional order to new contexts; however, they exhibited different recombinant types and varied in their relative use of blending and segregating strategies to accomplish recombination. We need further research on the mechanisms of logic recombination. In particular, how do situational characteristics and individuals' prior knowledge and experience activate attention to alternative categorical elements of different institutional orders? What causes some recombinations of categories, but not others, to cohere and adhere with respect to individuals' and organizations' attempts to mobilize a following for innovations (C. Jones, Maoreff, Massa, and Svejenova 2011)?

The Penney and Sperling narratives emphasize the segregating of institutional logics, family and the professions, respectively; the Ettinger case emphasized the blending of logics, state, market, and corporate, onto the vestiges of family. The epilogue for P-H is that when the family metaphor was severed with the acquisition of Prentice-Hall in 1985 by the conglomerate Gulf and Western, the P-H family of companies began to fall apart.

The narratives raise a question: Are Penney, Sperling, and Ettinger institutional entrepreneurs? If so, institutional entrepreneurs do not necessarily disengage from the social world to create change because identities (who we are), structures (paths and constraints), and actions (how we act) can be loosely coupled. Nor do they necessarily think of themselves as heroes

(Hardy and Maguire 2008) or strangers (Simmel 1950). The narratives argue otherwise. Penney with his strong faith, Sperling as tenured professor, and Ettinger as CEO did not think of themselves as either heroes or outsiders. Institutional entrepreneurs may not be aware of their vision advantage and ability to access and transpose categorical elements across institutional orders in an institutional field. It is natural for them to blend and segregate social worlds given their prior experience in living across institutional orders in ways that give them both vertical specialization within institutional orders and the capacity for horizontal generalization across institutional orders.

Discussion

The historical research and the case narratives suggest that the change and stability of the interinstitutional system is predicated to some extent on the interdependence among the institutional orders. Any one institutional order becoming overly dominant or autonomous relative to the other orders suggests instability of the institutional order and the system as a whole. However, instability may be only temporary to the degree that symbiotic interdependence among the institutional orders resets itself, in effect creating a feedback mechanism that ensures the survival of the system as a whole.

Our argument stems from Arthur's (1990) concept of positive feedbacks in increasing-returns economies. However, Arthur (1990) bases his theory on technology network externalities and we base our expectations on institutional network externalities: interdependence of the categorical elements among institutional orders. The institutional orders of the state, the professions, and the religions, expected to represent a greater emphasis on ethical norms than the institutional order of the market, in theory may function as moderators of extreme market practices by providing checks and balances. To what extent is an unexamined question and empirical examples exist suggesting they in effect facilitated market corruption or instability.

Institutional orders of the interinstitutional system are likely to change with the varying strength of general societal values for enterprise and entrepreneurship versus the values supporting traditions. As Hughes (1936) and our narrative cases illustrate, not just business, but institutions themselves are associated with enterprise. Even the more sacred institutions of society are subject to the need to compete, in some measure, to survive. However, the more sacred institutions may respond less quickly to changes in the surrounding world (Hughes 1936: 188). Given our arguments one would expect the cultural symbols and material practices of the institutional orders of the corporation and the market to change at a faster rate than those of religion and family because they are relatively less constrained by tradition.

See Dacin and Dacin (2008) for a review of traditions in light of institutional theory.

The influences of the state, the professions, and religion should provide constraint on the unbridled practices of capitalism. "Greed is good," may be tempered by the "Golden Rule," as exemplified in the J.C. Penney narrative. Similarly, an overly dominant state can be checked by feedback from the market. The practices of institutional orders can affect the practices of the other orders; this is how the institutional orders maintain and change themselves. Empirically, Greenwood et al. (2010) showed how the institutional orders of the state and the family tempered the institutional order of the market in explaining regional differences in the downsizing of small manufacturing firms in Spain. Moreover, individuals may mobilize to defend the symbols and practices of one institutional order from the implications of change in others—particularly when they are in conflict. Individuals may also attempt to export the symbols and practices of one institutional order to transform another (Friedland and Alford 1991: 255). This process of invasion and succession is similar to Abbott's (1988) argument on "the system of professions," only Abbott's (1988) seminal treatise applies within an order, rather than across different institutional orders.

698 What are the limits of invasion and succession among institutional orders of the interinstitutional system? This is an unaddressed empirical question. Can we observe cases in which institutional orders become so co-opted by another order's practices that the order self-destructs to some degree? Take for example the well-documented case of the failed accounting firm Arthur Andersen as a result of migration from the institutional order of the professions to the spellbinding effects of corporate and market capitalism (Greenwood, Suddaby, and Hinings 2002; Thornton, Jones, and Kury 2005). If we extend this idea to the complete dominance of any one institutional order left unchecked—will it deinstitutionalize an institutional order to such an extent that it has consequences for the entire interinstitutional system?

Empirical observations of the recent economic crisis of the world banking system lend insights as to why this is a fruitful question for future scholarly and policy research. The economic meltdown is not only interesting in the sense that market capitalism gained such dominance and autonomy relative to the influences of other institutional orders, but its self-destructing dominance was by one account an unintended consequence aided and abetted by the state (Weild and Kim 2008). No doubt, states worldwide acted to rescue and support the market logic. Note this view is consistent with the neoinstitutional theory of J. W. Meyer and Rowan (1977) and DiMaggio and Powell (1983) in that the institutional orders of the professions, state, and market combined forces, producing different types of isomorphism.

We can apply an institutional logics analysis to MacKenzie's (2011) extensive case study of the credit crisis as a problem in the sociology of knowledge. In his case, differences between the elemental categories of professional and corporate institutional logics lend insight into how knowledge was distributed depending on an actor's identification with these different institutional orders. For example, he suggests that Goldman Sacks, while going public relatively recently still retained much of its long-standing professional partnership network structure, enabling more tightly coupled valuation mechanisms across the different asset-backed securities (ABS) and collateralized debt obligations (CDOs) investment instruments. Hence Goldman came out relatively unscathed; they were able to spot the excess interdependence in securitization and sell their interests in ABS and CDOs in good time before the crisis materialized. By comparison, firms such as AGI and Bear Stearns were loosely coupled corporate hierarchies in which evaluation practices were segregated into autonomous parts of the organization. This caused the right and left hands to be incapable of understanding the implications of the overly interdependent securitization practices and coordinate the necessary checks and balances—making them a house of cards once the credit crisis chain of events hit.

Our discussion in this chapter has highlighted examples of institutional change in the dominance and jurisdiction of institutional orders relative to one another in society and change in the elemental categories of an institutional order. We suggest that the rate of change of institutional orders (X-axis) is slower than the rate of change of the elemental categories of an institutional order (Y-axis); that is, the parts change faster than the whole, though we need research to evaluate this hypothesis. The dynamics of institutional change have both vertical and horizontal aspects, and emerge and operate at multiple levels of analysis by several mechanisms. We have highlighted new ways to understand the potential role of institutional or cultural entrepreneurs as one mechanism of change in light of prior critiques of this concept; see Hardy and Maguire (2008) and Battilana, Leca, and Boxenbaum (2009) for reviews. Through the three narratives, we have at least moved beyond a description of heroic individuals by developing a scope-limited theory and methodological protocol for how entrepreneurs discover their ideas and convince others of their merit through their capacity for vertical specialization and horizontal generalization. Besides entrepreneurs' prior experience, situations such as mobility across institutional orders that highlights contradictions and complementarities between orders can activate heightened contrast effects and hence opportunities to visualize innovations.

In the three narratives, two other mechanisms of institutional change are illustrated—structural overlap and event sequencing. Structural overlap is defined as the common occurrence of individual roles and organizational

structures and functions that were previously separate being forced into association by some exogenous change, such as the two merger waves in the publishing industry which juxtaposed, particularly in the second, competing institutional logics (Thornton 1995; Stovel and Savage 2005). A key finding of Thornton(2001) was that controlling for macro economic effects, the two acquisition waves did not represent a significant difference in the number of acquisitions. However, the consequences of each wave was significantly different because the relative dominance of institutional logics had shifted, changing how executives interpreted the meaning of the concept of acquisition and its corollary practices.

Event sequencing is defined as the temporal and sequential unfolding of unique events that dislocate, rearticulate, and transform the interpretation of cultural symbols' and material practices' meanings as in Sewell's (1996: 844) account of the French revolution. In another example, in higher education publishing, a sequence of events led to the growth of the marketplace, which exposed the deficits of a 19th-century financing model woefully inadequate to meet the challenges of the key postwar events: GIs going to college, the baby boom, and Federal funding to build colleges and universities. This sequence of events was critical to activate Ettinger's application of prior knowledge of corporate finance to the financing problems of the publishing industry.

As we discussed in chapter 2, neoinstitutional theory was not well equipped to explain the partial autonomy of structure and agency because of its binary view of rationality and emphasis on structural isomorphism. While early institutional theory focused on agency, actors were viewed as constrained by their socialization and internalization of local norms. The seminal work of J. W. Meyer and colleagues (J. W. Meyer and Rowan 1977: 45; J. W. Meyer et al. 1997) seeded the idea of entrepreneurship (agency) and the exteriority of culture (partial autonomy) with their concept of loose coupling and their claim that "building blocks for organizations come to be littered around the societal landscape; it takes only a little entrepreneurial energy to assemble them into a structure."⁵

However, their focus was limited to cultural homogeneity as distinct from the institutional logics perspective's emphasis on cultural heterogeneity. This, in effect, limited the full utility of their loose-coupling concept. Thus, J. W. Meyer and Rowan's (1977) theory of loose coupling is an important mechanism that explains the maintenance of organizational field and world system stasis, but was not applied to the problem of embedded agency or institutional change as we have employed it. Moreover, the J. W. Meyer view is

⁵ We use the concept of near-decomposability to refer to structure and decoupling to refer to cognition. Partial autonomy is the umbrella concept for both terms.

dependent on the professions, science in particular, and the state as generators of world culture. While this scope condition in all likelihood limited observation of cultural heterogeneity, it is important to recognize that their perspective was developed during the years when globalization by cross-national comparison was a key focus of macro-organization theory. Gauged by current events, this view now appears historically invariant and institutionally incomplete as underscored, for example, by the recent assault on the dominance of the professions and the state by counter-movements fueled by a community logic and Internet technology.⁶ The open-source and Tea Party movements and the pro-democracy protests throughout the Middle East serving as current examples require an elaboration in theory as we have presented with the interinstitutional system.

By conceptualizing society as a nearly decomposable interinstitutional system of institutional orders, researchers have the tools to theorize and measure the differentiated, fragmented, and contradictory nature of cultural influences on cognition and behavior in institutional fields. This perspective has developed coincidentally with micro-level tools, in particular the revolution in social and cognitive psychology and cognitive sociology (see chapter 4). The empirical evidence indicates there is much less internal pressure for consistency in thought and behavior than most have previously believed (DiMaggio 2002). This view contrasts with an earlier psychology emphasizing individuals' need for internal consistency—the resolution of “cognitive dissonance.” Instead, more current research shows that cognitive manifestations of cultural norms and values are not necessarily unified systems that are “internalized” by individuals, pushing them to act in a consistent manner (DiMaggio 1997; Cerulo 2002). As in the organization-level research on loose coupling and decoupling (Weick 1976; J. W. Meyer and Rowan 1977), individuals are quite capable of saying one thing and doing another and decoupling their private from their public personas (Klyver and Thornton 2010).

We stress with the three narratives that it was the contrast effects due to differences in the individuals' functional backgrounds relative to the contradictory and complementary nature of different institutional orders that created the lenses exposing problems and solutions. However, as we will examine in chapters 6 and 7, when logic inconsistency is examined, not cognitively at the individual level of analysis, but across the layers of an organization or across organizations in an institutional field, it may have different effects: Social dynamics is another mechanism affecting the lenses. That the researcher's selection of level of analysis privileges the observation of different

⁶ Recent unemployment among the college educated and the professional class, even in emerging economies, may signal pressures on the influence of the professions as an institutional order relative to other institutional orders (cf. Abbott 1988).

mechanisms of institutional logics points to the great need for multilevel studies to understand the cross-level effects, as daunting as they are in terms of data collection.

As noted previously, there is considerable research to demonstrate that individuals and organizations act as cultural entrepreneurs by using stories and rhetorical strategies to manipulate cultural symbols to obtain resources and to change practices (Lounsbury and Glynn 2001; Suddaby and Greenwood 2005; Zilber 2006; Martens, Jennings, and Jennings 2007; N. Jones, Jones, and Walsh 2008). What we are proposing by explicating society as an interinstitutional system is a typological method to understand the origin and transposition of cultural symbols and material practices that underlie these examples of institutional change. We used this analytical method to comparatively illustrate how individuals switched categories that referenced different symbolic analogies, sources of legitimacy, and bases of norms, with implications for a change in practices; it was not simply a struggle over material resources. Here again, we caution to keep the level of analysis squarely in mind. These individuals were developing innovative ideas to start new organizations and this study did not capture the dynamics at the organizational and institutional field levels, but at the individual-societal levels. We take up the field level of analysis in chapters 6 and 7.

Extrapolating from anthropological theory coupled with the empirical research on institutional isomorphism in organization fields suggests that categorical elements transpose across different institutional orders by being associated with an institution that has an analogy to the natural world. The analogy acts to obscure the purely human origins of the institution, making the institution appear as a part of the cosmos and order of the universe (Douglas 1986; Davis, Diekmann, and Tinsley 1994). Strang and Meyer (1993), Tolbert and Zucker (1996), and Greenwood, Suddaby, and Hinings (2002) developed the related but broader concept of "theorization" as the development and specification of abstract categories to distill and simplify the cause-and-effect properties of new practices, enabling them to be widely adopted. The central point is to confer legitimacy, and similar to Douglas (1986) this occurs by nesting and aligning new ideas within an account supported by the prevailing culture. This process requires objectifying the new practice first by specifying a general failing for which a local innovation is a solution and then by justifying the change in practice; making the new practice appear more compelling or legitimate than the old (Tolbert and Zucker 1996). Greenwood, Suddaby, and Hinings (2002: 60–1) identify a number of diffusion studies demonstrating theorization.

We suggest there are a couple of ways to think about the concept of transposition. First, are those practices more tightly coupled with cultural symbols more likely candidates to transpose than symbol-barren practices in

which a practice is in the process of decoupling from symbols and rituals, and thus its legitimacy is eroding? This is not to say that one could not fathom an empirical example in which a relatively more symbol-barren practice in one institutional order could be displaced to another symbol-laden institutional order. Second, we would expect that those institutional orders that are more complementary to one another would more likely have greater transposition capacity among their elemental categories than those institutional orders that are in diametric conflict. For example, Boltanski and Thévenot's ([1991] 2006) research on justification provides evidence of which "worlds of worth," are incompatible, anchored at the social-psychological level. They argue that the blending of elemental categories of different institutional orders needs to agree with their cultural and symbolic appropriateness to a world problem—not an incongruent evaluation of worth. In their nomenclature, an individual cannot awkwardly combine elements from the domestic, fame, and industrial worlds of worth (Boltanski and Thévenot [1991] 2006: 227) making it unlikely to transpose across institutional orders. Similarly, an individual cannot unthinkingly combine categories associated with the market and the family. No doubt to do so by trying to act like a used car salesman at the family dinner table would draw disdain while treating a used car salesman like a family member would predispose exploitation (Friedland and Alford 1991).

What these vignettes illustrate is how rationality is defined within the context of different institutional orders and whether or not individuals draw upon institutions in the appropriate context. In spite of the same publication date, this more complex understanding of rationality did not take hold in neoinstitutional theory (Powell and DiMaggio 1991). As a result, theories of structural isomorphism remained dominant for two decades, leaving the field of institutional analysis adrift without a viable theory of institutional change (Mizruchi and Fein 1999), except for the political sociology of resource dependencies involving political struggles and social movements. In subsequent chapters, we discuss how the institutional logics perspective contributes to social-movement theory and research. These examples and the case narratives leave us needing future research to better distinguish the different types of recombination of institutional logics' elemental categories.

Conclusion

The narratives demonstrated that which aspects of institutional logics are activated is contingent on the applicability of an individual's knowledge and prior experience to the salient aspects of the environmental situation. More specifically, the availability and accessibility of logics is dependent on individuals' and organizations' vertical specialization within one or more

institutional orders and horizontal generalization across institutional orders. Different types of recombination of institutional logics are affected by influences at the structural level. That is, the contradictory versus complementary nature of elemental categories differentially affects blending and segregating of logics and thus recombination.

There are many advantages to using a typology of the interinstitutional system as an analytical method to understand institutional stability and change. The modularity of the system with its decomposable and transposable characteristics is compatible with the assumption of independence of toolkit approaches (Swidler 1986; Thornton 2004; K. Weber 2005) in that logics are not adopted or disbanded in whole cloth. It integrates the cognitive, normative, and regulative aspects of institutions (Scott 1995, 2001, 2008a), contrasting these aspects across different institutional contexts and levels of analysis to clarify how meaning and motivation alter ways to enact power. It crystallizes the origins and full range of interpretive frameworks available to individuals and organizations. It is not limited as is prior research to variability within a context where innovators identify a problem and new ideas in a single relationally or culturally connected field (Leblebici et al. 1991; G. F. Davis and Greve 1997; Fligstein 1997; Hirsch 1986; Stearns and Allan 1996; Battilana 2006). Therefore, the institutional logics perspective expands the capacity to examine and understand the origins of institutional change.

Our discussion in chapters 3 and 5 reveals that to understand institutions from the perspective of interdependent subsystems—that is, an interinstitutional system of institutional orders—is central to the ability to solve previously intractable problems in institutional theory. The reason the metatheory of the institutional logics perspective includes both the symbolic and the material is that without doing so it is not possible to explain institutional change as transposition depends on symbols in order to travel across contexts. Representing societal-level culture as an X,Y matrix of institutional orders is an advance over prior institutional theory in that it allows consideration of the full spectrum of explanations across different disciplines and levels of analysis, even pointing out important control variables. This approach allows the influences of institutions to be theorized and measured as both internal and external to individuals and organizations. It enables researchers to analyze how individuals and organizations are situated in multiple institutional orders of society, explaining varying effects on their cognition and behavior. The near-decomposability of the interinstitutional system, particularly on the Y-axis enables the assumption for the partial autonomy of structure and action and thus provides multiple avenues to explain institutional change. Thus, this metatheoretical perspective can, with some theoretical ingenuity (as has been demonstrated by researchers in our brief literature reviews), explain how institutions are historically contingent, how agency is both

embedded in, yet autonomous from structure, and how the influence of institutions operate at multiple levels of analysis.

Once established and taken for granted, the institutional orders and their elemental categories are relatively stable over time. However, the three narratives illustrate that the contents of the X, Y cells of the interinstitutional system are considerably more changeable as expressed in their specific variants and instantiations, thus allowing for substantial variation in symbols and practices within organizations, institutional fields, and societies. These aspects of the institutional logics perspective provide the ingredients to understand and theorize different forms of stability and change in the institutional orders themselves.

Chapters 6 and 7 further elaborate on variation and change in symbols and practices by level of analysis, in particular how the meso and macro levels link together with a focus on organizational identity and practices as the key conceptual linkages between institutional logics and intra- and interorganizational processes. The mechanisms of sensemaking, decision making, and collective mobilization are used to develop a recursive model illustrating how institutional logics mediate organizational and field practices and identities and how complex social interactions result in organizational and field practices and identities changing institutional logics. Chapter 7 completes our theory elaboration by focusing on the institutional-field level of analysis with an emphasis on field emergence and evolution.

6

Dynamics of Organizational Practices and Identities

Introduction

GM In this chapter, we develop theory about how the dynamics of organizational practices and identities within and across organizations relate to institutional logics. From the inception of the institutional logics perspective, the concepts of practice and identity have both been integral (Friedland and Alford 1991). However, while they provide important conceptual focal points for scholarly research, most research to date has not effectively analyzed how institutional logics shape and are shaped by the material instantiations of logics—the practices and identities of concrete actors. In this chapter, we argue that practices and identities are fundamentally interrelated with institutional logics, and that concrete behaviors related to identities and practices are usefully understood via their relation to institutional logics in a given empirical setting. While the conceptual relationships we posit between institutional logics on the one hand and identity and practice on the other are meant to be general, theoretical development in this chapter will focus on organization-level processes.

Dep Over the past couple of decades, diverse and growing scholarly attention has been paid to *practice* across the social sciences (see, e.g., Schatzki, Knorr-Cetina, and von Savigny 2001). For many social theorists, practice is a key concept that links broader cultural belief systems and social structures (including institutional logics) to individual and organizational action (e.g., Bourdieu 1977, 1984). *Practice* refers to forms or constellations of socially meaningful activity that are relatively coherent and established (see, e.g., MacIntyre 1981). A distinction is often made between *activity*, which refers to more mundane behaviors or everyday work, and *practice* which refers to a set of meaningful activities that are informed by wider cultural beliefs (e.g., Engeström 1999; Jarzabkowski 2005). Lounsbury and Crumley (2007: 995) elaborate that

"activity involves acts that are generally devoid of deeper social meaning or reflection such as pounding a nail, while practice, such as professional carpentry, provides order and meaning to a set of otherwise banal activities."

Practice
= Activity

While much of the research on practice is motivated by anthropological or ethnological understandings of human action (e.g., Bourdieu 1977; Geertz 1995; Ortner 1984), much empirical work in organizational studies and management does focus on individual behavior, institutional work, and practices in a way that tends to bracket wider societal dynamics (Jarzabkowski 2004; Weick, Sutcliffe, and Obstfeld 2005; Whittington 2006). An institutional logics perspective emphasizes the nestedness of levels of analysis, and the need to understand individual and organizational behavior as always embedded in and influenced by societal context (Friedland and Alford 1991). This nestedness is reflected in the assumption of a fundamental duality between logic and practice, where constellations of relatively stable material practices provide core manifestations of institutional logics (Breiger 2000; Friedland 2009a; Mohr 2000). For instance, "democracy is concretized through voting, which is both a way in which people ritually enact the symbolic system (i.e., the institutional logic of democracy) and a means by which they attempt to control those who rule them" (Friedland and Alford 1991: 249).

Ponte
CD-Log.

However, practices are not merely determined reflections of institutional logics; they are also tangible focal points for shifts or alterations in institutional logics (see e.g., Friedland and Alford 1991: 254–5). For example, in their analysis of the emergence and fall of Clinton's health care proposal in the United States, Nigam and Ocasio (2010) highlight how changes in practices went hand in hand with sensemaking and theorization, historically guided by physician and managed-competition logics, ushering in a new logic of managed care in the U.S. hospital field. This research suggests that while practices are guided by existing institutional logics, as existing practices are altered or new ones are established, they play a key role as exemplars in creating, reproducing and transforming institutional logics. Our perspective sees order as problematic (akin to Boltanski and Thévenot 2006) and views institutional logics much like German institutionalists conceptualize *Leitideen* [translated as guiding orientations]—more or less institutionalized, with various manifestations (such as in practice), and always in flux (see, e.g., Lepsius 1996; Rehberg 1997).¹

→ Let

Institutional logics also provide a key foundation for the identities of organizations, groups, and individuals (Thornton 2004; Thornton and Ocasio 1999). While institutional logics guide *how to act* in a particular situation,

¹ We thanks Renate Meyer for pointing out this connection to German institutionalism.

the concept of identity focuses more on the question of *who we are*. Given the vastness of the identity literature, we will mainly concentrate on linkages between logics and organizational identity. The literature on organizational identity is bifurcated into two main branches (see Glynn 2008 for a review). One branch focuses mainly on intraorganizational dynamics, emphasizing how the identities of individual organizations are idiosyncratic and can be understood by identifying central, distinctive, and enduring organizational attributes (Albert and Whetten 1985). Of course, organizations consist of variegated individual, group, and social identities, and thus, in-depth studies of organizational identity also appreciate the complexity of identity issues at multiple levels (e.g., Ashforth and Mael 1989; Hogg and Terry 2000; Mead 1934; Tajfel and Turner 1986). Recent studies have highlighted how actors may rework or alter their identities to make sense of or resolve the tensions they face from competing institutional logics (e.g., Battilana and Dorado 2010; Lok 2010).

The other branch is more macro and relational, emphasizing how organizations often resemble each other as a result of being part of a common *collective identity* that is bound together by shared cognitive and normative orientations (e.g., Pratt 2003; Wry, Lounsbury, and Glynn 2011). Collective identities refer to groups or categories of actors that can be strategically constructed and fluid, organized around a shared purpose and similar outputs (see Cornelissen, Haslam, and Balmer 2007). Collective identity creation and change can sometimes be usefully conceptualized as a social-movement-like process (see, e.g., K. Weber, Heinze, and DeSoucey 2008), where actors promote a specific understanding about an identity, link this understanding to specific logics and practices, and work to attract potential adherents to the identity (Polletta 1994; Polletta and Jasper 2001). Collective identities enable internal and external audiences to distinguish between kinds of organizations: for instance, restaurants that focus on classical versus nouvelle cuisine (Rao, Monin, and Durand 2003), mutual funds managed under the influence of Boston trusteeship versus the speculative ideology of New York (Lounsbury 2007), and small liberal arts colleges versus large research universities (Kraatz and Zajac 1996). Even though micro and macro approaches remain relatively disconnected, we embrace both, encouraging research that bridges between them.

While institutional logics shape collective as well as individual organizational identities, like the practices discussed above, shifts in these identities can also catalyze changes in logics. We argue that changes in practices and organizational identities often go hand in hand, and a more complete understanding of the effects and mutability of institutional logics requires attention to both. Mohr's work (e.g., Mohr 1994; Mohr and Duquenne 1997; Mohr and Neely 2009) is exemplary in this regard, showing how linkages between identities embedded in social classification systems and organizational

practices of social relief agencies provide the foundation for institutional logics guiding New York charities around the start of the 20th century, and that change in institutional logics often entails a concomitant shift in underlying identities, practices, and their linkages. Note that institutional logics and practices and identities are loosely coupled (see e.g., Binder 2007; Hallett 2010; Hallett and Ventresca 2006a; Orton and Weick 1990; Weick 1976), and that how and to what extent changes in logics relate to changes in identities and practices is a matter of empirical investigation and a topic on which we need further research and theoretical development. *Justification*

Nonetheless, by directing attention to how efforts to alter practices and organizational identities facilitate changes to and reconfigurations of institutional logics, the institutional logics perspective facilitates a systematic understanding of ongoing institutional maintenance and change. As institutional research shifted away from a focus on isomorphism and mimicry over the past two decades, too often processes of isomorphism were counterposed to processes related to institutional transformation and change where powerful institutional entrepreneurs became key protagonists (e.g., DiMaggio 1988; T. B. Lawrence and Suddaby 2006; for reviews, see Hardy and Maguire 2008 and Battilana, Leca, and Boxenbaum 2009). However, institutional constraints are often quite powerful, and it makes little sense to replace a more structuralist institutional perspective with a more narrowly conceived focus on agents or practices (Schneiberg 2007; Schneiberg and Lounsbury 2008); the institutional logics perspective seeks integration with wider scholarly developments associated with research on practice and organizational identity to develop a more balanced institutionalist approach to structure and agency. We build upon some of this work and extend the theoretical model developed in chapter 4 by sketching an approach to how a myriad of complex social interactions, including decision making, sensemaking, and collective mobilization, mediate between institutional logics and the dynamics of organizational practices and identities.

From Social Interaction to Practices and Organizational Identities

Neoinstitutional theory emerged as part of a "cultural turn" that rippled through many social science and humanities disciplines in the late 1970s and early 1980s (Friedland and Mohr 2004b). While neoinstitutional research gravitated towards the study of broader organizational systems such as industries and fields, cognate scholarly conversations on organizational culture, identity, and practice also took root and blossomed in relatively segregated research communities. As a result, very little interchange occurred across

Paper Practices
scholarly camps. For instance, while neoinstitutional articles often invoke the notions of organizational identity and practice, these concepts have been conventionally "black-boxed." Researchers mainly focused on practices as institutionalized, static elements that diffused across an organizational population. Similarly, organizational identities—mainly collective organizational identities—were treated as static constraints that distinguished kinds of organizations based on such characteristics as status, consequentially affecting the trajectory of practice diffusion (see Strang and Soule 1998 for a review). This more structural emphasis on institutionalization processes and isomorphism resulted in a number of calls to study the role of actors in creating and promulgating practices and identities (e.g., DiMaggio 1988; Greenwood and Hinings 1996; Hirsch and Lounsbury 1997; Scott and Christensen 1995).

Pg
vs. logic
The institutional logics perspective provides an embedded-agency approach that locates the identities and practices of actors within broader cultural structures that both enable and constrain behavior (see Hallett and Ventresca, 2006b for a similar conceptualization). For instance, practices such as sacraments, atonement and purification rites, and organizational identities such as Pentecostal or Palmarian Catholic Churches are best understood by their relation to religious logics. Practices and identities related to exchange of goods and services take on a fundamentally different character depending upon whether they are informed more by a market, state, or community logic (e.g., Braudel 1979; Hamilton and Biggart 1988).

Met.
For research on institutional logics, a focus on practice and organizational identity is important because logics only have effects and become tangibly manifested in concrete settings through the ongoing enactment of practices and identities (Mohr 1994; Mohr and Duquenne 1997). Given that organizational practices and identities are not static, but continuously subject to change and alteration (e.g., Feldman 2003; Orlikowski et al. 1995), zooming in on the dynamics of practice and organizational identity is important to understanding stability and change in institutional logics (see also Jarzabkowski 2004; Jarzabkowski, Matthiesen, and van de Ven 2009). As emphasized in chapter 4, available institutional logics provide the cognitive and symbolic elements that actors employ in their social interactions to reproduce and alter practices and organizational identities. Of course, while there may be a panoply of institutional logics available, some logics will be more or less cognitively accessible to actors depending upon their experience and how they are situated in an institutional field.

To reiterate, a key premise of our perspective is that institutional logics and organizational practices and identities are fundamentally interrelated. Change in organizational practices or identities may be triggered by shifts in, or instability among, institutional logics in a particular setting, and more localized changes in organizational practices and identities introduced as a result

of practical exigencies in the everyday enactment of practices and identities may reverberate to alter the configuration of institutional logics in a setting. The introduction of practice and identity variation or change can create ambiguity that garners the attention of actors and catalyzes social interactions aiming to resolve the ambiguity generated. Based on how attention is directed, as well as how identities, goals, and schemas are activated, social interactions triggered by either exogenous events or endogenous processes provide the key motor that reproduces, alters, or transforms practices and organizational identities. However, such social interactions can often be quite complex, and involve a variety of interconnected mechanisms and processes that unfold over time and across space.

As was indicated in chapter 4, such social interactions can include decision making, sensemaking, and collective mobilization. Decision making focuses on the processes by which attention is directed to problems, and how problems are matched with solutions in decision situations (Simon, 1947; March and Simon, 1958; Cyert and March 1963). Sensemaking refers to ongoing retrospective processes that rationalize organizational behavior, helping to resolve ambiguity in ways that enable activity to occur (e.g., Weick, Sutcliffe, and Obstfeld 2005; K. Weber and Glynn 2006). Collective mobilization involves a set of mechanisms by which actors generate shared commitments and energy to contest or promote particular aspects of organizational life (G. F. Davis et al. 2005; Rao, Morrill, and Zald 2000; Schneiberg and Lounsbury 2008). In the remainder of this chapter, we develop two process models to guide future institutional logics research on the dynamics of practices and identities within and across organizations. We highlight how these three mechanisms—decision making, sensemaking and collective mobilization—play a key role in linking more rudimentary social interactions to broader efforts to maintain, reconfigure, or transform organizational identities and practices.

The Dynamics of Practices and Identities in Organizations

Jackall (1988) highlighted the utility of the intraorganizational study of logics, showing how competition for power, status, and position by careerist managers in organizations facilitated the reproduction of hierarchy-reinforcing practices and status distinctions (i.e., identities) linked to the patrimonial bureaucratic logic. More recent work has begun to explore how particular organizations establish or alter their identities and core practices under conditions of contending or coexisting institutional logics (e.g., Battilana and Dorado 2010; Glynn and Lounsbury 2005; Lok 2010; Pache and Santos 2010; Tracey, Phillips, and Jarvis 2011). However, the study of how institutional logics relate to the intraorganizational dynamics of practices and

identities remains an underdeveloped yet promising area of research (Kraatz and Block 2008; Greenwood et al. 2011).

Here, we sketch out an institutional logics approach to the dynamics of practices and identities in organizations that probes the guts of organizations without neglecting wider processes and influences that shape intraorganizational behavior (Stinchcombe 1997). While the "old" institutionalism of Selznick (e.g., 1949, 1957) and his contemporaries provided rich case studies of individual organizations that featured influence, coalitions, power, informal structures, and values (Hallett and Ventresca 2006b), the "new" institutionalism refocused attention on wider institutional processes that eschewed the uniqueness of organizations and organizing, as well as the in-depth study of organizations (DiMaggio and Powell 1991). While productive, this shift led to concerns that the baby might be thrown out with the bathwater, and several scholars began to urge of reconciliation of the old and new institutionalisms in a way that appreciated the importance of both organizational context and action (Greenwood and Hinings 1996; Hirsch and Lounsbury 1997; Kraatz, Ventresca, and Deng 2010; Selznick 1996; Stinchcombe 1997).

For example, Greenwood and Hinings (1996) developed a framework to study radical organizational change that emphasized the need to account not only for wider institutional pressures, but also for the endogenous dynamics within organizations related to interests, values, power dependencies, and capacity for action. This requires a focus on concrete actors (i.e., people) and their interactions in the context of bureaucratic structures, status distinctions, informal networks, and occupational and professional commitments. To wit, Binder (2007: 568) argues that

Logics are not purely top-down: real people, in real contexts, with consequential past experiences of their own, play with them, question them, combine them with institutional logics from other domains, take what they can from them, and make them fit their needs.

Lounsbury and Kaghan (2001) contemplated what a "field-level ethnography" might entail, arguing for attention to both wider institutional processes as well as organization-level behavior. They suggested that in combining the new and old institutionalisms, scholars must appreciate the richness of the old institutionalism, which includes not only the social organization tradition of Selznick (e.g., 1949), Gouldner (e.g., 1954) and Stinchcombe (e.g., 1965), but also the old Chicago School social ecology approach of Hughes, Strauss, and their contemporaries and students (e.g., Dalton 1959; Hughes 1971; Star 1992; Strauss 1978; see Barley 2008 for a recent review of the literature celebrating the old Chicago School).

GAP Despite these calls, penetrating institutionally sensitive case studies of intraorganizational dynamics remain a rarity. A small handful stand out.

For instance, Heimer (1999) highlighted how the impact of law in neonatal intensive care varied based on how competition between the institutions of law, medicine, and family was resolved, and how legal actors were able to infiltrate and influence medical decision making. Combining social movement and institutional ideas, Kellogg's (2009) ethnographic investigation of two hospitals showed how efficacious responses to new regulations required relational spaces that enable collaboration between middle-manager reformers and subordinate employees. Zilber's (2002) ethnography of a rape crisis center highlighted how new therapeutically oriented employees acted as carriers of new institutional meanings that challenged and reformed practices, as well as the center's identity, that were closely linked to feminist ideology. Colyvas and Powell (2006) marshaled systematic archival data on the intraorganizational practices of Stanford University over a 30-year period, showing how the boundaries between public and private science were remade to enable technology transfer and commercialization to be a legitimate activity for academic scientists.

We believe that the richness of this contemporary work provides a nice foundation for a more systematic institutional logics research agenda on how broader societal influences relate to intraorganizational dynamics. Figure 6.1 offers a theoretically oriented process model, providing a focus for such an agenda. It is not intended to be exhaustive, but to illustrate some fruitful directions for future research on how institutional logics relate to the dynamics of practices and identities inside organizations. We conceptualize organizational identity and practices as the key conceptual linkages between institutional logics and intraorganizational processes. We assume that the identities and practices of individual organizations are influenced by how an organization is situated in an institutional field or amidst varied institutional fields.

We assume that each institutional field (developed further in chapter 7) consists of one or more available logics, as well as an array of appropriate collective organizational identities and practices from which individual organizations assemble their particular identities and practices. That is, each institutional field may have a unique constellation of X-axis institutional orders as well as Y-axis elements (see chapter 3). To the extent that an organization is affiliated with multiple institutional fields, its identity can be more idiosyncratic, but perhaps also more heterodox, entailing the need to manage more diverse institutional pressures (Greenwood et al. 2011). The key point of emphasis is that organizational identities and practices are not conceptualized as purely localized phenomena, but are institutionally constituted and shaped.

In a sense, extant institutional logics, collective identities, and practices in an institutional field provide a symbolic grammar, and can be drawn upon as

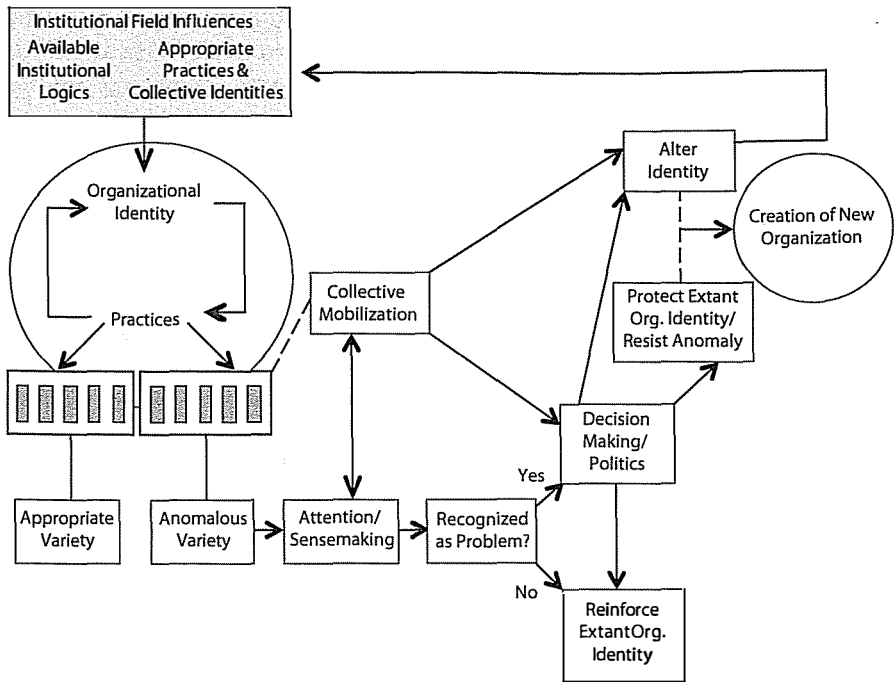


Figure 6.1. Endogenous Dynamics of Practices and Identities Within Organizations
Adapted from Lounsbury and Crumley (2007)

from a toolkit (Binder 2007; Swidler 1986) to construct optimally distinct (Brewer 1991) and legitimate (Lounsbury and Glynn 2001) organizational identities in a field. For instance, aspiring French chefs who seek to create a new restaurant may choose from different professional logic variants linked to the collective identities and practices of haute versus nouvelle cuisine (Rao, Monin, and Durand 2003). To the extent they draw upon and practice these cuisines in unique ways, or combine practices across both collective identities and logics, they may cultivate an individual organizational identity that is distinctive within their institutional field (King, Clemens, and Fry, 2011; Navis and Glynn, 2010; Pederson and Dobbin, 2006).

And while institutional logics and appropriate collective identities and practices are both enabling and constraining for individual organizational identities and practices, organizational identities also provide constraints on the range of appropriate practices within an organization since many social actors strive for consistency with regard to how practices articulate core organizational identity beliefs (Gioia and Thomas 1996). To the extent that institutional fields are informed by plural logics, the degree of variation across organizations will be greater; that is, organizational identities and practices are

more likely to be distinctive (see Pratt and Kraatz 2009 on the organizational self). Assuming a reasonably established and coherently understood entity, an organization's identity and the implementation and reproduction of core practices will be relatively stable, and will reflect available institutional logics, practices, and collective identities.

We believe that a useful way to study the intraorganizational dynamics of organizational identity and practices is to focus on how variation occurs in the array of practices employed (Ansari, Fiss, and Zajac 2010; Lounsbury 2001). Variation in practices can result from exogenous shifts in logics, collective identities, or practices in an institutional field, or can result from the internal political dynamics of an organization (Greenwood and Hinings 1996) or performativity—that is, the modification of routines and practices as they are performed (e.g., Feldman 2003; Feldman and Pentland 2003; Orlikowski 2000). Most variation in practices may be relatively unproblematic and go unnoticed, facilitating automatic processing of information (Zucker 1977). In fact, even if variation is noticed, recent work in the sociology of culture indicates that there may be a high tolerance for variety-related ambiguity or inconsistency (Cerulo 2002). But in some cases, practice variation can become anomalous and problematic, triggering active efforts to make sense of the resultant ambiguity in practices (Weick 1995). Of course, the conditions under which practice variety becomes socially recognized as problematic is an important empirical question that can connect research on institutional logics to scholarship in cognitive psychology, managerial and social cognition, and cultural sociology (e.g., see DiMaggio 1997; Hodgkinson and Healey 2008).

As ethnomethodologists and social psychologists have shown, when discrepant cues accumulate, actors use deliberate evaluations to deal with experiences that are inconsistent with their schemas (Garfinkel 1967; Fiske and Taylor 1991). As a result, actors may construct new social representations to accommodate anomalous stimuli and reduce ambiguity (Moscovici 1984). This requires explicit decision making on the part of organizational managers, who must consciously and strategically revise not only interpretive schema (Ranson, Hinings, and Greenwood 1980), but also information-processing approaches, as well as decision-making criteria. This can ultimately alter the institutional logics that an organization accesses, as well as how an organization draws upon logics to refashion its identity.

For instance, as the U.S. mutual fund industry experienced the rise of a market-oriented professional logic and aggressive growth fund practices in the 1950s and '60s that provided the foundation for a new collective identity (see Lounsbury 2007; Lounsbury and Crumley 2007), individual mutual fund firms that had previously operated under a professional trustee logic faced the anomalous development of new kinds of investment practices linked to

the market-oriented professional logic. As Lounsbury (2007) showed, the trustee logic emanated from the profession of Boston Trusteeship and became a dominant logic in the early U.S. mutual fund industry. The trustee logic focused on passive investment strategies and intergenerational transfer of wealth, and took root almost exclusively in Boston where the mutual fund industry was centered in the 1920s and 30s. The rise of the professional-market logic and more speculative forms of mutual fund investing took shape mainly in New York, and was seeded by the professionalization project of money managers that included the development of theories of risk linked to microeconomics and the development of money manager credentialing. These two logics were competing and shaped fundamentally different cognitive orientations, practices, and decision-making triggers in Boston- versus New York-based funds.

Over time, these two logics became more equally accessible to all actors and linked in a more complementary way as mutual fund firms tried to develop a portfolio of funds that included more passive funds (e.g., index, money market) alongside more aggressively managed funds. Grow's (1995) account of the mutual fund sponsor Putnam illuminates this process within a particular organization. Putnam had been established in 1937 with a very conservatively oriented fund—the George Putnam Fund—but decided to create a second fund, the Putnam Growth Fund, in 1958. While they initially tried to manage this new fund as they had managed the older fund, by employing long-term buy and hold investment approaches linked to a trustee logic, young securities analysts in the firm who were trained in the newly developed art of risk management sought to introduce more speculative, performance-oriented investment practices that challenged the management authority of the senior officers. Ted Lyman, one of Putnam's securities analysts, noted:

We had two Funds and no manager of any one of them. Instead the Funds were run by a committee. [We—the research group] felt the Funds should no longer be run this way. Results had been disastrous. There was no real portfolio planning. There was no assessment of overall volatility as no one was looking at portfolio risk characteristics. (Grow 1995: 262)

The social interaction mechanisms of sensemaking, decision making, and collective action all became visible as the rise of a new logic in the mutual fund industry played out inside of Putnam. Firstly, collective action occurred as young securities analysts mobilized to contest and alter firm investment management practices; thus, anomalous variation in practices can also be proximately catalyzed by intrafirm collective mobilization, in this case enabled and facilitated by broader shifts in industry logics. These rogue efforts of securities analysts catalyzed sensemaking as top managers at Putnam tried to understand the nature of broader industry developments related to growth

funds, how other firms might be incorporating new risk-management techniques and portfolio-management practices, and how to react to the securities analysts' internal mobilization.

This sensemaking played out for several years as top management initially resisted the efforts of the securities analysts, and then ultimately relented to allow novel portfolio-management practices which included the devolution of power to individual money managers promoted from the ranks of securities analysts (as opposed to a committee of top managers). The intraorganizational negotiations and politics are key grist for Carnegie School understandings of decision making (Cyert and March 1963), but the resulting shifts also fundamentally transformed decision-making processes within the firm—not only with regard to the management of fund portfolios, but also the hiring and firing of money managers and securities analysts. To wit, the identity of Putnam was also altered as the firm developed a kind of hybrid identity where practices for older-established funds remained the same and were informed by the trustee logic, while newer, especially growth-oriented, funds were managed by practices associated with the market logic. Reinforcing the arguments of Pache and Santos (2010), hybrid organizations need not hybridize all practices, but can also have practices linked to different logics that coexist relatively independently.

Of course, such processes could have played out differently. If securities analysts did not mobilize to introduce novel practices, the variety catalyzed by the creation of a new growth fund would most likely not have been recognized as problematic. Also, if top management decided that the incorporation of novel money management practices was a bad idea, and they successfully resisted the efforts of security analysts, the extant organizational identity would have been reproduced, and it is possible that disgruntled securities analysts may have left the firm to start a new mutual fund organization focusing on the use of novel money-management practices. In fact, this was the main motor behind the creation of a number of new mutual fund companies offering growth funds in the 1960s (see Lounsbury and Crumley 2007). Marquis and Lounsbury (2007) also argued that this basic process of key personnel leaving a firm to start new competing organizations undergirded the creation of new community banks when small local banks were acquired by major commercial banks with a national orientation.

It is important to emphasize that the intraorganizational dynamics illustrated by the Putnam case played out across all mutual fund firms, and thus it is these distributed but somewhat coordinated shifts across all firms that provided a key engine for how the relationship between the trustee and market logics played out. That is, one cannot understand what happened within a particular firm without relating those dynamics to wider processes at the level of the institutional field. In addition, it is important to study

Relationships
Micros

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V

Comp

feedback effects from the changes occurring across disparate organizations to the institutional field as a whole. In the case of mutual funds, variegated identities took shape between the poles of trustee-like and market-like, and a complete analysis of the intraorganizational dynamics of identity and practice would situate the collective action, sensemaking, and decision making of one organization relative to others in the institutional field. This raises the methodological challenge mentioned earlier of how to do a "field-level ethnography" (Lounsbury and Kaghan 2001).

While the Putnam case highlights how a particular organization responded to a shift in logics at the industry level, it is also possible that logic shifts or the introduction of new logics could be spurred by endogenous dynamics within a single organization or across multiple ones. This may result from the creation of new, or the alteration of existing, occupations in organizations (Abbott 1988), shifts in the dynamics of bureaucracy (Barker 1993; Adler and Borys 1996; Ocasio 1994, 1997), or other changes in the internal processes of organizing (Greenwood and Hinings 1996). It is also important to develop more research on how such shifts in logics, organizational identities, and practices are ongoing, especially in pluralistic environments (Kraatz and Block 2008). For instance, Jarzabkowski, Matthiesen, and van de Ven (2009) show how institutional pluralism plays out in a range of different intraorganizational practices through which market and regulatory logics are constructed in relation to each other during a period of change in the regulatory environment.

GAP Greenwood et al. (2010) coined the notion of "institutional complexity" to refer to organizational environments where actors are influenced by varied signals and pressures stemming from multiple institutional logics. They argued that scholarly attention should also be directed to how organizations react to such complexity. Through an empirical analysis of organizational downsizing in Spain in the 1990s, they examine how multiple kinds of logics—regional state, family, market, religious—differentially shape organizational downsizing decisions in different geographic communities and with different characteristics. Greenwood et al (2011) build upon this work to develop an analytical framework emphasizing the need to understand how the structural dimensions of fields (fragmentation, formal structuring/rationalization, and centralization) and organizational attributes (field position, structure, ownership/governance, and identity) affect how individual organizations respond to institutional complexity. While their framework is complementary to what we have laid out here, our emphasis has been to direct researchers towards the study of social interactional processes and mechanisms that link institutional logics to the alteration or maintenance of organizational practices and identities.

By showing how the institutional logics perspective may be employed to study the dynamics of organizational identities and practices, our intent is to

highlight and explicitly encourage dialogue and bridging between otherwise disparate scholarly communities. In addition to the need to cross-fertilize research on institutional logics and identity, we also seek more penetrating approaches to the study of practice. For instance, while most institutional studies of diffusion analyzed practices as isolated objects to be adopted, a more practice-centered approach might conceptualize practices within an organization as interdependent (Pache and Santos 2011). That is, adoption or enactment of a new practice, or modification of an existing practice, often has ramifications for other practices in an organization; we have little understanding of how changes in institutional logics cascade across different kinds of practices in an organization. GAP

To wit, we would like to see developments that bridge the study of institutional logics to the wider community of practice-based scholarship (e.g., Dougherty 1992; Feldman 2003; Jarzabkowski 2004, 2005; Orlikowski 2000; Schatzki, Knorr-Cetina, and von Savigny 2001) as well as to such perspectives as actor network theory (ANT; e.g., Callon 1986; Latour 2005; Law and Hassard 1999) and the social study of finance (e.g., Knorr-Cetina and Preda 2004; MacKenzie 2006). Such bridging provides interesting theoretical opportunities to address the blind spots of each perspective. While the institutional logics perspective is especially strong in highlighting the importance of wider societal belief systems, more practice-based perspectives, including ANT, tend to eschew attention to such broader symbolic structures in favor of more localized approaches to meaning making. Of course, the most provocative studies do both, and we believe the institutional logics perspective lends itself particularly well to this enterprise. In our minds, some of the most exciting research directions will involve combining perspectives in ways that might finally break down unhelpful antimonies between categories such as "macro" and "micro" by developing interesting new approaches that foreground the interrelations or interpenetrations of the local and global, as well as the symbolic and material (Nicolini 2009). GAP

The Dynamics of Practices and Identities Across Organizations

Decision making, sensemaking, and collective mobilization are also key mechanisms of social interaction that link institutional logics to the dynamics of practices and identities across organizations. In most cases, an adequate explanation of changes in logics and practices will involve a combination of these mechanisms. While institutional logics and related practices and organizational identities might be fairly stable in relatively mature institutional fields, changes can still occur. Such changes can occur as a result of exogenous shocks or evolutionary dynamics as we develop further in chapter 7.

For instance, Scott et al. (2000) tracked a shifting ecology of professional identities and organizational practices in the Bay area health care field as the longstanding dominance of a professional logic waned with the rise of new regulatory interventions in the 1960s, enabling the rise of a more pluralistic set of logics involving the state, the corporation, and the market. Reay and Hinings' (2005) case on the Alberta health care services field highlighted how the rise of a competing logic, "business-like health care," joined the prevailing logic of "medical professionalism," leading to the creation of countervailing tensions as well as new identities and practices that contested the sole authority of physicians. See also Reay and Hinings (2009), as well as Hwang and Powell (2009) on how professional managers promulgate rationalization. Berman (2011) catalogued how a market logic was slowly ushered into the field of U.S. research universities over several decades as key shifts in public policy enabled technology transfer, faculty entrepreneurship, the creation of spin-off firms, and the establishment of research partnerships with industry to become prevalent. She persuasively argues that these developments entailed a cultural shift in how university personnel, policymakers, and other university stakeholders conceived of science—from "science-as-resource" to "science-as-engine."

The rise of new logics, or the existence of multiple logics, can create ambiguity and the concomitant need for sensemaking about the implications of logic changes. Subsequently, action is taken to somehow cope with or resolve tensions or ambiguities linked to plural institutional logics (e.g., Dunn and Jones 2010; Fiss and Zajac 2004; Glynn and Lounsbury 2005; Lok 2010; Rojas 2010; Townley 2002; Tracey, Phillips, and Jarvis 2011). To the extent that a new logic is ascendant or first being introduced in a field, it may entail collective mobilization by the challengers promulgating a new logic, as well as a political battle between those challengers and incumbents that seek to defend the status quo (Fligstein 1996; Schneiberg and Lounsbury 2008). Ultimately, actors in a field will have to make decisions about whether to stick with the old logic, embrace the new one, or figure out some way to hybridize (Battilana and Dorado 2010; R. E. Meyer and Hammerschmid 2006; Rao, Monin, and Durand 2003). Thus, research at the level of the institutional field is importantly complemented by research on intraorganizational dynamics.

Our main contention is that much less attention has been paid to endogenously driven changes in logics, and so we focus on mapping out how to study such processes. Similar to the intraorganizational process model discussed previously, Figure 6.2 provides a process model that details how variations in practice and collective identities can trigger efforts to alter institutional logics at the level of an institutional field. To the extent that institutional logics and core practices and collective identities in an institutional field are

stable, ambiguity will be low and there will be little opportunity to significantly change the structure of an institutional field. However, even absent conscious mobilization by challengers, ambiguity can emerge as a result of variations in practice and identities catalyzed by the emergence of new collective identities (Wry, Lounsbury, and Glynn 2011) or differences across organizations in the implementation of practices (Ansari, Fiss, and Zajac 2010; Lounsbury 2001) or in how they are performed (Orlikowski 2000; Feldman 2003). Some of this variation can be introduced as actors draw upon new institutional logics, but this need not be the case.

As in the case of single organizations, actors in institutional fields must also make sense of the array of collective identities and practices and assess whether there is anomalous variety that needs to be addressed. If it is judged to be problematic, then broader field-level politics and decision-making opportunities often ensue, typically via industry command posts such as trade associations and regulatory agencies. For instance, as growth stock funds proliferated in the U.S. mutual fund industry in the 1950s and '60s, they became problematic for long-time incumbent firms that offered conservatively managed stock funds guided by the trustee logic; field-wide political struggles ensued, ultimately resulting in a redefinition of product categories and the nature of the industry in order to accommodate older, conservative funds as well as more aggressive new upstart funds guided by a professional-

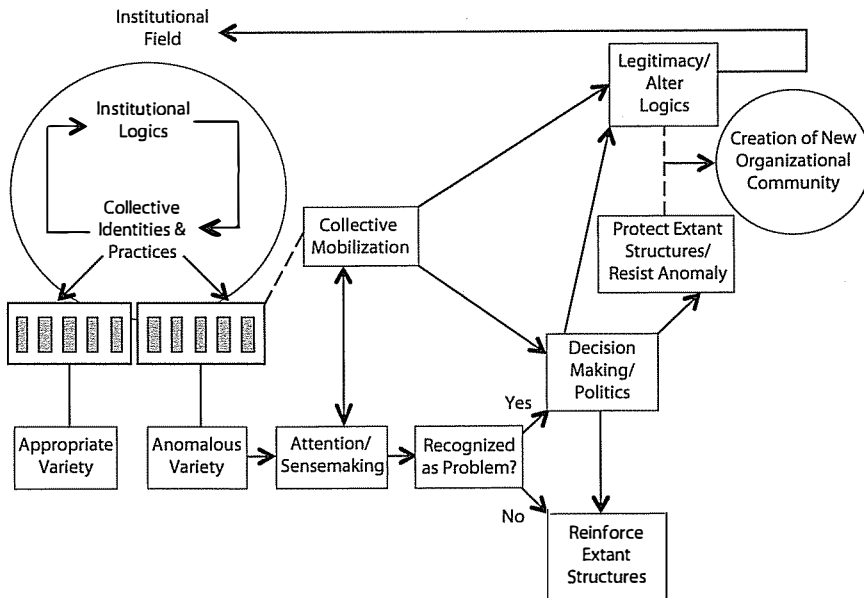


Figure 6.2. Endogenous Dynamics of Practices and Identities Across Organizations
Adapted from Lounsbury and Crumley (2007)

market logic (see Lounsbury and Rao 2004). As this example illustrates, anomalous practices recognized as a problem provide an opportunity for groups to collectively mobilize to challenge incumbents; in fact, collective mobilization can occur logically prior to the identification of problematic variation because groups can mobilize to generate practice variation in the first place.

CD
+
Leg.
An interesting study by Durand and Szostak-Tapon (2010) on French industrial design agencies shows that the most prestigious organizations in a field can act as pioneers in creating or maintaining heterodox logics, identities, and practices. They argue that heterodoxy is more likely to exist in unsettled fields and that prestigious organizations adopt institutional heterodoxy to maintain their distinctiveness and allure. While much of the literature on institutional logics emphasizes their constraining nature, their study points to the need to understand better the conditions under which different kinds of organizations might be able to move between logics or engage in bricolage that draws upon logics as a kind of cultural toolkit (Binder 2007; Swidler 1986). By attending to the conditions under which organizations will experience and engage differently with logics, we will gain further insights into the sources of practice variation and the dynamics of logics and practices. DiMaggio (1991) also focalized negotiations at the field level in his study of how the creation of competing art museum models—Gilman and Data—provided the basis of a power struggle to redefine the field of art museums. These broader cultural models were connected to community (Gilman model) versus professional (Data model) logics, and pitted upper-class elites and their social circle of collectors and curators against a new class of museum professionals and their professionalization project tied to the expansion of higher education in the fine arts.

GAP
To wit, shifts in logics often entail the rise of new or changes to extant collective identities and practices that rely on the mobilization of symbolic and material resources to gain legitimacy (Wry, Lounsbury, and Glynn 2011). The opportunity for future research is to analyze the various dimensions and pathways by which institutional logics, collective identities, and practices emerge and shift over time. To do so, we must conceptualize and study collective identities and practices as constructs that are fundamentally inter-related to, yet somewhat independent of institutional logics—that is, loosely coupled (Hallett and Ventresca; Weick 1976). This opens up questions about how different groups of actors, while seemingly similar from a distance, may have more subtle differences upon closer inspection as a result of how different kinds of groups manage and adhere to different logics or mixes of logics via the practices they establish. Such differences may arise from qualitative cultural distinctions or as a result of more hierarchical status differences. In addition, a focus on collective identity and practice dynamics in institutional

fields opens up a new frontier of research on the sources of new logics as well as how logic pluralism may wax and wane.

As suggested, negotiations over appropriate practices can often involve political battles among competing collective identities with multiple possible outcomes: 1. The status quo can be reinforced; 2. Institutional logics can be reconfigured or altered to incorporate anomalies in practices and collective identities; or 3. Groups mobilizing around anomalous practices can splinter off to create new institutional fields based on novel collective identities. Such outcomes are often informed by complex multiparty decision-making processes, as well as organization-level decision making as to which coalitions to align with and support.

The extent to which the status quo is reinforced or a new institutional field is spawned will likely have a great deal to do with the degree to which incumbents can mobilize around institutional logics to resist the efforts of challengers. For instance, Townley (1997) highlighted how the availability of a professional logic allowed academics to resist, with varied success, the imposition of performance-appraisal practices linked to a bureaucratic logic. By focusing on the role of logics in inhibiting isomorphism, Townley advances an approach to agency that foregrounds the role of broader cultural structures in the form of institutional logics as both a resource and a condition for resistance. Marquis and Lounsbury (2007) extend this approach to resistance by showing how community logics enable banking professionals to resist the imposition of corporate logics by exiting banks targeted for acquisition by large, national conglomerates to create smaller, community-oriented banks. While institutional theory has been criticized repeatedly for its inability to explicitly address power (e.g., DiMaggio 1991; Hirsch and Lounsbury 1997), the institutional logics perspective provides an opportunity to address this lacunae by focusing on how actors are able to resist institutional control and domination (T. B. Lawrence 2008). As the institutional logics perspective emphasizes, this is not merely a matter of strategic choice (Oliver 1991), but an understanding of how multiple logics constrain and enable actors' ability to resist and shape ongoing political struggle in fields (Rojas 2010). Much more research is needed on the conditions under which actors are able to resist the imposition of new logics and practices, as well as how counter-mobilization occurs. power

We also need to think harder about how we might better approach the study of institutional logics and the dynamics of identity and practice. Certainly, the use of qualitative methods is important given that at the core of understanding institutional logics is gaining insight about meaning making. But we must also think about employing quantitative methods more creatively. The past two decades have witnessed the emergence of a "new structuralism" that has spawned new approaches to the measurement Method

of meaning, drawing upon such methods as multidimensional scaling, cluster analysis, network analysis, and correspondence analysis (Lounsbury and Ventresca 2003; Mohr 1998). Inspired by the work of social theorists such as Bourdieu, new structural analysis has been employed in studies of organizations, stratification, culture, and politics, enabling a variety of new insights (e.g., Breiger 1995; Mohr 2000).

Method
These new approaches have already begun to yield fruit in our understanding of institutional logics. For example, in their astute analysis of how shareholder value was framed, R. E. Meyer and Höllerer (2010) employed a variety of techniques, including content analysis, multivariate statistics, and correspondence analysis, to show how different framings aligned with different actors and positions in a field. Focusing on how organizational forms are distributed across an institutional logics space, Mohr and Guerra-Pearson (2010) show how different niches and logics were related to scientific charities and settlement houses that embodied different collective identities and practices related to delivering social relief to the poor. In related work, Mohr and Neely (2009) use network methods—specifically structural-equivalence techniques (see Lorraine and White 1971; Mohr 1994; White, Boorman, and Breiger 1976)—to create models of discourse structures that showed how congeries of practices could link to power relations and institutional logics to partition the organizational field of asylums, prisons, orphanages, and other carceral organizations in New York City before the turn of the 20th century. Consistent with our approach to the study of institutional logics, Mohr and White (2008: 485) further elaborate on the general use of network techniques to map the multidimensional and nested nature of practices, identities, and institutional logics; for them, institutions are “linkage mechanisms that bridge across three kinds of social divides—they link micro systems of social interaction to meso (and macro) levels of organization, they connect the symbolic with the material, and the agentic with the structural.”

Ultimately, we believe that the most insightful research will employ multiple methods. Even if one's research interest is on individuals or interactions within particular organizations, an institutional logics perspective, by necessity, directs the gaze of the researcher to broader societal influences as well as cognate organizations in an institutional field. We believe that adequate studies of intraorganizational dynamics will also appreciate the wider influences of various institutional logics, pressures, and cues stemming from other organizations in an institutional field, and an assortment of other actors such as regulators, trade associations, media, critics, and so on. Thus, an admixture of qualitative and quantitative methods is appropriate and useful to systematically understand the nestedness of levels and the interrelations of institutional logics with organizational identities and practices.

Conclusion

In this chapter, we built upon our model of microfoundations from chapter 4 by developing models to guide research on how different kinds of social interaction (e.g., decision making, sensemaking, collective mobilization) mediate between institutional logics and the dynamics of identities and practices within and across organizations. In doing so, our aim was to build bridges between the institutional logic perspective and the literatures on identity (e.g., Albert and Whetten 1985; Ashforth and Mael 1989; see Glynn 2008 for a review) and practice (Feldman 2003; Jarzabkowski 2004, 2005; Orlikowski 2000; Schatzki, Knorr-Cetina, and von Savigny 2001). While there is a fair amount of research that explores the effects of institutional logics across institutional fields, there has been little effort to date to explore the role of institutional logics within organizations (see also Greenwood et al. 2011; Pache and Santos 2011). Our approach highlights the need to conceptualize and study endogenous drivers of change that lead extant organizational practices or identities to be problematized. We believe that to adequately explain how organizational practices and identities change, researchers must identify multiple mechanisms and their interrelationships because we know very little about how different forms of social interaction combine over space and time to produce outcomes of interest.

In addition, while we focused on three categories of mechanisms, these are not necessarily exhaustive and future research should identify other kinds. Furthermore, decision making, sensemaking, and collective mobilization are really best understood as general categories of mechanisms. Each category consists of a variety of mechanisms. For instance, while sensemaking focuses on understanding and resolving ambiguity, how that is actually done might vary dramatically across organizational settings and will rely on distinct uses of language, rhetoric, and other symbolic resources. Thus, as research on institutional logics progresses, there is an opportunity to intensify our microscopes to identify finer-grained mechanisms and processes that lead to changes in organizational and collective identities, practices within and across organizations, and institutional logics themselves. Thus, the models proffered in this chapter are preliminary and offered in the spirit of seeding work in this direction.

7

The Emergence and Evolution of Field-Level Logics

Introduction

This chapter examines the cultural emergence and evolution of institutional logics at the level of institutional fields. In their initial formulation, Friedland and Alford (1991) posited institutional logics as characteristics of societal-level orders, each with its distinct institutional logic. These are further developed in chapter 3. Thornton and Ocasio (1999) developed the concept of institutional logic at the level of the industry. Thornton (2004) linked institutional logics at the level of the industry or field to the logics of the interinstitutional system. More generally, Thornton and Ocasio (2008) posited that institutional logics reside at multiple levels, albeit linked overall to the logics of the interinstitutional system. The mechanisms for how cross-level effects operate were not clearly articulated, however. Here we posit that field-level logics are both embedded in societal-level logics and subject to field-level processes that generate distinct forms of instantiation, variation, and combination of societal logics. Field-level processes are also shaped by micro and meso processes, as analyzed in chapter 4, and the development of practices, elaborated in chapter 6.

In institutional fields, participants take one another into account as they carry out interrelated categories of taken-for-granted practices within and across organizations (cf. McAdam and Scott 2005). One or, more typically, multiple institutional logics develop at the level of institutional fields. Field-level logics are shaped by, but distinct from, the logics of the interinstitutional system. For example, Thornton and Ocasio's (1999) and Thornton's (2004) analysis of institutional logics in the higher-education industry discussed historical shifts—from an editorial logic to a market logic. The editorial logic

is a variant of the professional logic, as discussed in chapter 4.¹ The market logic in higher-education publishing is itself an instantiation of societal-level logics, as specific historical, cultural, and material contingencies in the field lead to field-specific variations in practices.

The creation of new practices and variations in existing ones are central to the emergence of and change in institutional logics, as discussed in the previous chapter. But institutional logics while embodied in material practices are also symbolic constructions that guide the production and reproduction of institutional practices. Unlike in J. W. Meyer and Rowan's (1977) account where practices are decoupled from institutions, institutional logics conjoin practices and symbols through language (cf. Searle 1995; Friedland 2009b). While the link between language or discourse and institutions has received theoretical and empirical research attention (Phillips, Lawrence, and Hardy 2004; Maguire and Hardy 2009), the mechanisms by which language mutually constitutes practices and symbolic constructions have not been clearly articulated. Our analysis of field-level institutional logics provides a theory of how practices and symbolic constructions are linked through the emergence of field-level vocabularies of practice (Loewenstein and Ocasio 2003). Gap

In the first section of the chapter, we discuss the interplay of symbolic representations and material practices in the emergence of field-level logics. We highlight three forms of symbolic representations: theories, frames, and narratives. We elaborate our theoretical development by examining the interrelationship between these symbolic representations, practices, resource environments, and institutional logics. We further elaborate our theory by examining how logics are culturally constituted through the emergence of vocabularies of practice, as theories, frames, narratives, and practices coalesce into a common language for sensemaking, decision making, and mobilization around categories of practice.

The second section explores the dynamics and evolution of institutional logics. We explore the roles of changing practices, changing symbolic representations, and the contradictions between them in how institutional logics develop and change. We develop a typology of changes in institutional logics and how these are affected by external selection processes and internal processes of inertia and adaption.

In conclusion, we bring together our theoretical development and discussion both as a way of reexamining past theory and research and providing guidance for future developments. A key point is the need, first, to be clear

¹ Publishing is a quasi-profession, which varies from an ideal type of professional logic as formal credentialing and regulatory barriers to entry are limited (Coser, Kadushin, and Powell 1982). Consequently the editorial logic in publishing can be characterized as a variant of the societal-level professional logic. A variant is a more extreme form of variation from the ideal type than an instantiation of a logic.

about levels of analysis in the research on institutional logics between societal- and field-level logics, and second, but no less important, to distinguish between symbolic representations, theories, frames, and narratives on one hand and institutional logics on the other.²

A Model of Cultural Emergence

A distinctive feature of neoinstitutional theory, as discussed in chapters 1 and 2, is the emphasis on culture as a critical dimension of institutions (J. W. Meyer and Rowan 1977; Zucker 1977; DiMaggio and Powell 1991). The institutional logics perspective builds on this cultural turn in institutional analysis by exploring culture in society, not as hegemonic, but as embodied in different spheres of institutional life. For Friedland and Alford (1991), as for us, institutional logics are *both* symbolic and material. This reflects a dual view of culture in institutions: culture both as systems of meaning and as systems of practices (Sewell 1999). In this section, we expand on this dual view of institutional logics by embracing a linguistic turn in institutional and cultural analysis: Language, embodied in theories, frames, and narratives, and embedded in vocabularies of practice, provides a critical linchpin by which institutional logics are constructed and meanings and practices are brought together.

Figure 7.1 illustrates our model of the cultural emergence of field-level institutional logics. Key components of the model include societal and external logics; resource environments; theories, frames, and narratives; practices; vocabularies of practice; and field-level logics. These components are linked together by a variety of processes, shown by the arrows in the model. The complexity of the model and the multiplicity of concepts involved reflects (1) the complexity of the interplay between symbolic and material components of institutional logics and (2) the cross-level structures and processes that link individuals, groups, organizations, institutional fields, and the interinstitutional system in this process of cultural construction.

Societal and External Logics

Societal logics of the interinstitutional system, analyzed in chapter 3, and *external logics*, defined as the institutional logics developed in other institutional fields, are available building blocks for the formation of field-level institutional logics. Examples of societal logics shaping institutional fields

² Note that symbolic representations, practices, and vocabularies of practice are all categorical elements of institutional logics, similar to those described in the Y-axis in chapter 3.

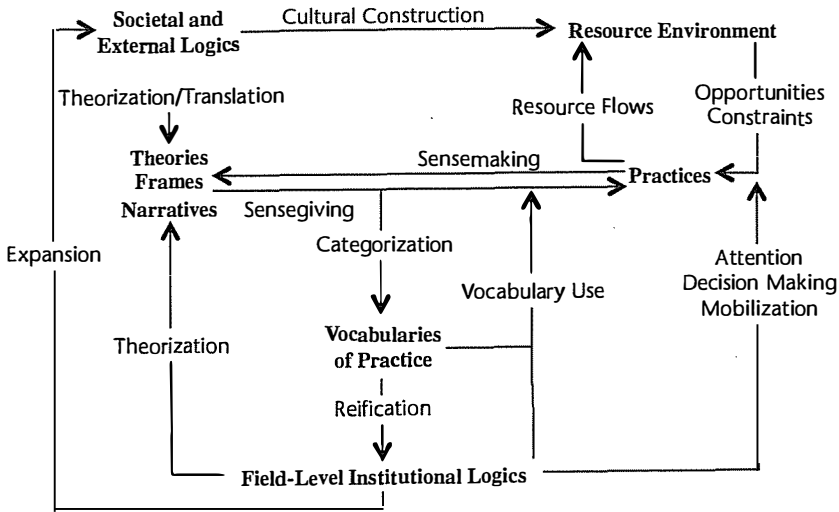


Figure 7.1. Cultural Emergence of Field-Level Institutional Logics

include Haveman and Rao's (1997) study of the rise of progressivism shaping the early thrift industry and Gumpert's (2000) analysis of how the rise of the market logic in the United States shaped the field of public colleges and universities. An example of an external logic is the shareholder-value logic developed in the corporate governance field in the United States (G. F. Davis and Thompson 1994; Zajac and Westphal 2004) as an input to corporate governance fields in such countries as Austria (R. E. Meyer and Höllerer 2010), Germany (Fiss and Zajac 2004), and the United Kingdom (Lok 2010).³

Lounsbury's (2007) analysis of competing logics in the mutual fund industry further exemplifies the effects of societal logics in the development of field-level logics. In the early part of the 20th century, mutual fund management was predominantly an ad hoc, craft-based vocation, following the logic of Boston trusteeship; the main goal of mutual fund firms at the time was wealth preservation, and efficiency was also central. An alternative performance-based logic emerged in New York in the 1950s, focusing on maximizing growth and market performance. While this shift parallels moves from professional to market logics in other institutional fields, a central point of Lounsbury's

³ Note that external logics are instantiations, variants, or hybrids of societal-level logics. For example the shareholder-value logic is a variant of the market logic that privileges financial markets and the market for corporate control in firm decision making. We distinguish external from societal logics here to indicate that not only do societal logics have direct effects on field-level logics, but logics in one institutional field, in this example shareholder logics in one country, have direct influence on institutional fields in other countries.

analysis is that the one logic did not fully replace the other; rather, the trustee logic continues to compete with the performance-based market logic.

Note that societal-level logics exert effects both directly through their effect on the field and indirectly through their effects on the logics of other fields. For example, the emergence and dominance of a market logic in higher education publishing, while occurring later than in mutual funds, was shaped both by the societal-level market logic of the United States, increasingly prevalent in the U.S. economy and society, and the market logic in the field of corporate governance, with its market for corporate control, which permeated the industry (Thornton and Ocasio 1999; Thornton 2004). Societal logics also exert effects cross-nationally (Djelic and Sahlin-Andersson 2006; Thornton and Ocasio 2008).

Symbolic Representations: Theories, Frames, and Narratives

Societal-level institutional logics are not, however, transposed directly to institutional fields in whole cloth. At the cognitive level, societal logics provide available and accessible categories and schemas for sensemaking and action (see chapter 4). At the social level, these categories and schemas are translated and adopted in the institutional field at various levels of abstraction: theories, frames, and narratives. We discuss below how the three forms of symbolic construction serve different functions in the emergence of field-level logics. As discussed below, *theories* increase coherence in institutional logics and rapid adoption of institutional practices. *Frames* facilitate identification and mobilization, and therefore agency and institutional change. *Narratives*, by linking theories and frames with specific practices, generate specific linkages between the symbolic and material elements of institutional logics. By distinguishing among various symbolic representations, our theoretical elaboration differs from earlier alternatives that invoke diverse conceptualizations under the general rubric of theories or theorization (cf. Greenwood, Suddaby, and Hinings 2002; Rao, Monin, and Durand 2003). As we argue below, theories, frames, and narratives vary in both content and level of abstraction, and have distinct functions and consequences for the emergence and evolution of field-level logics.

Theories are the most abstract and systematic forms of symbolic representation and contain their own internal coherence. Theories provide general guiding principles and explanations for why and how institutional structures and practices should operate. For example, Gumport (2000) illustrates how neoclassical economics theory shaped institutional logics in the field of public higher education. She examines how during the last quarter of the 20th Century, public higher education organizations, previously understood as social institutions, became increasingly understood as an industry. The

market logic was translated by analogy into the field of public colleges and universities, where what Gumpert argues were previously understood as "institutions" are now viewed as quasi-corporate organizations providing goods and services in the academic marketplace. More explicitly, microeconomic theory provides a rationale for changes in the institutional field:

Teaching and research are variously supplied and priced to correspond to laws of supply and demand. Students, parents, state legislatures, employers, and research funders are seen as customers. Particular customers have different tastes and preferences. . . . Guiding principles for the organization's managers are to know its liabilities and assets, to anticipate costs and benefits, to enhance efficiency and flexibility, and—as realized in the contemporary quality movement—to increase customer satisfaction. (Gumpert 2000: 71–2)

Theories should, however, be distinguished from institutional logics (Nigam and Ocasio 2010). Theories need not reflect actual organizing practices, and may serve instead as political instruments mobilizing support for institutional change. The distinction between theories and practices is critical and some otherwise compelling research conflates the two (cf. Lok 2010). Theories vary in the degree of coupling with organizing practices. For example, the theories of *nouvelle cuisine* were tightly coupled with practices as the chefs themselves were involved in articulating the explicit principles or theories (Rao, Monin, and Durand 2003). In the field of corporate governance in the United Kingdom, the enlightened shareholder theory, developed by formal government agencies, was only loosely coupled with practice, as practitioners resisted many of its components and the theory was only partially adopted. Theories may also be proposed but never adopted into practice. In their study of institutional logics change in the hospital industry, Nigam and Ocasio (2010) analyzed various explicit theories that competed for adoption, but were never implemented in practice. These included the community of care model, supported by the American Hospital Association, and the managed competition theory, developed by Stanford economist Alain Enthoven, which was incorporated in part in Clinton's failed health care reform efforts. None of these explicit theories were adopted in practice and cannot therefore be considered field-level institutional logics.⁴

⁴ Note that our argument differs from J. W. Meyer and Rowan's (1977) theory of decoupling. In J. W. Meyer and Rowan's theory, formal structures are adopted and they are decoupled from practices. In Westphal and Zajac's (1994) empirical analysis of decoupling, formal adoption by the board of long-term incentive plans is not always followed by their actual implementation in executive compensation. Here, we are referring to theories that are adopted neither as formal structures nor operating practices. From an institutional logics perspective, the decoupling theorized by J. W. Meyer and Rowan and empirically analyzed by Westphal and Zajac is not about the decoupling between theories and logics or theories and practices but about the coexistence of distinct logics within the same organization. In the example offered by Westphal and Zajac's (1994) study of decoupling, this would constitute the use of a shareholder value logic

As theories diffuse widely, however, they may become self-fulfilling, increasing the adoption of practices consistent with the theory (Ferraro, Pfeffer, and Sutton 2005). Economic theories, including neoclassical economics, transaction costs, and game theory, while developed as descriptive theories of economic behavior, become prescriptive theories taught in business schools, thereby establishing norms of what is appropriate or not, shaping institutional design, and creating a specialized language, a vocabulary of practice that guides established corporate strategy and practice. Overall, the articulation, development, and diffusion of economic theories greatly facilitate the adoption of market logics throughout a variety of institutional fields: public colleges and universities (Gumport 2000), mutual funds (Lounsbury 2007), financial markets (Zajac and Westphal 2004; G. F. Davis 2009), and business schools (Khurana 2007), among others.

Frames, another form of symbolic construction, are more concrete and less systematic than explicit theories. Particular frames may be imported and translated from institutional logics without wholesale adoption of all the components or dimensions of the logic. According to Goffman (1974), frames are "schema[s] of interpretation" that allow individuals "to locate, perceive, identify, and label" events within their life space and their world at large. Frames are closely related to schemas, but while schemas are cognitive and may be either tacitly or explicitly known, frames are explicitly articulated through symbolic interactions and negotiations (Benford and Snow 2000).⁵

Social-movement theorists invoke frames as cultural resources for mobilizing change involving diagnostics (problem identification and attribution), prognostics, and motivation (Snow and Benford 1988). From a social-movement perspective, frames are inherently political and rhetorical (Lounsbury, Ventresca, and Hirsch 2003), and they generate cultural resonance, critical for group identification and mobilization.

C. Jones and Livne-Tarandach (2008) examined the use of alternative rhetorical frames by architects addressing different audiences. Using content analysis of vocabularies employed by architects, they found three clusters of keywords, which capture the institutional logics of the market, the profession, and the state. In their rhetorical deployment of frames associated with the three logics, architecture firms did not always rely on a single institutional logic, combining frames from distinct logics, which allowed architects to appeal to their diverse audiences.

(market logic) for corporate governance (i.e., the board) and a managerial (corporate) logic for executive compensation, a human-resource function.

⁵ Note, psychological use of the frame concept (e.g., Tversky and Kahneman 1986) differs from sociological use. In this book, we adopt the sociological concept of frame, while retaining the psychological conception of schema.

Suddaby and Greenwood's (2005) analysis of rhetorical strategies implicitly invokes our concept of frames to explain the role of competing parties in (de) legitimating institutional change. As in C. Jones and Livne-Tarandach's (2008) analysis, two groups of actors, supporting competing variants of the logic of professionalism, employed different frames and vocabularies in their jurisdictional struggle over multidisciplinary partnerships.

R. E. Meyer and Höllerer (2010) explore how competing institutional logics prevalent in Anglo-Saxon and Austrian society led to a variety of frames to characterize the adoption of shareholder value. These included "let the market work," associated with a market logic, "calculating the corporation's value," with a corporate logic, and "good old Austrian entrepreneurship," reflecting the strong influence of Christian religious logics on Austrian businesses. Multiple frames reflecting distinct and hybrid institutional logics competed for the reigning interpretation of the meaning of shareholder value in Austria.

Narratives give meaning to specific actors, events, and practices, whereas frames are general symbolic constructions, applicable across a wide variety of practices and social actors. A narrative is a story or account that organizes events and human actions into a whole, thereby attributing significance to individual actions and events according to their effect on the story or account (Polkinghorne 1988). Narratives, while shaped by theories and invoking frames, are a more concrete form of symbolic construction; they reflect specific organizing practices, their development, and their outcomes. Actors draw on narratives "to give meaning to specific physical or social phenomena" (Hajer 1995: 56), as opposed to the more general applicability of theories and frames. Narratives help to make sense of events, create legitimacy, and construct identities (Lounsbury and Glynn 2001; T. B. Lawrence and Suddaby 2006; Zilber 2007).

As indicated in chapter 4, narratives emerge in the process of social interaction as a result of processes of cognition, communication, and negotiation. Narratives become a process by which individual cognition is translated into group and collective sensemaking and action (Abolafia 2010). The schemas activated through an individual's focus of attention, discussed in chapter 4, are translated to group and higher levels of analysis as collective frames, which are then combined into social narratives or stories. Narratives, while instantiated at the level of social interactions, diffuse through communications to groups of social actors at the level of organizations and institutional fields.

While not typically the focus of institutional logics theory and research, narratives have played a larger role in the study of organizational and institutional change (Somers 1994; Humphreys and Brown 2002). For example, Zilber's (2007) analysis of stories or narratives surrounding the dot-com crash of 2000, while not explicitly invoking institutional logics, suggests how specific

narratives of critical events provide opportunities for institutional resistance, reproduction, and change. In this instance, Zilber identified how narratives emerged from two groups of speakers—professional service providers and venture capitalists—each attempting to make sense of the dot-com crash. Three alternative narratives were identified: the United We Stand narrative, the Greedy Venture Capitalists narrative, and the incompetent Geeks narrative. The first was more explicit and shared by all, the latter two more implicit and used by one of the two groups. Together the multiple narratives serve to maintain the prevailing institutional order in the threat of crisis, implicitly sustaining the market logic that dominated the Israeli high-tech industry.

While narratives are shaped by practice and event sensemaking, narratives are also shaped by prevailing theories and frames. Rao, Monin, and Durand's (2003) study of *nouvelle cuisine* in France highlights the explicit theories and frames—including "*nouvelle cuisine*" itself—developed to create identification and mobilization. But their empirical analysis focused on positive restaurant reviews, a characterizing narrative specific to culinary experiences. A review provides an account of a specific restaurant and its chef, shaped by the theories and frames of a particular logic. The narrative not only invokes existing frames, but also illustrates exemplary practices, such as the specific dishes that characterize *nouvelle cuisine*. By doing so, the review narrative serves to link the theory and practice of the movement.

Narratives as explicit accounts of concrete practices and events shaped in interaction provide a crucial link between material practices and symbolic constructions. This relationship is further illustrated by Nigam and Ocasio's (2010) analysis of responses to Clinton's health care reform activities. Reform efforts increased attention to environmental characteristics, increasing the saliency of prevailing practices congruent with the reform—primarily managed care organizations and practices. Specific exemplars such as Kaiser and the Mayo Clinic received increased public attention in industry journals. Sensemaking activities surrounding the health care reform and exemplary practices led to new narratives characterizing the institutional field. While prior to Clinton's health care reform initiatives, the prevailing narrative was that political reform was necessary; as the Clinton reform faltered, the new narrative centered around the ability of managed care as a system to control costs. The new narrative triggered additional theorization that ultimately resulted in the emergence of a new logic for the hospital industry—the managed care logic—where managed care shifted in meaning from an organizational form to a system of meanings and interorganizational practices prevalent in the hospital field. Consequently, as shown in Figure 7.1, narratives emerge through a recursive process of sensemaking, shaped by events and practices, and sensegiving, shaped by theories and frames.

Resource Environments and their Effects on Institutional Logics

As shown in Figure 7.1, resource environments affect the construction of institutional logics through the opportunities and constraints they provide in the generation of material practices. Practices, described in detail in Chapter 6, are embedded in economic systems and include financing, manpower, customer demands, physical capital, and supplies, as well as external competition and cooperation. Resource environments also include markets and other forms of governance including governments, corporations, and informal networks.⁶ While not the subject of our analysis, practices also materially shape resource environments through their effect on the consumption and production of resources. For example, changing health care practices have material effects on the demand and supply of products and suppliers in the health care sector (Scott et al. 2000).

As we show in Figure 7.1, resource environments are also shaped by societal-level and external logics. For example, as shown by Zajac and Westphal (2004), the stock market, a critical part of resource environments in many institutional fields, is itself shaped by the prevalence of corporate versus market logics in society. However, while the resource environment is itself culturally constructed, and is itself embodied in practices, the material aspects of resource environments cannot be reduced to culture. Material resources influence the generation of practices and have partial autonomy from culture and institutions.

Rao's (1998) analysis of the emergence of nonprofit consumer watchdog organizations exemplifies how resource environments provide opportunities for the emergence of new institutional logics. Rising durable goods expenditures, increased complexity in consumer choices, and lack of government regulations and product liability rules provided the conditions for institutional entrepreneurs to mobilize resources to establish these societies.

Research that combines ecological and institutional perspectives indicates how macro changes in the resource environment may lead to changes in practices in institutional fields. Scott and his colleagues (2000) analyze how new regulatory systems in the health care environment disempowered high-cost independent practitioners following a professional logic and created opportunities for the emergence of corporate logics in the form of managed care organizations and surgery centers.

⁶ The various governance structures of resource environments are associated with distinct institutional orders and institutional logics, as discussed in chapter 3. But in highlighting how resource environments affect institutional logics the aim is to show that resource environments and the structures that govern them have economic and social structural effects separate from their institutional effects.

Sine and David (2003) found that the OPEC oil embargo in 1973 and rising electricity prices led to the emergence of energy conservation and renewable energy as alternative practices in the U.S. electric power industry, challenging established institutional logics in the field. Overall, they found that resource environments marked by scarcity and crisis were more likely to lead to changes in established institutional logics. The effects of resource environments on institutional logics are shaped not only by material forces, but also by cognitive, cultural, and political factors. For resource environments to shape institutional forces, their effects must be attended to (Hoffman and Ocasio 2001; Nigam and Ocasio 2010). Attention is itself shaped by the identity of participants in the field and by their political and social mobilization. Cultural entrepreneurs (Lounsbury and Glynn 2001) shape the interpretation of the resource environment through narratives about the environment. Changes in government actors exert their influence both materially through coercive practices and symbolically by how political parties construct the resource environment (van Gestel and Hillebrand 2011).

Overall, the analysis of changes in the resource environment suggests that the prevalence of logics in an institutional field is shaped by the material and cultural characteristics of the resource environment. Early research by Haveman and Rao (1997) on the mutual fund industry applies a selection meta-theory to show how environmental selection pressures favored organizational forms more congruent with their institutional environments. Focusing on new market opportunities created by acquisitions in the banking industry, Marquis and Lounsbury (2007) examine how the changing resource environment following bank acquisitions led to increased founding of banks following a community logic.

Vocabularies of Practice and the Emergence of Field-Level Logics

Vocabularies of practice are key building blocks linking semantic representations and practices in the emergence of field-level logics. The vocabulary construct was first introduced by Mills (1939) in an essay entitled "Language, Logic, and Culture." Mills argues that vocabularies provide an explicit link between culture, categories, and collective meaning:

Language, socially built and maintained, embodies explicit exhortations and social evaluations. By acquiring the categories of a language, we acquire the structured "ways" of a group, and along with the language, the value-implicates of those "ways." ...A vocabulary is not merely a string of words; immanent within it are societal textures—institutional and political coordinates. Back of a vocabulary lie sets of collective action. (Mills 1939: 677)

J. W. Meyer and Rowan (1977), in their seminal treatment of neoinstitutional theory, referred to vocabularies of structure as providing institutional categories for creating formal organizational structures. Extending the work of Loewenstein and Ocasio (2003) and Ocasio and Joseph (2005), we define vocabularies of practice as systems of labeled categories used by members of a social collective to make sense of and construct organizing practices. For example, "share price," "institutional investors," "S.E.C.," "auditing," and "accountability" are examples of the labeled categories of the vocabulary of corporate governance in the United States (Ocasio and Joseph 2005), providing practitioners with guidance as to what is appropriate and where to focus attention. Vocabularies of practice are not mere rhetorical devices, although they could be used for that purpose (Suddaby and Greenwood 2005). Vocabularies of practice guide attention, decision making, and mobilization, and provide members of social groups with a sense of their collective identity. Vocabularies of practice are critical to communication and sensemaking (Weick 1995).

Communication and joint attention to field-level practices is at the heart of our model of field-level institutional logics. The ability of participants to communicate and attend to practices is based on their common ground, defined as the set of knowledge, beliefs, and suppositions that they believe they share (Clark and Marshall 1981; Clark 1996). Common ground makes it possible for a speaker or writer to coordinate what is meant and what the audience understands. Common ground is thereby based on a set of material objects and practices participants share (Bechky 2003), as well as on a common vocabulary for speech and writing about those practices. Common ground is thereby critical for coordination and collective action.

While common ground in small groups can be established through direct observations of practices, the generation and transmission of common ground in institutional fields relies on narratives that link concrete organizing practices to specific labeled categories and relationships between categories (Loewenstein and Ocasio 2003).⁷ Prior work on institutional logics has emphasized the links between logics and categories, typically emphasizing how institutional logics generate systems of categories of social actors (Mohr and Duquenne 1997), organizational forms (Haveman and Rao 1997), organizational products (Lounsbury and Rao 2004), and organizational practices (Ocasio and Joseph 2005). Here we emphasize the reverse process: as narratives create systems of categories that link category labels to field-level organizing practices (e.g., see Kennedy 2008; Navis and Glynn 2010), distinct institutional logics emerge.

⁷ A labeled category is a category associated with a specific word or phrase: "nouvelle cuisine," "managed care," and "corporate governance" are examples of labeled categories in three different vocabularies of practice.

New systems of categories and the resulting emergence of institutional logics may rely not only on new category labels, but also on changes in category meaning. For example, Ruef (1999) explored how the shift to a market logic in the health care field was accompanied both by new category labels and changing meanings of existing categories. With the rise of a market logic the meaning of such terms as hospital and health maintenance organization changed as the practices associated with those organizational forms change. Note that Ruef's analysis was based on examining the changing narratives around organizational forms and how these changes reflected new category meanings.

Our theoretical model indicates that the development of new vocabularies of practice through the emergence of new category labels and changes in category meanings is necessary for the emergence of field-level institutional logics. However, we suggest here that the generation of vocabularies of practice may not be sufficient for the formation of a field-level logic. While cultural entrepreneurs following their interests are involved in the formation of narratives that lead to vocabularies of practice, the categories must become reified for the institutional logics to move beyond the level of theory or ideology. Practitioners, if not external audiences, must perceive over time that the categories and systems of practices are generated not as direct products of human invention and agency, but as the natural order of things. P. L. Berger and Luckmann (1966) term this process *reification*: "Reification implies that man is capable of forgetting his own authorship of the human world, and further, the dialectic between man, the producer, and his products is lost to consciousness" (89).

Note that reification should be considered a variable and neither cultural consensus nor hegemony is ever achieved in institutional fields, allowing for opportunities for contestation and change. But it is through reification, even if partial and incomplete, that actors become culturally embedded by the institutional logics they engage. For example a logic of corporate governance emerged in the institutional field of U.S. corporate boards of directors during the 1980s (G. F. Davis and Thompson 1994; Ocasio and Joseph 2005). While directors in large corporations were previously embedded in a managerial logic, with limited power or control over corporate managers, and managers controlling the board (Berle and Means 1932; Lorsch and MacIver 1989), the notion that directors should govern the corporation is now taken for granted by most, even if not believed in universally. Corporate governance is a new category of organizing practices that emerged in the 1970s and became reified in the 1980s (Ocasio and Joseph 2005). The emergence of this new institutional logic was accompanied by additional changes in vocabularies and frames as described by Hirsch (1986). While the logic of corporate governance changed to reflect post-Enron concerns, the idea that corporate governance is

a human invention, and a relatively recent one, is not part of the consciousness of most practitioners of the current practices we now refer to as corporate governance.

So far our discussion of the emergence of institutional logics has only dealt with how single institutional logics emerge. Research suggests, however, that multiple field-level institutional logics coexist (Heimer 1999; Reay and Hinings 2009; van Gestel and Hillebrand 2011). A large amount of literature has emphasized competing logics within an institutional logics perspective. Our model accommodates multiple institutional logics within a field by indicating that distinct logics within a field are associated with distinct sets of practices, symbolic representations, and, ultimately, vocabularies of practices. Much of the literature on competing logics in a field reflects competing organizational forms, each with its underlying theory, frames, and vocabularies of practice (Lounsbury 2007; Marquis and Lounsbury 2007). In other instances, competing institutional logics may reflect different practices within the same organizational forms (Reay and Hinings 2009).

For example, Dunn and Jones (2010) analyze the vocabularies of competing logics of care and science in the medical-education field. Medical education is based on a variety of diverse practices, some centered in basic and medical science, others based on relationships between physicians, nurses, and patients, and others on physician-hospital relationships. Dunn and Jones' analysis suggests changes in the cultural construction in the resource environment of medical education, namely the sudden emergence and rapid fall of managed care logics in the mid-1990s, were critical to the prevalence of narratives of care relative to science.

Evolution and Change in Field-Level Logics

While chapter 3 emphasizes the relative stability of the institutional orders of the interinstitutional system, research has shown evidence of greater dynamism in logics at the level of institutional fields (Dunn and Jones 2010; Nigam and Ocasio 2010). The process of changing logics does not follow a consistent pattern, however; rather, it can encompass a variety of forms of change (Murray 2010). Changes in logics involve a combination of changes in narratives and practices, resulting in new vocabularies in the institutional field, by which changing theories, frames, and narratives are linked to changes in practices.

As suggested by our model of the cultural construction of institutional logics in Figure 7.1, evolution and change in institutional logics can result from exogenous changes in societal and external logics, changes in the resource environment, and internal contradictions between symbolic representations

and material practices in institutional fields (cf., Seo and Creed 2002). Macro changes in symbolic representations and material practices, both internal and external to the field, provide opportunities for institutional entrepreneurs to perceive and exploit problems and contradictions in institutional logics to further their interests (Fligstein 1997).

Logics external to the field are critical to changes in field-level logics. As shown in Figure 7.1, the effects of societal and external logics on the cultural emergence of field-level logics are mediated through their effects on the construction of theories, frames, and narratives. As available institutional logics are activated in new fields, theories and frames are not wholly transmitted; rather, they are adapted to the new field or context. Several different processes by which *adaptation* takes place have been identified, most particularly that of *translation* (Djelic 1998; Boxenbaum 2006; Zilber 2006), in which the logics of one institutional system or field are translated into another. At the level of symbolic representation, translation involves strategic reframing and generation of local myths and vocabularies. Other scholars identify alternative mechanisms of adaptation. For instance, Creed, Scully, and Austin (2002) emphasize identity construction rather than translation. R. E. Meyer and Höllerer (2010) challenge the focus on translation given the interwoven mixture of inherited and locally modified collective frames that they found around shareholder value in Austria, which makes it impossible to distinguish between importation, translation, or transformation. More research is needed to clarify the processes of translation and adaptation and their roles in the generation of field-level logics.

Similarly, institutional logics, if developed in other institutional fields, are not imported wholesale, but adapted to the institutional field. In the United Kingdom, the shareholder value logic from the United States led the government to develop an adjusted version of the logic of shareholder value, known as enlightened shareholder value, which more directly reflected national values. The theories, frames, and narratives that emerge from societal or external logics are not by themselves logics unless they are embodied in practices. This distinction is critical as what is often described as competing logics in an institutional field is better understood as competing theories or frames.

The effects of resource environments and societal and external logics on institutional fields are often discontinuous. Critical events, individually, and in sequence (see chapter 3), generate opportunities for change in the material practices and symbolic representations that constitute institutional logics. Sine and David's (2003) study focuses on how events may trigger change, in their case the OPEC embargo and oil crisis. Hoffman (1999) identifies a sequence of events over two decades that led to the emergence of environmentalist logics in the U.S. chemical industry. These include the publication of *Silent Spring* in 1962, the inception of Earth Day and the formation of the

EPA in 1970, the appointment of Anne Burford as EPA Administrator under President Reagan in 1981, the chemical spill in Bhopal in 1984, and the Exxon Valdez oil spill in 1989. Note that not all events are directly changes in the material environment. *Silent Spring* in particular primarily represents the emergence of a new theory and frame about the environment, with no direct material impacts. Other events have both material and symbolic components, Earth Day in 1970 and the appointment of Anne Burford. In the latter, for example, new market theories underlying regulation were accompanied with material changes in regulatory practices.

Another perspective on changes in institutional logics focuses on internal contradictions that drive change (Seo and Creed 2002). Rao and Giorgi (2006) examine how contradictions in the field of *nouvelle cuisine* allowed subversive agents, in particular, Ferran Adrià from El Bulli, to take advantage of inherent ambiguities and develop a new conceptual cuisine, and in the process dismantle *nouvelle cuisine*.

In another study, Greenwood and Suddaby (2006) identified internal contradictions in the institutional field of Canadian accounting firms as creating opportunities for strategic entrepreneurship and the emergence of new practices and logics. The Big Five accounting firms were found to adopt a new organizational form, multidisciplinary practices, which we would describe as a shift from a professional to a corporate logic. Big Five firms, with their structural position within the field, had privileged access to international clients, and greater exposure to different sets of practices than peripheral actors. In a companion study, Suddaby and Greenwood (2005) examine the changing vocabularies and narratives that accompanied the adoption of multidisciplinary practices and which led to changes in prevailing institutional logics. As the combined analysis by Suddaby and Greenwood (2005) and Greenwood and Suddaby (2006) suggests, both material changes in resource environments and symbolic changes in frames and narratives are two distinct, yet interrelated, dimensions of the cultural and structural conditions that facilitate opportunities for change in institutional logics.

The two perspectives emphasizing external events versus internal contradictions as drivers of changes in institutional logics are not as distinct as they may appear at first glance. Because institutional logics do not generate cultural hegemony, internal contradictions are always present in institutional fields. The question is what triggers particular contradictions to receive attention in an institutional field. Critical events may be required for contradictions to become evident for field participants (Nigam and Ocasio 2010). At the same time, events may only receive public attention by field participants to the extent that the social actors' identity is threatened or if they are held externally accountable (Hoffman and Ocasio 2001). While institutional

Table 7.1. Typology of Change in Field-Level Institutional Logics

Forms of Change	Definition	Sample Study
<i>Transformational Change</i>		
Replacement	One institutional logic replaces another	Rao, Monin, and Durand (2003)
Blending	Combining dimensions of diverse logics	Glynn and Lounsbury (2005)
Segregation	Separation of logics from a common origin	Purdy and Gray (2009)
<i>Developmental Change</i>		
Assimilation	Incorporation of external dimensions	Murray (2010)
Elaboration	Endogenous reinforcement	Shipilov, Greve, and Rowley (2010)
Expansion	Shift from one field to another	Nigam and Ocasio (2010)
Contraction	Decrease in logic's scope	Reay and Hinings (2009)

entrepreneurs may take advantage of contradictions, events provide the opportunities for those contradictions to be used to mobilize resources.

Our discussion of change has focused so far on the external and internal forces affecting change. Another aspect is the direction and extent of change in institutional logics. While early research on field-level logics emphasized the replacement of one logic by another (Thornton and Ocasio 1999; Rao, Monin, and Durand 2003), more recent research has emphasized mechanisms of blending, segregation, and hybridization of logics. In examining the research evidence on changing field-level logics, we find, however, a wide array of processes by which institutional logics change. Major transformations, whether replacement of one logic by another, blending or segregation may be more the exception than the rule.

To characterize these changes, we develop a typology of change in institutional logics (see Table 7.1). We identify three forms of transformation in institutional logics: replacement, blending, and segregation. In addition, we identify four forms of developmental change in institutional logics: assimilation, elaboration, expansion, and contraction. In developmental change, a majority of the prevailing practices and symbolic representations remain, while others change. In transformational change processes, more radical changes in symbolic representations and practices are observed.

In *replacement*, one institutional logic replaces another logic in an institutional field. While not explicitly dealing with changing institutional logics, but instead with the consequences of change, the Rao, Monin, and Durand (2003) analysis of social movements in French gastronomy exemplifies changing logics through replacement, from classical to nouvelle cuisine. The logic of nouvelle cuisine generated new practices, theories, frames, and narratives,

generating a vocabulary of practice distinct from that of classical cuisine. Thornton and Ocasio (1999) and Thornton (2004) provide another example of replacement in institutional logics, from an editorial logic to a market logic.

In *blending*, institutional logics are transformed by combining dimensions of diverse logics. Glynn and Lounsbury (2005) suggest an example of blending in institutional logics in their study of critics' response to a 1996 Atlanta Symphony Orchestra musicians' strike. They found that critics' narratives shifted to capture the changing logic of the symphony: Post-strike reviews were more attuned to a market logic, while retaining a focus on cultural authenticity, consistent with the musicians' professional logics. In blending, vocabularies of practice are merged, bringing together labels from distinct vocabularies to a new and distinct one.

Segregation occurs as different field-level logics emerge from a previously shared common origin.⁸ Segregation generates different practices, symbolic representations, and vocabularies of practice for the different institutional logics that emerge. Purdy and Gray's (2009) analysis of how competing institutional logics became prevalent in the field of alternative dispute resolution provides an example. Early developments of alternative dispute resolution emerged as a solution to problems of the judiciary. The early state-level organizations followed a bureaucratic logic, consistent with prevailing logics in the judiciary and in state government. This is an example of how an external logic of the judiciary field is translated into the judiciary logic in the field of dispute resolution. Faced with local variations in resource environments and institutional entrepreneurs, an alternative public policy logic emerged, more consistent with professional (i.e., social science) approaches to dispute resolution adapted from other institutional fields. Other organizations followed a comprehensive logic, blending characteristics of the bureaucratic and public policy logics.

Assimilation is similar to blending, in that elements of one logic are combined into a prevalent logic. In assimilation, unlike blending, the core elements of the original logic prevail, with new practices and symbols made part of the prevalent logic. Murray's (2010) study of how patenting threatened the institutional field of academic genetics demonstrates an example of how institutional logics may change by assimilation. Murray examines how patenting practices, originally part of a commercial or market logic, were incorporated into academic geneticists' scientific practices in ways that reinforced academic (professional) logics, rather than replacing or transforming them. The meanings (and in our terminology, narratives) around patents were shaped by the academic logic, leading to hybrid practices (and in our model changing vocabularies of practice)

⁸ Our usages of *segregation* in chapters 5 and 7 differ as to levels of analysis. Chapter 5 focuses on how societal-level logics segregate to shape entrepreneurial ideas. In this chapter, we focus on how field-level institutional logics are differentiated.

in which academics used patents to protect the scientific commons and develop a new order of academic–industry relationships, characterized by contestation, rather than coexistence. Murray's analysis is distinctive in that it incorporates both analysis of symbolic meanings and material practices. Although Murray strongly argues that the hybrid practices are not a case of blending logics, the potential contradictions between new patenting practices in science and academic logics are not examined. In emphasizing the reinforcement of the academic logic within the field, Murray does not acknowledge that the academic logic has evolved—e.g., categories of patenting practices are added to, yet assimilated into, vocabularies of academia.

Albeit with a different framing, Swan and her colleagues (2010) reach a similar conclusion in their own analysis of academic genetics. Unlike Murray (2010), they focus on the contradictions posed by competing academic and commercial logics (what they term Models 1 and 2). They describe a “comingling” of practices among competing logics, where internal contradictions within academics lead to the reinforcement of academic logics. This comingling within academia is an example of what we would term assimilation.

The process of assimilation does not imply passive acceptance of practices derived from other institutional logics. Existing logics instead provide frames and narratives to guide resistance to a new logic. Townley (1997) explores how the institutional logic of liberal academia in the United Kingdom provided mechanisms of resistance to the corporate logic underlying performance appraisals. While all the universities studied adopted performance appraisal, consistent with government mandates, the particular form that these appraisals took deviated from corporate practices. Universities explicitly articulated their focus on research and teaching excellence, as well as the collegiate forms of governance, departing from corporate models. The narratives around why universities differed facilitated both resistance to corporate logics and the assimilation of performance appraisals into an academic logic.

Another example of assimilation is offered by Arjaliès' (2010) study of the socially responsible investment social movement in France. This movement led to changes in institutional practices in finance, where socially responsible funds were offered as a specific subclass of funds by the financial community. The institutional change was however, mainstreamed into the overall market logic prevalent in the financial investment field. In this form of assimilation, hybrid blends of market and community logics are segregated from other practices, where market logics are more fully dominant.

Given the multiple examples of what we term assimilation, the difference between blending and assimilation requires further theoretical elaboration. For example, in Glynn and Lounsbury's (2005) analysis, it is less clear whether the logics were truly blended or whether this can be better understood as an assimilation of market practices into an artistic logic. Note that the focus on

cultural authenticity, can be understood as a form of logic reinforcement, consistent with Murray (2010) and Swan et al. (2010).

In *elaboration*, internal developments in institutional logics lead to new narratives and practices that further reinforce the prevailing logic. In prior work in institutional theory, Edelman (1992) found evidence for structural elaboration in the implementation of the 1964 Civil Rights Law. An example of elaboration in institutional logics is shown by Shipilov, Greve, and Rowley's (2010) analysis of the adoption of second-wave changes in board practices in Canadian corporate governance. During the first wave of board reform, organizations adopted a series of changes in the structure and composition of boards, focusing on board independence and CEO–Chairman splits. Organizations that adopted this first wave of changes, consistent with an Anglo-Saxon shareholder value logic, were also likely to adopt the second wave of changes, the adoption of CEO and board evaluations, independent of board interlock ties. This endogenous change preserved the underlying narrative of board reform, but the logic now incorporated new categories of practices with evaluation, in addition to independence, now part of the underlying vocabulary of practice and logic of the corporate governance field.

Expansion and *contraction* refer to changes in scope of an institutional logic, where practices and narratives in one institutional field lead to expansion to related fields. Nigam and Ocasio's (2010) analysis of the emergence of managed care logics in the hospital field suggests an example of *expansion* of institutional logics from one institutional field, health insurance, to another related field, hospitals. While not explicitly analyzed as a case of expansion, a key finding of Nigam and Ocasio's analysis is that the logic of managed care, associated with a distinct organizational form, Health Care Organizations (HMOs), came to be understood as the overall organizing principle of the hospital field. In this case of expansion, the category "managed care" expanded in meaning, from an organizational form to a characterization of the dominant principles guiding the hospital field. This era of managed care logics was associated with changing practices in hospital operations and in relationships between hospitals, physicians, insurance companies, and consumers; while managed care logics remained dominant, the rate of health care cost increases was reduced (Dranove 2000).

Note that the *expansion* of managed care did not lead, ultimately, to an extended period of dominance and *replacement* of existing logics. Physicians and consumers resisted the continued *elaboration* of managed care, and the competing logic of physician authority was invoked to threaten legislative changes. Critical managed care practices such as capitation of physician payments were abandoned and health insurers and consumers shifted from HMOs to preferred provider organizations (PPOs). This *contraction* in managed care logics led to a new period of fragmentation in institutional logics in the

hospital field. As Dunn and Jones (2010) show, the contraction of the managed care logic was associated with a contraction in the term *care* in the vocabulary of medical education.

Conclusion

The institutional logics perspective, originally developed by Friedland and Alford (1991) at the level of society, has increasingly been used at multiple levels of analysis, primarily institutional fields (Thornton and Ocasio 2008). In this chapter, we develop a theory of how field-level institutional logics are shaped both by macro forces—societal-level logics and resource environments—and by field-level processes that link symbolic representations with organizing practices. This dual focus on symbols and practices, while at the heart of the institutional logics perspective is not always strictly followed in the literature—what are often characterized as institutional logics can better be described as theories or frames—if a theory is not constituted in practice it is not a logic. Similarly practices must be expressed symbolically. Here, we rely on vocabularies of practice as critical linchpins that link symbolic representations with field-level practices. Vocabularies are systems of cultural categories, and the exemplars of the categories that give meaning to the categories are the practices prevalent in the field. Vocabularies emerge as social groups establish shared narratives to both frame and make sense of organizing practices.

Changes to symbolic representations or changes to field-level practices, either external or internal to the field may trigger change in institutional logics. Past theory has focused on either critical events or internal contradictions as determinants of change, but here we suggest that these are primarily complementary, rather than competing, explanations. Past theory has also suggested either replacement, blending, and segregation of logics as three mechanisms for changing logics, but here we add four additional mechanisms: assimilation, elaboration, expansion, and contraction. This typology, while useful for characterizing different types of change, does not provide an explanation of when one type of change is more likely to prevail than another.

CAP Future research is required to do so. Note that most studies only rely on one institutional field during a specific time period. To develop greater understanding of different types of institutional change processes requires greater reliance on comparative analysis of institutional fields and even longer historical time frames than most research has used so far.

In examining emergence and change of institutional logics, one important issue to consider is how cross-level processes operate. As suggested in chapter 5, macro, meso, and micro mechanisms are all involved in the emergence and change of institutional logics. One complication in both theory and research is

that fields are not homogenous and multiple logics coexist (Reay and Hinings 2009). Even in cases where one dominant logic is replaced by another, original logics may continue to exist, even if their dominance has waned (Thornton and Ocasio 1999). For example, American hospitals were originally developed in the early 19th century as charitable institutions, following a community logic. With the advent of scientific advances in the late 19th century, followed by greater standardization of medical education in the early 20th century, the logic of physician autonomy became dominant. But community logics and charity remain part of the American hospital, even if no longer central to most of their practices or organizational identity. Similarly, the rise of corporate and market logics in the 1980s and 1990s led to decreased dominance of physician autonomy. But professional logics were not abandoned altogether, and remain dominant (while assimilating part of market and corporate logics) in the domain of physician-hospital practice.

Consequently, great care must be exercised in expressing what aspects of the field-level practices are changing and how changing practices reflect changing categories, vocabularies, and institutional logics. Research on institutional logics should also more systematically specify the level of analysis at which the logics are being investigated. This is not always clear and can result in considerable confusion. For example, the conflation of theories and institutional logics, which we have noted throughout this chapter, may involve how societal-level or external logics affect theories in an institutional field, without the corresponding practices being adopted in that field.

Our analysis of the emergence and evolution of field-level institutional logics has, at least in part, backgrounded the role of institutional agents and power. Our focus instead has been, as described above, on either macro processes or the emergence and reification of vocabularies of practice. We do not mean to suggest that agency and power are unimportant. Critical events and contradictions between symbolic representations and practices are, for example, opportunities for the exercise of strategic agency and power (Hoffman 1999; Seo and Creed 2002). Theorization, framing, and the construction of narratives are equally political acts, with winners and losers in the distribution of material and cultural resources. Strategic opportunities are not equally available to all actors, however (Greenwood and Suddaby 2006). Prior experience with alternative institutional logics increases their availability and accessibility, as suggested by our model of dynamic constructivism in chapter 4 and our case narratives in chapter 5. The outcome of power struggles is also shaped by macro forces in the resource environment. And political struggles over framing are constrained by bottom-up cognitive processes of attention and sensemaking (Nigam and Ocasio 2010; Ocasio 2011). Power itself is contingent on institutional logics (Thornton and Ocasio 1999), and on the opportunities offered by challenges to prevailing logics (Seo and Creed 2002).

Implications of the Institutional Logics Perspective

The institutional logics perspective underpins a robust and rapidly growing intellectual project in organization studies. One of our main purposes in this book is to clarify the nature of the perspective and develop novel theoretical elaborations that lay the groundwork for the continued development of this progressive research program (Lakatos 1978; Popper 1972). At the core of our book is the development of synthetic, multi-, and cross-level theoretical frameworks that will guide future inquiry on a variety of theoretical and substantive problems. We emphasize that any theory of institutions must: 1) account for the partial autonomy of social structure and action, 2) understand how institutions operate at multiple levels of analysis, 3) integrate the symbolic and material aspects of institutions, and 4) explain institutions' historical contingency. In developing our frameworks, we provide several novel contributions:

- In chapter 2, we illustrate how the concept of institutional logics and the institutional logics perspective build upon, yet fundamentally depart from, neoinstitutional theory (e.g., J. W. Meyer and Rowan 1977; DiMaggio and Powell 1983; Scott 1995, 2001, 2008a)—institutional logics is not an extension of neoinstitutional theory. This distinction hinges primarily on neoinstitutional theory's bifurcation of the structural from the symbolic and its focus on the primacy of the Western world. In contrast, the institutional logics perspective cannot be understood apart from either the symbolic or material manifestation of institutions. Moreover, any metatheory of institutions should be applicable to all societies. We argue that the institutional logics perspective provides a systematic approach to the study of cultural heterogeneity. It significantly departs from the Parsonian legacy embedded in the cultural unity perspective of the world society institutionalism of J. W. Meyer and colleagues, as well as DiMaggio and Powell's (1983) theory of isomorphism. Furthermore, in contrast to

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Scott's (1995, 2001, 2008a) pillars approach, the institutional logics perspective integrates the cognitive and cultural with the regulative and normative dimensions of behavior.

- We develop in chapter 3 a multilevel theoretical framework to identify the mechanisms that create institutional effects across levels of analysis (e.g., individual, group, organizational, institutional field, and societal). We began at the macro level by elaborating a model of societies as an interinstitutional system, going beyond the typologies of Friedland and Alford (1991) and Thornton (2004) by creating a new X-axis ideal type—the institutional order of community. This extends the range of previously identified institutional orders: family, religion, state, market, profession, and corporation. We validated community as a distinct institutional order through review of classic and recent community research that demonstrates how varied community influences (from geographically centered to virtual) provide unique sources of identity, legitimacy, and other Y-axis categorical elements. In addition, we stress that institutional logics should not be conflated with the Y-axis categorical elements; these elements comprise a nearly decomposable system. That is, elements of institutional logics, such as practice and identity, are partially autonomous from institutional logics and orders on the X-axis, opening up possibilities for agency in the reconfiguration or recombining of elements to alter extant or create new institutional logics.
- We develop in chapter 4 the microfoundations of the institutional logics perspective by drawing on research in cognitive and social psychology. This involved developing original theory from a synthesis of existing theoretical concepts and mechanisms developed through prior theory development. Our theory explains that an array of institutional logics may be available to actors, but only certain institutional logics or categorical elements of logics are readily accessible to actors and therefore likely to be used. The implication of the microtheory is that our understanding of embedded agency may be enhanced by attending to the situated nature of actors, as well as how and under what conditions institutional logics may be accessed and activated.
- We demonstrate how societal institutional logics affect micro behaviors with our case narratives in chapter 5. These narratives highlight how individuals' capacity to recognize and attend to institutional logics and apply them strategically is based on their availability and the accessibility of prior knowledge and experience in relation to the differences in institutional orders of society. While the case narratives demonstrate at the individual and societal levels of analysis how cultural entrepreneurs blended and segregated categorical elements (X- and Y-axes, respectively) of institutional orders to

create innovations, the theory is more widely applicable. For example, in organization level research on the absorptive capacity of firms (W. M. Cohen and Levinthal 1990), the theory both adds a focus on the symbolic and suggests a potential solution to the problem of path dependence.

- We develop in chapter 6 novel process models on how institutional logics shape the dynamics of practices and identities inside and across organizations. Building upon the macrotheoretical framework in chapter 3 that emphasizes the partial autonomy of Y-axis categorical elements from X-axis institutional orders, we focus on how the alteration of two key Y-axis elements—practice and identity—by organizations can generate changes in institutional logics. We take a more problematic approach to order, arguing that practice variation in and across organizations is a key endogenous mechanism that can trigger profound organizational change. In addition, fleshing out aspects of the cross-level model presented in chapter 4, we show how sensemaking, collective mobilization and decision making moderate the potential effects of practice variation and provide key mechanisms that can ultimately lead to substantive alterations in organizational practice and identity. In developing our ideas, we connect the institutional logics perspective to the literatures on identity and practice, highlighting fruitful opportunities for cross-fertilization.
- We develop in chapter 7 a new theoretical model to understand the emergence of institutional logics at the field level by integrating the research on practices with the constitutive concepts of institutional logics—theorization, narratives, and vocabularies of practice. We also develop a new typology of change in institutional logics: going beyond the concepts of replacement, blending, and segregation to identify assimilation, elaboration, expansion, and contraction as alternative modes of institutional logics change. This theoretical elaboration advances theory of the origins of new institutional orders and institutional logics. By laying out a theoretical model focused on how new vocabularies of practice emerge and offering typologies of mechanisms related to societal and institutional field-level logic change, we set the stage for future research on this important area.

Implications for Other Disciplines and Substantive Research Domains

While the majority of research on institutional logics to date has been conducted by organizational scholars in sociology and management, it is

important to emphasize the relevance of this perspective to a wider array of research domains and scholars across disciplines. Throughout the book, we bridge to various literatures outside of sociology and institutional logics research to include different disciplinary bases of knowledge. For instance, we draw on social and cognitive psychology to develop the microfoundations of the institutional logics perspective, theorizing how the relationship between human cognition and situationalism is conditioned by macro differences in institutional orders of society. We point out examples of how the macro-micro linkages we develop provide opportunities to bridge to institutional analyses in other social science disciplines. In particular, we can envision possibilities to cross-fertilize the institutional logics perspective with multidisciplinary efforts in comparative institutional analysis (Morgan et al. 2010) as well as cognate developments in political science (e.g., Hall 1986; Hall and Soskice 2001; Thelen 2004) and economics (e.g., Greif 2006; North 2010).

We discuss further implications for the historical and comparative analysis of institutions, institutional complexity, social movements, cultural and institutional entrepreneurship, institutional work, organizational identity, organizational design, strategy, microprocesses, and methods of analysis. This discussion is organized from more macro to more micro domains of research, illustrating the general utility of the institutional logics perspective across a wide range of scholarly orientations.

Historical and Comparative Analysis of Institutions

By focusing on the institutional orders of society as a starting point for analysis, the institutional logics perspective provides a systematic macrofoundation for understanding human behavior, offering a viable alternative to rational choice approaches. This accords with broader efforts among comparative historical institutionalists to embed an understanding of human behavior in macrosocietal units such as in the varieties of capitalism literature (e.g., Whitley 2000, 2007). This comparative historical institutional project has aimed to account more completely for the complexity of institutional systems, including the "contextual embeddedness of economic rules, actors, organizations, or behaviours" (Djelic 2010: 16; see also Hollingsworth and Boyer 1997; Morgan et al. 2010; Sorge and Maurice 2000; Streeck and Thelen 2005). However, this work has focused largely on more material aspects of governance structures, practices, and other institutional arrangements, downplaying the role of the symbolic.

While some comparative institutionalists have begun to focus on cultural processes and meaning systems (e.g., see Djelic 2010 for a review), linking to the institutional logics perspective can further propel this theoretical development. By emphasizing both symbolic and material dimensions, and attending

to the cultural heterogeneity of multiple institutional orders and logics within and across societies, the institutional logics perspective opens up new avenues to understand greater nuances in transnational flows and translations (e.g., Djelic 1998; Djelic and Quack 2010), as well as incremental and complex societal-level changes (Mahoney and Thelen 2010). Overall, we see great complementarity between the institutional logics perspective and theoretical directions in comparative institutional analysis reviewed by Djelic (2010), including the invocation to embrace a "soft" notion of actorhood that avoids the pitfalls of rational choice theories (Djelic and Sahlin-Andersson 2006; Schneiberg and Clemens 2006).

There are relatively few institutional logics studies in the international context, highlighting an opportunity to link to historical and comparative institutionalists and to comparative area studies researchers. For example, current research on democratic elections imposed by the Chinese central government in rural villages offers an opportune research site for institutional logics analysis due to its multi- and cross-level attributes. This research examines the dynamics of multiple institutional logics based in the family (rural logic) and the state (bureaucratic logic) and their behavioral consequences for roles, positions, and organizations (Zhou and Ai 2010). While not framed as an institutional logics study, Walder, Luo, and Wang (2011) find that the consequences (i.e., new social structures, elites, social conflicts, patterns of inequality) of the state-to-markets expropriation process in China vary across the enterprise sectors of steel, real estate, and agriculture. They find it depends on different configurations of property rights that define the corporation and that are the product of sector asset specificity and state enforcement.

A key point is that change is happening not simply from the institutional order of the state downward, but as a result of firm actions, such as a consequence of other emerging institutional orders. This research can have groundbreaking implications for the institutional logics perspective, particularly in that the institutional order of the corporation is emerging in China and institutionalizing at different rates and in different ways by sector, and with significant differences in interdependence with the state (see also Luo, Chung, and Sobczak 2009; Zhang 2011). Similar processes happened long ago in the Western world (Bendix 1956; Chandler 1962, 1992; Dobbin 1994), and as a result it has been difficult to study them retrospectively and impossible to do so from an ethnographic and practice perspective. As discussed in chapter 5, the current transformation of China offers a natural, real-time laboratory to study the origins, interdependence, stability, and change of the different institutional orders of the interinstitutional system.

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Institutional Complexity

In their fascinating paper tracking organizational downsizing in Spain, Greenwood et al. (2010) developed the term "institutional complexity" to refer to organizational environments where organizations face a variety of pressures stemming from multiple institutional logics. This idea is extended by Greenwood et al. (2011) to draw attention to how the structural dimensions of fields (fragmentation, formal structuring/rationalization, and centralization) and organizational attributes (field position, structure, ownership/governance, and identity) affect how organizations respond to institutional complexity. How organizations respond to institutional complexity is an exciting new topic for future research using the institutional logics perspective. *University*

As indicated in chapter 6, this path of research suggests the need to get inside organizations and understand how social interactions within firms shape understandings of institutional complexity as well as how strategic responses to such complexity are conceptualized and implemented. This provides a natural bridge between institutional logics research and the literatures on practice, institutional work, and cognitive-behavioral approaches to strategy (Smets, Morris, and Greenwood 2011). In addition, we need to know more about how organizations are able to shape the institutional complexity of their environment by, for instance, influencing and interpreting law and policy (Barley 2007; Dobbin and Dowd 1997; Lounsbury and Hirsch 2011; Zald and Lounsbury 2010). How do organizations navigate institutional complexity by engaging in efforts to reshape the logics in their environments? Engaging law and society scholarship can develop a richer understanding of how institutional logics mediate or shape organizational responses to the law and how they help to construct the meaning of laws (Dobbin and Kelly 2007; Edelman, Abraham, and Erlanger 1992). *University*

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Social Movements

Research opportunities for fruitful integration of the institutional logics perspective and social movement research lie in how the availability and accessibility of multiple logics create conditions in which collective mobilization is more or less likely to occur. For example, the institutional logics perspective can point the way to productive conceptualization of how cultural resources are used for mobilization, framing, and institutional change (see Schneiberg and Lounsbury 2008 for a review). Several institutional logics studies provide a foundation for theoretical integration because they draw on social movements to explain a shift in institutional logics, see in particular articles on thrifts (Haveman and Rao 1997), waste management (Lounsbury 2005;

Lounsbury, Ventresca, and Hirsch 2003), and French restaurants (Rao, Monin, and Durand 2003). In these studies, shifts in organizational, social, and role identities, respectively, take on social-movement-like qualities as activists work to theorize new identities and deconstruct old ones.

However, we still have a limited understanding of exactly why and how activists engage in institutional deconstruction projects. In order to understand a more complete story of change, theoretical integration is needed that examines cross-level effects among activists, their fields, and societal-level logics. This crossroads is where the institutional logics perspective can advance the research on social movements because of its systemic means to theorize and measure societal-level effects as an interinstitutional system. However, to achieve integration, there is need to develop an understanding of how institutional logics and the interinstitutional system relate to social-movement concepts. For example, "master frame" (Snow and Benford 1992), a higher order symbolic device associated with cycles of protest, cuts across multiple institutional orders and provides a core resource for the development of more targeted activism frames. The rights master frame that emerged with the civil rights movement provided a generalized cultural resource for subsequent "rights" movements such as gay rights, animal rights, abortion rights, and fetal rights. Theoretical and empirical research is needed to clarify the conceptual differences between such perspectives.

Institutional logics research can be advanced by attention to social-movement processes, particularly with respect to how multiple logics within organizations and institutional fields facilitate practice variation as a result of collective mobilization (Ansari, Fiss, and Zajac 2010; Fiss, Kennedy, and Davis 2011; Lounsbury 2001). Several social-movement studies (Schneiberg 1999; Schneiberg and Bartley 2001; Schneiberg and Soule 2005) provide a foundation for theoretical integration because they cross levels in their characterization of fields (e.g., horizontally with states, and vertically with federal, state, and local actors). In theory, these cross-level characteristics should expand opportunities for collective mobilization (cf., J. L. Campbell and Lindberg 1990). The institutional logics perspective can enhance these social-movement studies by making theoretical sense of and simplifying the myriad of empirical findings: What is the umbrella story, and can we make progress in accumulating generalizable findings?

Cultural and Institutional Entrepreneurship

The institutional logics perspective has much to add to the literatures on cultural and institutional entrepreneurship. Cultural entrepreneurship focuses on how individuals, groups, or organizations act as skilled cultural operators, using mechanisms such as framing, categorization, and storytelling

or narratives to facilitate the comprehension and justification of an innovation. While the term "cultural entrepreneurship" was initially introduced by DiMaggio (1982), the foundational paper by Lounsbury and Glynn (2001) has been central to motivating a large number of theoretical and empirical studies of various cultural processes by which actors reshape their environments and gain legitimacy (e.g., Cornelissen, Haslam, and Balmer 2007; Martens, Jennings, and Jennings 2007; Navis and Glynn 2010; Pollock and Rindova 2003; Rindova, Pollock, and Hayward 2006; Zott and Huy 2007).

Ironically, DiMaggio (1988) also introduced the concept of institutional entrepreneurship—the notion that the interests of actors matter and that some actors are better positioned to garner resources not only by identifying contradictions, but also by creating new and reconfiguring extant institutions. The concept of institutional entrepreneurship has been widely used in empirical studies (e.g., Garud, Jain, and Kumaraswamy 2002; Greenwood and Suddaby 2006; Maguire, Hardy, and Lawrence 2004). However, it also has been extensively critiqued for its valorization of heroic individuals (for reviews, see Battilana, Leca, and Boxenbaum 2009; Hardy and Maguire 2008). This research has not developed a theory of institutional entrepreneurship, preventing it from advancing beyond the plethora of descriptive case studies. Without a theory, it cannot sort out whether institutional change effects are due to the person or the situation or how the two interact.

Although the concepts of cultural and institutional entrepreneurship overlap to some extent, the cultural entrepreneurship literature has tended to focus more on symbolic change across multiple levels of analysis from individual to society. The literature on institutional entrepreneurship has focused less exclusively on symbolic change and has concentrated analytical attention at the societal and institutional field levels. We believe that both concepts and literatures can benefit from the institutional logics perspective.

The institutional logics perspective can advance understanding of institutional entrepreneurship with respect to three problems emphasized in the widely cited critique of this literature (Hardy and McGuire 2008). First, it provides a systematic way to theorize and test how an entrepreneur's agency is embedded in culture and social structure. Second, it points to expectations of how individuals and organizations are motivated to use symbolic resources to create innovations and garner material resources. Last, it identifies expectations of how the context will shape the behavior of institutional entrepreneurs with respect to the availability and accessibility of knowledge—and hence, how it will shape their ability to create a window of opportunity to actively pursue institutional change. We need future research that specifies how and under what conditions institutional entrepreneurs are able to access and activate logics to create new logic instantiations or enact changes to extant logics.

Application of the institutional logics perspective to the concept of cultural entrepreneurship can move this research beyond a focus on storytelling and narratives. For example, it can expand the scope of the theory to include the processes by which actors construct theories, frames, narratives, and vocabularies of practice to create new logics and refashion or change existing ones via mechanisms of replacement, blending, segregating, assimilation, elaboration, expansion, and contraction as discussed in chapters 5 and 7. In addition, drawing on the concept of the interinstitutional system helps ground cultural entrepreneurship research by situating how stories may be framed to connect to different discourses (Munir and Phillips 2005; Phillips, Lawrence, and Hardy 2004) or to appeal to different audiences (Kennedy and Fiss 2009; Fiss and Zajac 2004, 2006) associated with different institutional orders, thus guiding how different stakeholders assess the legitimacy of new ventures. Such cross linkages can address such questions as how do successful and unsuccessful entrepreneurs tailor and anchor their narratives for various audiences? How might this process evolve over time and depend upon starting relatively from scratch or building upon the foundations of prior efforts to establish new vocabularies of products and markets?

Another interesting application of the institutional logics perspective in combination with the concepts of cultural and institutional entrepreneurship is to provide fresh insights into understanding wealth creation and new-venture formation (e.g., market conditions and financing). While entrepreneurship research often brackets sources of novelty, the case narratives in chapter 5 illustrate how each of the entrepreneurs was able to construct innovative business models by identifying and solving problems, and garnering support, through new combinations of existing symbols and practices (i.e., Y-axis categorical elements) across institutional logics. The institutional logics approach adds value by focusing on how both the material and symbolic conditions enable individuals and groups to discover new ideas, contemplate entrepreneurial careers in the first place, and legitimate their new ventures.

It is noteworthy that our approach to cultural entrepreneurship bears some affinity with the French conventionalist approach to justifications: Legitimacy is negotiated between and across the orders of worth—identified as civic, market, inspired, fame, industrial, and domestic (Boltanski and Thévenot 2006; Stark 2009). It has been argued that despite parallels between the two perspectives, the conventionalist approach assumes that orders of worth coexist in the same social space, leading to a conceptualization of agency that is a bit more unbridled than in the institutional logics perspective. However, with our theoretical development of the microfoundations and the near-decomposability of the interinstitutional system, the institutional logics perspective and the orders-of-worth approach are better understood as

competing orienting strategies. Accordingly, in both perspectives, actors are assumed to be able to cross and draw upon multiple orders of worth and institutional orders. It would be useful for future research to seek further compatibilities between these perspectives by analyzing the conditions under which actors can rhetorically link worlds and how that might relate to the creation of new logics and the alteration of extant ones.

Institutional Work

T. B. Lawrence, Suddaby, and Leca (2011) define "institutional work" as describing "the practices of individual and collective actors aimed at creating, maintaining, and disrupting institutions" (52). As the study by Zietsma and Lawrence (2010) demonstrates, research on institutional work can enhance our collective understanding of field macrodynamics. However, some institutional work researchers tend to counterpose the work and the institutional logics perspectives by arguing that logics focus on the macrodynamics of institutional fields, whereas research on institutional work brings to the fore the lived experience of organizational actors. In contradistinction, we do not view institutional work and institutional logics as competing orienting strategies. Rather, we have argued explicitly throughout this book that research on institutional logics would be enhanced by attending to the practices and lived experiences of actors. Our efforts are buttressed by our development of the microfoundations of institutional logics and our highlighting how the institutional logics perspective can enhance our understanding of individual behavior and entrepreneurship. Counterposing the two is a false distinction as evidenced by recent efforts to address the micro processes associated with institutional logics (e.g., Battilana and Dorado 2010; Binder 2007; Lok 2010; Pache and Santos 2010).

What conjoins the institutional work and institutional logics research is an interest in practice. As we have discussed in detail in chapter 6, by building upon anthropological and ethnological understandings of human action (e.g., Bourdieu 1977; Geertz 1995; Ortner 1984), a focus on practice has been central to the institutional logics perspective from its inception (Friedland and Alford 1991). This tradition does not distinguish between macrodynamics and individual lived experience, because one is interpenetrated with the other. For instance, Bourdieu's (1977) approach to domination in field analysis focuses on how practices exemplify and reinforce systems of domination and the valorization of particular logics. It also seeks to clarify "how domination is incorporated in agents' disposals through the processes of socialization and reproduction" (Golsorkhi et al. 2009: 782).

While it is difficult to focus on field macrodynamics and individual dispositions and behavior within one scholarly paper, we encourage cross-level

research on individuals and practice to strive towards a more holistic understanding of social action. To wit, our overall approach leads us to wholeheartedly embrace institutional work research as well as cognate research on practice (MacIntyre 1981; Schatzki, Knorr-Cetina, and von Savigny 2001) such as that on strategy as practice (e.g., Jarzabkowski 2004, 2005; Whittington 2006). We add to these lines of research by emphasizing how institutional work and practices are always shaped by available and accessible institutional logics. In sum, the institutional logics perspective provides an overarching meta-theory that can contribute to wider scholarly interest in practice by emphasizing the embeddedness of individuals in society and institutional fields and providing a theoretical architecture that makes contributions to knowledge more visible.

Organizational Identity

Because identities, be they of organizations, groups, or individuals, are a key categorical element of institutional logics, there is tremendous benefit to be gained by bridging communities of scholars who study institutional logics and identity. This is particularly true with research in the areas of macrorelational and micro-organizational identity (see Glynn 2008 for a review). Kraatz and Block (2008) and Greenwood et al. (2011) point out that identity is a useful focal point for studying the multiplicity of institutional logics. This is because institutional fields containing multiple logics can lead to variegated individual and organizational identities depending on whether there is resistance to some logics in favor of others, logics are blended into a hybrid identity, or logics are segregated and thus compartmentalized from each other.

Understanding how actors within an organization react to institutional complexity will require research designs that attend to both field dynamics and organizational identity variation across an institutional field, as well as attention to intraorganizational microprocesses of identity construction. Moreover, as our case narratives suggest in chapter 5, future research efforts can gain from a focus on how organizational identity stems from individual identities—that is, multiple institutional logics may be importantly seeded by individual-level differences in functional backgrounds and prior knowledge and experience that become embedded in field infrastructures.

Another important avenue for future research lies in better understanding the relationship between institutional logics and collective identities (Wry, Lounsbury, and Glynn 2011). Collective identities consist of groups of actors united around a shared purpose and similar outputs (see Cornelissen, Haslam, and Balmer 2007). For example, institutional fields can be composed of multiple collective identities tied to logics, as in the case of *nouvelle* and *haute*

cuisine chefs (Rao, Monin, and Durand 2003). We would expect that further study of collective-identity construction will greatly enhance our understanding of logic creation and change—especially in relation to the emergence of new industries and institutional fields (e.g., K. Weber, Heinze, and DeSoucey 2008). For example, how do institutional logics provide resources for the assemblage of novel collective identities?

Organizational Design

There is a renewed interest in organizational design (Dunbar and Starbuck 2006; Gulati and Puranam 2009; Greenwood and Miller 2010), defined as the adoption of “the structures of accountability and responsibility used to develop and implement strategies, and the human resource practices and information and business processes that activate those structures” (Greenwood and Miller 2010: 78). While the study of organizational design historically was dominated by functionalist accounts (e.g., P. R. Lawrence and Lorsch 1967; Tushman and Nadler 1978), institutional theory has been consistently applied to explain the adoption of organizational structures (e.g., Rowan 1982; Fligstein 1985; Greenwood, Suddaby, and Hinings 2002). However, neoinstitutional accounts of structure have tended to downplay agency in the adoption of structures (DiMaggio and Powell 1983). Critiques of neoinstitutional theory have highlighted instead the role of agency in organizational design (Kraatz and Zajac 1996).

The institutional logics perspective allows researchers to reconcile the enabling and constraining effects of institutions in organizational design. For instance, we can reinterpret Kraatz and Zajac’s (1996) study of liberal arts colleges as a competition of institutional logics (liberal arts and professional–vocational) shaping organizational design in the field. Using our typology in chapter 7, this would be an example of assimilation, as the liberal arts logic was maintained as the core principle, while professional–vocational training was assimilated into what were still considered liberal arts colleges.

Overall, from our theoretical perspective, organizational design is important because it filters how institutional logics reach an organization and shapes whether pressures and motivations associated with different logics become encoded in diverse coalitions within an organization, creating or inhibiting conflict over goals and strategies. As we highlighted in chapter 5 with our historical case narratives of J. C. Penney, John Sperling, and Richard Prentice Ettinger, institutional logics provide key symbolic resources to construct novel organizational designs. It would be interesting to study how institutional logics in a field become variously embedded in organizations via design—and how this process may trigger homogeneity or heterogeneity in strategy and affect overall performance. Cross-national research, and research on

multinational organizations could be especially fruitful in this regard (see Kostova, Roth, and Dacin 2008).

Strategy

The idea that managers of multibusiness firms are shortsighted in understanding diversification strategies because they operate under a “dominant logic” that filters their cognition is not new to the strategy literature (Prahalad and Bettis 1986; Bettis and Prahalad 1995). However, in spite of winning a scholarly award, these two foundational papers did not engender the development of the theoretical side of the logic concept, but only the practitioner side (Grant 1988; Sanchez 1995; von Krogh and Roos 1996; Lampel and Shamsie 2000; Garg, Walters, and Priem 2003). Given the cognitive underpinnings of the institutional logics perspective, there is natural affinity with cognitive approaches to strategy (see Kaplan 2011 for a review) such as that on competitive groups (e.g., Porac, Thomas, and Baden-Fuller 1989; Reger and Huff 1993), categorization (Kennedy 2008; Porac and Thomas 1990, 1994; Rao, Monin, and Durand 2003), managerial frames (Kaplan 2008a, 2008b; Kennedy and Fiss 2009), learning (Gavetti and Levinthal 2000), technology development (Garud and Rappa 1994; Kaplan and Tripsas 2008), and, as we noted, the dominant logics (Prahalad and Bettis 1986). At the root of this cognitive move in strategy is an acknowledgement that organizational responses to environmental pressures or changes were fundamentally mediated by managerial interpretations. As Daft and Weick (1984) emphasized, how managers make sense of their environments shapes the strategic choices made and executed.

While this line of work has detailed cognitive effects on strategy content and process at a variety of levels—from individual managers inside organizations to industries—less attention has been paid to how the mental models of managers are influenced by wider societal beliefs. One place institutional logics research bridges to the strategy area is in studies of the publishing industry’s executive decision making (Thornton and Ocasio 1999; Thornton 2001, 2002, 2004) and Chung and Luo’s (2008) research on how firms’ decisions to restructure through divestiture and acquisition in Taiwan as guided by different institutional logics. See also Luo, Chung, and Sobczak’s (2009) study of how national corporate governance logics affect foreign direct investors’ choice of local joint venture partners in emerging markets.

However, much more could be done to flesh out how logics may provide resources to cultivate new kinds of frames and categories that form the basis of new resource niches and competitive strategies within and across organizations. As we have argued, we believe there is particular utility in connecting the institutional logics perspective to the behavioral theory of the firm and to

other work in the Carnegie School tradition (see also Thornton 2004; Thornton and Ocasio 1999). Gavetti, Levinthal, and Ocasio (2007) outline a neo-Carnegie approach to strategy and firm behavior that highlights the importance of embeddedness as a missing piece of the Carnegie tradition; the institutional logics perspective provides a link to that approach.

Another segue connecting institutional logics and strategy research is through the line of work on firms as varied coalitions rooted in professional or other disciplinary distinctions (e.g., Greenwood and Hinings 1996). Firms can also be understood as sites where multiple institutional logics vie for dominance. For instance, Zhang (2011) shows how state socialism and market capitalism logics facilitated goal conflict between coalitions in partially privatized Chinese firms contemplating merger and acquisition activity. The prevalence of multiple institutional logics within and across firms opens up important avenues of research on how logics relate to the politics of firms and markets, and how they affect strategic decision making and performance.

Microprocesses

In chapter 4, we drew on dynamic constructivist theory developed by social psychologists (Hong et al. 2000; Hong and Mallorie 2004; Morris and Gelfand 2004) to argue that institutional logics are best understood as a network of learned knowledge structures that are unevenly distributed across a population as a result of differences in social interaction and socialization. It would be very useful to develop empirical studies at the individual level as well as in various micro contexts of teams and groups to understand how different institutional logics become more or less available and accessible, and become activated in particular situations—such as in processes related to decision making, sensemaking, coordination, and problem solving. Experimental designs would be one useful research method to examine these ideas.

Using experimental and large-sample research methods, we need systematic tests of our theory of how individual differences affect availability and accessibility of logics in a way that allows researchers to partition the effects due to differences in actor or situational characteristics. Such analyses will need to be sufficiently contextualized to examine the social interaction effects. Recall Binder's (2007) argument that

Logics are not purely top-down: real people, in real contexts, with consequential past experiences of their own, play with them, question them, combine them with institutional logics from other domains, take what they can from them, and make them fit their needs. (568)

The theoretical model developed in chapter 4 (Figure 4.4) identifies a variety of causal pathways linking the macro down to the micro, from micro to macro,

GAP and macro to macro. While different theoretical mechanisms are posited about how institutional logics shape cognition and behavior from the individual level and aggregate up, research is needed to further explore and test how these mechanisms link logics to individual behavior. For instance, how do institutional logics shape the focus of attention through action schemas (e.g., problems and solutions)? How exactly does attention activate schemas, identities and goals, and consequentially influence social interactions? What role does the process of bottom-up versus top-down attention (Ocasio 2011) play in the triggering of logics? How important is a person versus situational approach (Ross and Nisbett 1991) to the effects, workings, and alterations of institutional logics? Such cross-level research is needed to extend our understanding of the recursive influences (Powell and Colyvas 2008). While most research on microprocesses draws upon qualitative methods, it is important to emphasize the utility of and need for multimethod research strategies.

Methods of Analysis

The strength of the foundational studies of the institutional logics perspective has been on the triangulation of types of data and methods of analysis—being reliant on both qualitative and quantitative methods (Schneiberg and Clemens 2006). Triangulation is important because it encourages “the principle of opposites” (Bailyn 1977). That is, “if you have qualitative data, count and classify what you can; if you have quantitative data, don’t ignore its qualitative potential by not examining the extremes or not looking at the data that do not fit the general picture,” (J. B. Sorensen, van Maanen, and Mitchell 2007: 1149). One of the benefits of ideal type model analysis is that it enables the principle of opposites. Triangulation also helps us understand how method can generate and shape theory just as theory can generate and shape method (J. B. Sorensen, van Maanen, and Mitchell 2007: 1146). Ideal type analysis in itself is a topic ripe for continued development by better integration of qualitative and quantitative methods, specifically in new ways to quantitatively measure the relative distance between the data and ideal type categories. As the institutional logics perspective advances, it no doubt will raise the bar for more sophisticated use of methods. So how can we meet this challenge?

Empirical research on institutional logics has employed a variety of methods, including surveys, archival documents, event history analysis and other statistical modeling techniques, interviews, ethnographic field notes, secondary data sets, and case studies. As we discussed earlier, institutional logics research would benefit from including experiments and simulations in its repertoire of available methods. Differences in findings may be partly reflected in the methods used by researchers. For example, consider the qualitative study of a case versus the quantitative analysis of a specific instantiation of

an institutional order. This changes the setting on the camera lens. That is, getting close to the action, as qualitative researchers are able to do, one is more likely to interpret action as a power struggle when indeed it may also reflect the operation of a higher level institutional force (Thornton and Ocasio 2008). The only way to truly guard against this misspecification is to have cross-level, multimethod studies. More than inclusion of any one new or old method, what is called for is the integration of methods.

The backbone of this book includes two novel innovations, the elaboration of the interinstitutional system typology and the cross-level effects model. Both of these innovations require attention to methods of discovery and methods of validation. This is a tall order for any one scholar and any one scholarly paper—but the foundational studies evidence its potential. One way to execute cross-level, multimethod approaches is by greater collaboration among scholars. We have made use of the J. Berger and Zelditch (1993) analytical tools in our analysis of institutional theory and the institutional logics perspective because collections of papers that form a theoretical research program, not orphan efforts, are more likely to result in better research with lasting impact. Like building any enterprise, by researching as multiskilled teams, the research process and product is likely to be richer and provide a more nuanced understanding of how institutional logics mechanisms operate across levels.

Conclusion

Friedland and Alford (1991) began a new direction for organization studies. Building upon, yet departing from, the foundations of neoinstitutional theory, they seeded the development of a distinct approach—the institutional logics perspective. The theoretical and research impact of this perspective has been substantial with a plethora of top-tier journal articles beginning in the late 1990s. Thornton and Ocasio (2008) provide a review of the literature up to that time and suggest how the perspective can be used to further advance the study of organizations and institutions. While there have been systematic efforts to develop the core metatheoretical aspects of the institutional logics perspective (e.g., Thornton 2004), an elaborated theoretical framework linking macro- and microfoundations has been lacking.

In this book, we have examined the foundations of the perspective and have taken stock of past research, much of it published since the Thornton and Ocasio (2008) review. We bring order to what seems, at times, a somewhat ambiguous and contradictory literature by providing synthetic multi- and cross-level frameworks that connect societal-level institutional logics to field-level logics, to practice, to identities, and to microfoundations. In doing so, we

contribute to and theoretically elaborate the institutional logics perspective. Our elaboration and contribution is subject to further refinement and testing, and we have outlined some of the ways to do so. Throughout the book, we identify processes and mechanisms based on extant research and theory from a variety of domains and disciplines. These provide useful starting points to guide the design of empirical research.

We are excited by the implications of the institutional logics perspective. We view the perspective as complementary to major research areas in organization studies and other disciplines. We expect a two-way conversation across research areas. Our work and that of others in the institutional logics perspective has gained enormously from insights from multiple areas, particularly identity, practice, social movements, institutional and cultural entrepreneurship, and cognitive and social psychology. There is much more that the institutional logics perspective can not just contribute to but also learn from these other areas.

Overall, we believe that research rooted in the institutional logics perspective will continue to be generative and advance our understanding of social life. We are particularly excited about research that builds upon our cross-level framework and uncovers the processes and mechanisms that underlie the sources and consequences of institutional logics. This perspective continues to gain momentum and, given the many open questions that remain, we believe that institutional logics research will remain one of the most active and growing areas in organization studies.

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